MGT101 – Financial Accounting

Complete Merged Modules (1-18) - Topic # 1-169

Prepared By:

VU GLOBAL (Team)

AARISH ALI(+96569002641)

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(WhatsApp Group MGT101: https://chat.whatsapp.com/FqJp607cVM065hiyVBXTci)

Chapter - 1
Basics of Financial Accounting

Video number 1-11 are mandatory part of this module

MGT 101
Financial Accounting

By
Mian Ahmad Farhan, FCA

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Basics of Financial Accounting

Definition of Accounting and Financial Information

Accounting

Is accounting:

- process
- activity
- system
- subject



Source of images: Google

Accounting is a Language

Language is a medium that is used to

1. communicate
2. understand

some

- ideas
- policies
- plans
- information



Source of images: Google

Definition of Accounting

Accounting is a language that is used to

1. communicate and
2. understand

the

- financial ideas
- financial policies
- financial plans
- financial information



Source of images: Google

Branches of Accounting

Financial Accounting

- financial information



Management Accounting

- financial ideas
- financial policies
- financial plans



Source of images: Google

Financial information

An information that is

1. measurable in terms of money, and
2. causing a change in financial position of an entity





Source of images: Google

Important Tips To Remember - ITTR

1. Accounting is a language
2. Financial information is measurable in terms of money and belongs to the past

Basics of Financial Accounting

Sources of Financial Information

Sources of Financial Information

There are three sources of financial information

i. Transactions
ii. Events
iii. Conditions

also known as accounting phenomena

Transaction

Transaction occurs when two persons deal with each other.

<u>Social motives dealings</u>
Social transaction

birthday gift etc.

<u>Economic benefits dealing</u>
_____Accounting transaction

monetary dealing between the entity and othe





Source of images: Google

Accounting Transaction

Dealing between entity and other persons:



1. entity with owner/s
2. entity with any person other than the owner/s

There are two *criteria* to identify an accounting transaction:

1. Measurability in terms of money



2. Dealing of the entity with other person



Source of images: Google

Practice 1.1

Keeping in view the criteria, identify which of the following information is accounting transaction:

1. Payment of staff salaries made by cheque.
2. Appointing a production manager on contract.
3. Having a conversation with foreign supplier for import of raw material.
4. Placing an order for purchase of production machine.
5. Purchasing motor vehicle and paying cash for the price.

Practice 1.2

Identify accounting transactions:

1. Up-keeping expenses of building paid by cheque.
2. Collection of dues from customers.
3. Negotiating with bank for taking loan.
4. Receiving cash against loan from bank.
5. Payment of personal expenses of the owner in cash.

Event

Event means anything that happens. There are two types of events:

1. **Monetary**
2. **Non-Monetary**

Monetary Event

Examples include:

- *Loss by fire*
- *Loss by accident*
- *Foreign exchange (gain/loss)*

Non-Monetary Event

Examples include:

- *Winning or losing a game that does not carry financial impacts*

Condition

Condition covers certain adjustments in already recorded transactions and events.

Examples include:

- **Provision to be created against expected doubtful recovery from customer**
- **Fixed Assets to be depreciated according to their expected useful life**



Source of images: Google

Practice 1.3

Which of the the following information is **Transaction**, **Event** or **Condition**:

1. Stock in godown lost by fire
2. Giving away gifts to employees of the entity
3. Training to employees through external trainers
4. Organizing a dinner for entity's valued customers
5. Recognizing depreciation of machinery
6. Insurance claim recovered from insurance company against stock lost by fire
7. Cash paid as charity to a hospital

Answer:

1.Event
2.Transaction
3.Transaction
4.Transaction

1.Condition
2.Transaction
3.Transaction

Important Tips To Remember - ITTR

1. Three sources of financial information
2. Transaction results from a deal
3. First party is the entity itself dealing with others
4. Each accounting information is measurable in money

Basics of Financial Accounting

Money Measurement and Financial Position

Money measurement

Money measurement means to assign a value in reporting currency to an accounting phenomena.



Source of images: Google

Measurement parameters



Measuring its weight 10.0 Kg
Measuring its length 3.0 Feet
Measuring its width 1.5 Feet
Measuring its height 2.0 Feet



Rs. 15,000 its *money measurement in reporting currency.*



Source of images: Google

Practice 1.4

Which of the following information is carrying money measurement?

1. Bought 30 numbers of computers. No
2. Bought 10 fans @ Rs. 1,500 each, cash paid immediately. Yes
3. Scrap dumped, weighted 150 Kg. No
4. 5 workers are working on plant in double shift. No
5. Bought raw material worth Rs. 50,000, cash is not yet paid. Yes

Financial position

Financial position means; an entity's status of Resources & Sources.

1. **Resources** are the assets
2. **Sources** are the means of finances that include liability and owners' equity



ASSETS	Rs.	LIABILITIES	Rs.
Furniture	80,000	Bank loan	35,000
Computers	10,000	Other payable	15,000
		EQUITY	
		Owner's Capital	40,000
TOTAL	**90,000**	**TOTAL**	**90,000**

Source of images: Google

Important Tips To Remember - ITTR

1. Measurement in reporting currency
2. Financial position means financial status
3. Resources are equal to sources

Basics of Financial Accounting

Functions of Financial Accounting

Functions of financial accounting

Financial accounting is required to:

1. *Classify*
2. *Record*
3. *Summarize*
4. *Report*
5. *Analyze*

These are the five functions of Financial Accounting that are covered in

Accounting Cycle

Accounting cycle



Source of images: Google

Important Tips To Remember - ITTR

1. Financial accounting is about past information
2. Accounting Cycle starts from source documents and ends at analysis of past information

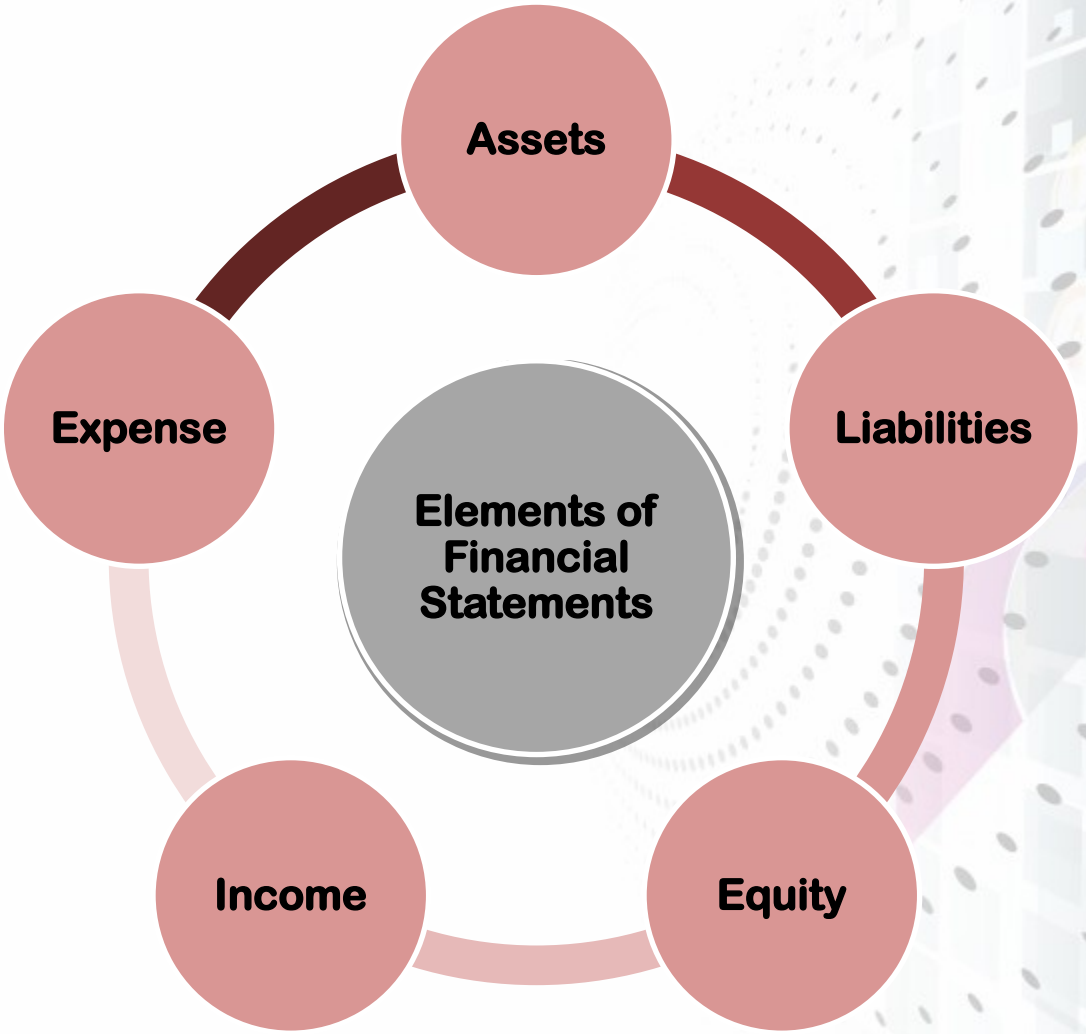
Basics of Financial Accounting

Elements of Financial Statements

Classifying financial information

Financial information are classified into five main heads, these are also known as elements of financial statements

Elements of financial statements



Elements of financial statements

Assets:

Assets are the resources in control

Liabilities:

Liabilities are the present obligations

Owners' Equity:

Owners' equity is the source of finance that represents owners' stake

Incomes:

Incomes are earnings

Expenses:

Expenses are the costs that expire

Sub-classification of Main Heads

Main Heads	Assets	Liabilities	Owners' Equity	Incomes	Expenses
Accounting Heads	Land	Bank loan	Capital	Sales	Purchases
	Building	Bank overdraft	Drawings	Service Fee	Salaries
	Machinery	Creditors	Profits	Commission	Electricity
	Furniture	Payable	etc.	etc.	Repair
	Motor Van	etc.			Advertisement
	Computer				Telephone
	Stocks				Traveling
	Receivables				Freight
	Cash Balance				Rent
	Bank Balance				Stationery
	etc.				etc.

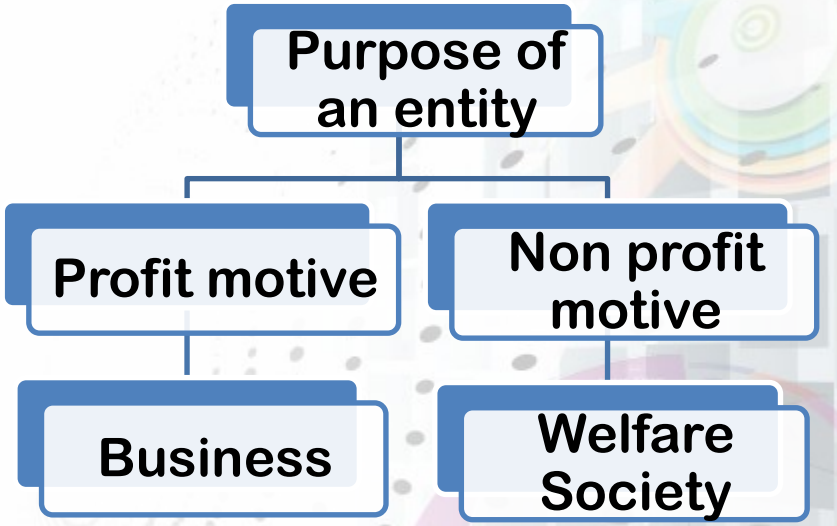
Important Tips To Remember - ITTR

1. There are five main heads
2. Assets are resources in control of entity
3. Liabilities are present obligation
4. Present obligation means – obligation at the end of reporting period
5. Accounting heads are sub-heads

Basics of Financial Accounting

Entity and Separate Entity Concept

Entity



Financial information is involved in both *profit motive* and *non-profit motive* entities. Therefore, financial accounting is a need for a business as well as a welfare society.

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Separate Entity Concept

A business entity and its owner are two different persons.



For accounting purposes, business has separate entity/identity apart from its owner.

Source of images: Google

Practice 1.5

Based on the business entity concept, which of the following information would be accounted for in the accounting books of an entity/business?

1. Cash invested as capital of the business by the owner.
2. Owner bought motor car for his personal use out of his personal bank account.
3. Owner used a part of his residential building for the business godown for which he was paid rent out of business bank account.
4. Owner took loan for his daughters' marriage from a friend.
5. Goods bought by business for trading were consumed by the owner for his personal consumption.

Answers (1, 3, 5)

Important Tips To Remember - ITTR

1. Accounting is a requirement of each entity
2. Business has separate entity apart from its owner
3. Accounting entity concept is different from the legal entity concept

Basics of Financial Accounting

Users of Financial Information

Users of Financial Information

a) Investor/Shareholders/owners How well the management is performing



b) Trade contacts Suppliers and customers



c) Lenders providers of finance are lenders



d) Taxation authorities assess the tax payable by the entity, including sales taxes etc.



Source of images: Google

Users of Financial Information

e) **Manager and Employees** To enable them to manage the business



f) **Financial consultants and advisers** For their clients



g) **Government** Interested in the allocation of resources



h) **Public** Entity may make a substantial contribution to a local economy



Source of images: Google

Practice 1.6

Which of the following statements is true or false:

1. Debt burden of the company is the information mostly required by income tax authorities. False
2. Dividend declaration is the information needed by shareholders. True
3. Financial ratios are most likely required by financial consultants True
4. Bonus to employees is the information that is needed by Government False
5. Cost of sales information is usable for managers. True
6. Welfare society is always interested in green policies cost of company. True

Answers: (1-false 2-true 3-true 4-False 5-true 6-True)

Important Tips To Remember - ITTR

1. Financial accounting produces general purpose financial statements
2. Users are internal and external

Basics of Financial Accounting

Underlying Assumption

Going Concern

Underlying Assumption

Going Concern

Assumption that a business entity will remain in existence for the foreseeable future

Going concern

Examples include:

- Significant trading losses being incurred for several years
- Deteriorating liquidity position
- High financial risk arising from increased debts level
- Aggressive growth strategy not backed by sufficient finance
- Serious litigations
- Inability of a company to develop a new range of commercially successful products.
- Bankruptcy of major customer

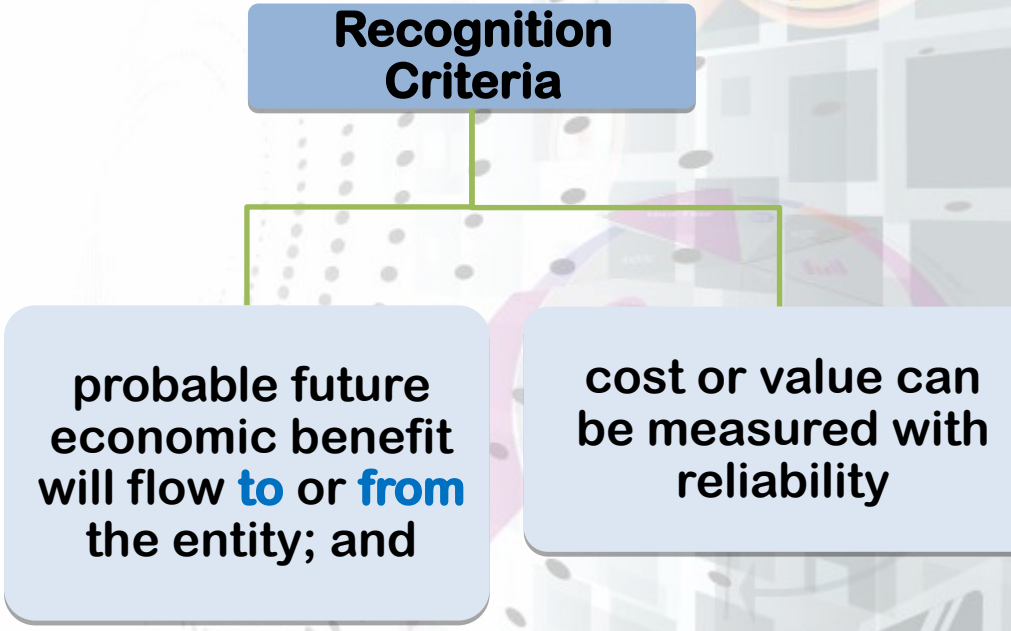
Important Tips To Remember - ITTR

1. Accounting principles cannot be applied if entity is not a going concern
2. Reporting requirements would be different if entity is not a going concern

Basics of Financial Accounting

Recognition of the elements of financial statements

Recognition of Financial Information



Recognition Criteria

Asset

1. probable inflow of future economic benefits, and
2. cost or value can be measured reliably.

Liability

3. probable outflow of resources embodying economic benefits will result from the settlement of a present obligation and
4. amount at which the settlement will take place can be measured reliably.

Recognition Criteria

Income

1. an increase in future economic benefits related to an increase in an asset or a decrease of a liability has arisen, and
2. amount can be measured reliably.

Expense

3. a decrease in future economic benefits related to a decrease in an asset or an increase of a liability has arisen, and
4. amount can be measured reliably.

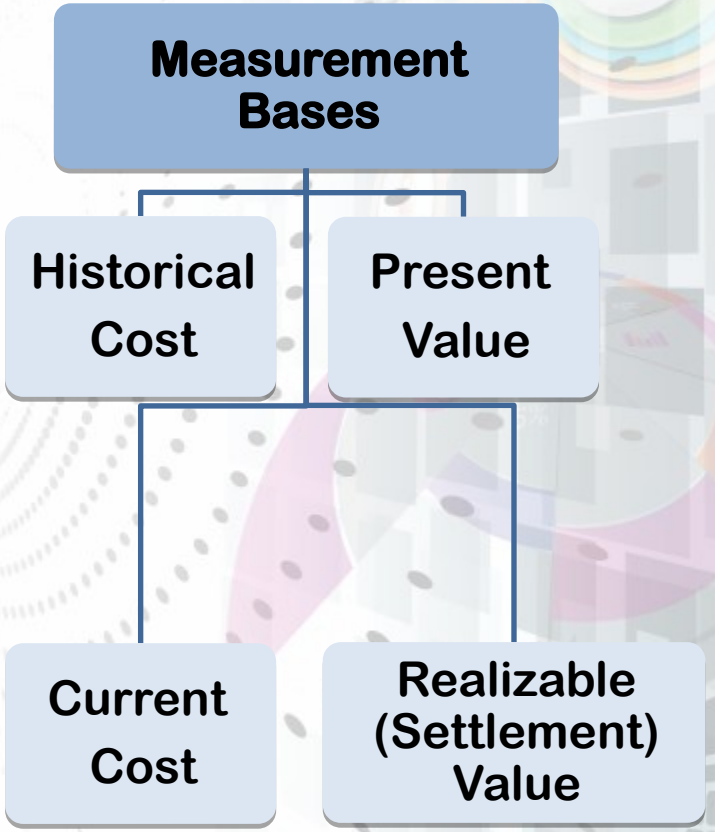
Important Tips To Remember - ITTR

1. Recognition means to identify correct main head
2. Recognition is done at classifying stage in accounting cycle

Basics of Financial Accounting

Measurement of the elements of financial statements

Measurement of Financial Information



Measurement Bases

1. Historical cost
2. Current cost
3. Net realisable (settlement) value
4. Present value (discounted cash flows)

Historical cost is the most commonly used measurement basis, it is usually combined with other measurement bases.

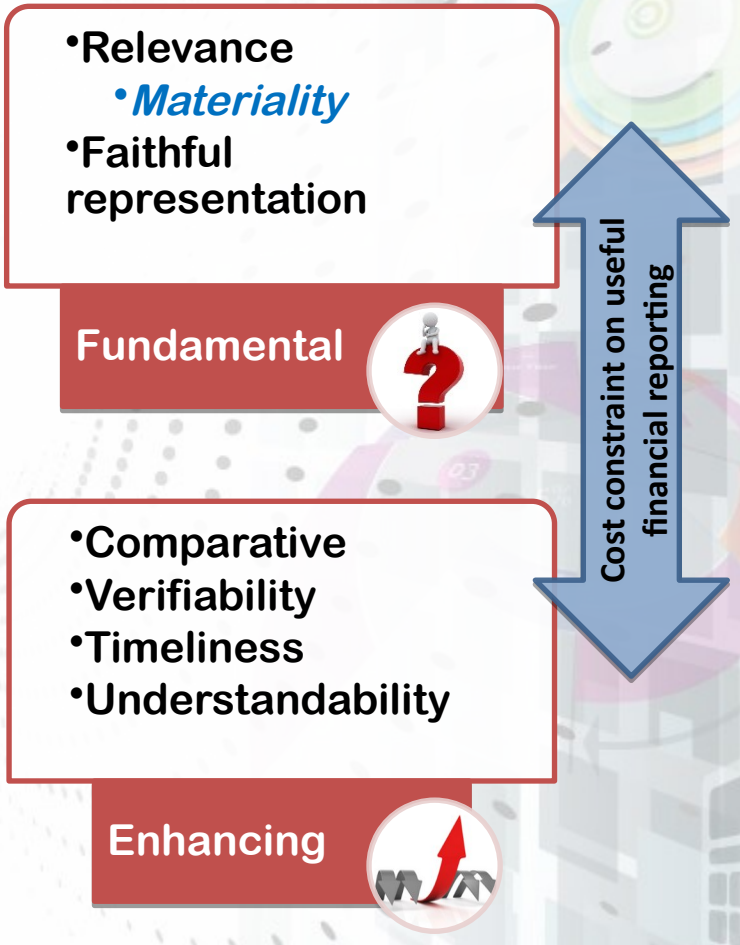
Important Tips To Remember - ITTR

1. Initial measurement is done at recognition
2. Subsequent measurement is needful at the end of reporting period and in certain cases at the time of de-recognition

Basics of Financial Accounting

Qualitative characteristics of useful financial information

Qualitative characteristics



Fundamental Qualitative Characteristics

Relevance

- Confirmatory Value
- Predictive Value; or
- Both

Materiality is an entity specific aspect of **Relevance** based on:
- Nature
- Magnitude; or
- Both

Faithful representation

- Complete
- Neutral
- Free from error

Enhancing Qualitative Characteristics

Comparability	• Consistency
Verifiability	• Direct • Indirect
Timeliness	• Timely Report • Reliable Information
Understandability	• Reasonable Knowledge • Disclosures

Important Tips To Remember - ITTR

1. Qualitative financial information produce qualitative financial statements
2. Information is material if its non-disclosure changes the decision of the user of financial statement

Thank you very much
for being attentive



Chapter - 2

Recording Financial Information
Double Entry Bookkeeping

Video number 12-16 are mandatory part of this module

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By
Mian Ahmad Farhan, FCA

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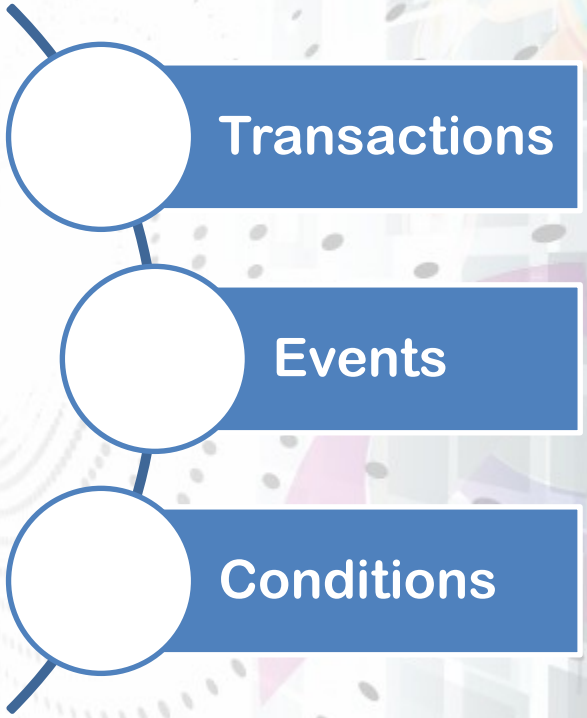
Sr. No	Course Outline – Topics
1	Types of Transactions - Cash and Credit
2	Identifying Debtors and Creditors
3	Accounting Equation - Concepts
4	Accounting Equation - Worked Example
5	Accounting Equation - Practice

Recording Financial Information

Types of Transactions Cash and Credit

Sources of financial information

There are three sources of financial information:



A special concentration to identify and analyze "Transactions"

Types of transactions

There are two types of transactions



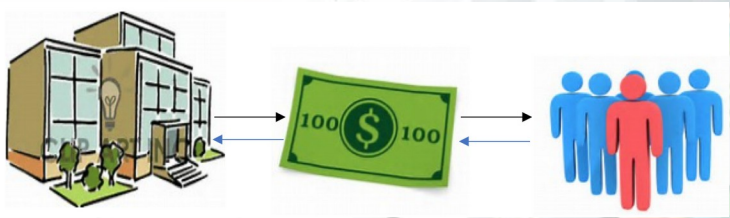
Cash Transactions



Credit Transactions

Source of images: Google

Cash transaction



Examples:

1. Cash received from customers
2. Cash paid to supplier
3. Staff salaries paid
4. Payments made by cash/cheques/standing order/direct debit/debit card/demand draft etc.
5. Collections received in cash/cheques/credit transfer in the bank etc.

Source of images: Google

Credit transaction

In which payment or receipt in terms of cash or any other financial instrument is deferred for some future period.







Examples include:

1. **Sales of goods on credit**
2. **Purchase of goods on credit**
3. **Return of goods from customers**
4. **Return of goods to suppliers**

Source of images: Google

Important Tips To Remember - ITTR

1. Cash transaction is about cash inflow and cash outflow
2. Credit transaction is about deferment of cash flows

Recording Financial Information

Identifying Debtors and Creditors

Identifying Debtors and Creditors

Each **credit transaction** either creates accounts receivable also known as **debtor**, or accounts payable also known as **creditor**.

Examples:

An entity buys goods from supplier without making cash payment.

OR

An entity sells goods to its customer without receiving cash.

Debtors (Accounts Receivables)

Customers to whom goods/services are sold on credit terms



Examples:

- Goods sold to **Yasmin** on credit terms.
- Cash received from **Yasmin** after 1 month of sales.

Here, Yasmin is accounts receivable (debtor) – Asset

Source of images: Google

Creditors (Accounts Payable)

Suppliers from whom the goods/services are purchased on credit term



Examples:

- **Goods purchased from Maryam.**
- **Paid cash to Maryam After one month of purchase.**

Here, Maryam is accounts payable (creditor) - Liability

Source of images: Google

Practice 2.1

Identify which of the followings is a cash or credit transaction, also identify the personal account as Debtor or Creditor from the following transactions.

a) Purchased goods from Hanan on credit.
- Credit transaction
- Cash transaction
- Hanan is Debtor – Accounts Receivable
- Hanan is Creditor – Accounts Payable

b) Paid cash to Maria on account.
- Cash transaction
- Credit transaction
- Maria is Debtor – Accounts Receivable
- Maria is Creditor – Accounts Payable

c) Received cash from Star Brothers on account.
- Cash transaction
- Credit transaction
- Star Brothers is Debtor – Accounts Receivable
- Star Brothers is Creditor – Accounts Payable

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Practice 2.1

d) Paid cash to Donald on account.
- Cash transaction
- Credit transaction
- Donald is Debtor – Accounts Receivable
- Donald is Creditor – Accounts Payable

e) Sold goods to John Smith on credit.
- Cash transaction
- Credit transaction
- Smith is Debtor – Accounts Receivable
- Smith is Creditor – Accounts Payable

f) Purchased goods from Michael & Co.
- Cash transaction
- Credit transaction
- Michael & Co is Debtor – Accounts Receivable
- Michael & Co is Creditor – Accounts Payable

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Practice 2. 2

Identify which of the followings is a cash or credit transaction, **also** identify personal account as a Debtor or Creditor in the following transactions.

1. Bought motor car for cash.
2. Paid creditor Donald by cash.
3. Paid cash to Meera on account.
4. Sold motor car for cash to Dawood.
5. Bought furniture on credit from Henry.
6. Received cash from Star Brothers on account.
7. Owner Hamesh introduced further cash into the business.
8. Loan in cash received from Jasmin.
9. Paid Richard by cheque on account.
10. Sold goods on credit to Nelson.
11. Received Loan from Commercial **Bank**

Important Tips To Remember - ITTR

1. Debtors are the receivables against sale of goods or services
2. Creditors are the payables against purchase of goods or services
3. Loan receivable is not Debtor
4. Loan payable is not Creditor
5. Payment or receipt in cash or cheque is cash transactions
6. Buying or selling on account is credit transaction

Recording Financial Information

Accounting Equation Concepts

Accounting Equation

Basic accounting equation:

(Resources = Sources)

(Assets = Owner's Equity + Liabilities)

Initially: (0 = 0)

Subsequently:

a) **increase in left side and also increase in right side**

(+ = +)

b) **decrease in both sides**

(- = -)

c) **increase and decrease in the same side**

(± = 0) or (0 = ±)

Profit: a Source of finance

Two heads i.e., expenses and incomes are missing in the basic equation.

These two heads constitute profit for the entity.

Incomes – Expenses = Profit/Loss



Source of images: Google

Owner's Equity

Resources are financed by

1. External sources (Owners and Lenders)
2. Internal sources (profits)

Profit = Incomes – Expenses

Profits/Losses are included in Owners' Equity

Owner's Equity = Capital + Profit (– loss) – Drawings

Important Tips To Remember - ITTR

1. Resources = Sources
2. Initial equation “0 = 0”
3. Owner brings personal resources in the business as source of finance
4. Sources are invested by external investors as well as generated through internal profits

Recording Financial Information

Accounting Equation Worked Example

Accounting Equation

Transaction 1: Henry started business, Micro Logics, by introducing capital Rs. 45,000 in cash.



Assets							Owner's Equity		Liabilities	
Sr #	Cash	Furniture	Computer	Stock	Debtors	=	Henry Capital	Profit	Bills payable	Creditors
1	45,000						45,000			

Henry is the sole owner of the business, Micro Logics is a sole proprietorship business.

Above accounting equation relates only to the business "Micro Logics". Under the business entity concept.



Source of images: Google

Accounting Equation

Transaction 2: Micro-Logics purchased furniture by paying cash Rs. 20,000.

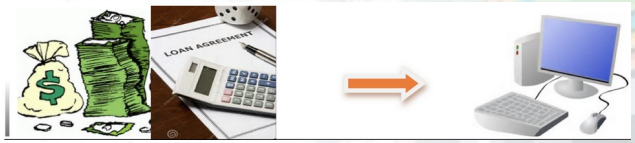


Assets							Owner's Equity		Liabilities	
Sr #	Cash	Furniture	Computer	Stock	Debtors	=	Henry's Capital	Profit	Bills payable	Creditors
1.	45,000						45,000			
2.	-20,000	20,000								
	25,000	20,000					45,000			

Source of images: Google

Accounting Equation

Transaction 3: Micro Logics purchased a computer for Rs. 28,000 by paying Rs. 8,000 in cash and signing a promissory note agreement with with supplier for Rs. 20,000.



Assets							Owner's Equity		Liabilities	
Sr #	Cash	Furniture	Computer	Stock	Debtors	=	Henry's Capital	Profit	Bills payable	Creditors
1.	45,000						45,000			
2.	-20,000	20,000								
3.	-8,000		28,000						20,000	
	17,000	20,000	28,000				45,000		20,000	

Source of images: Google

Accounting Equation

Transaction 4: Micro Logics entered into a transaction of buying stocks/inventory of Rs. 1,350 and agreed to pay the supplier in near future.







Assets						Owner's Equity			Liabilities	
Sr #	Cash	Furniture	Computer	Stock	Debtors	=	Henry's Capital	Profit	Bills payable	Creditors
1.	45,000						45,000			
2.	-20,000	20,000								
3.	-8,000		28,000						20,000	
4.				1,350						1,350
	17,000	20,000	28,000	1,350			45,000		20,000	1,350

Source of images: Google

Accounting Equation

Transaction 5: During its first month of operations, Micro Logics provided services to customers, earning fee of Rs. 7,500 and receiving the amount in cash.



	Assets						Owner's Equity		Liabilities	
Sr #	Cash	Furniture	Computer	Stock	Debtors	=	Henry's Capital	Profit	Bills payable	Creditors
1.	45,000						45,000			
2.	-20,000	20,000								
3.	-8,000		28,000						20,000	
4.				1,350						1,350
5.	7,500							7,500		
	24,500	20,000	28,000	1,350			45,000	7,500	20,000	1,350

Source of images: Google

Accounting Equation

Transaction 6: For Micro Logics, the expenses paid during the month were as follows:

Wages	Rs. 2,125
Rent	Rs. 800
Utilities	Rs. 450
Miscellaneous	Rs. 275

	Assets						Owner's Equity		Liabilities	
Sr #	Cash	Furniture	Computer	Stock	Debtors	=	Henry's Capital	Profit	Bills payable	Creditors
1.	45,000						45,000			
2.	-20,000	20,000								
3.	-8,000		28,000						20,000	
4.				1,350						1,350
5.	7,500							7,500		
6.	-3,650							-2,125		
								-800		
								-450		
								-275		
	20,850	20,000	28,000	1,350			45,000	3,850	20,000	1,350

Source of images: Google

Accounting Equation

Transaction 7: Micro Logics paid Rs. 950 to its creditors during the month.





Assets							Owner's Equity		Liabilities	
Sr #	Cash	Furniture	Computer	Stock	Debtors	=	Henry's Capital	Profit	Bills payable	Creditors
1	45,000						45,000			
2	-20,000	20,000								
3	-8,000		28,000						20,000	
4				1,350						1,350
5	7,500							7,500		
6	-3,650							-2,125		
								-800		
								-450		
								-275		
7	-950									-950
	19,900	20,000	28,000	1,350	1,200		45,000	3,850	20,000	400

Source of images: Google

Accounting Equation

Transaction 8: During the month Micro Logics sold out stock costing Rs. 800 for Rs. 1,200 on credit terms, earning a profit of Rs. 400.



	Assets						Owner's Equity		Liabilities	
Sr. #	Cash	Furniture	Computer	Stock	Debtors	=	Henry's Capital	Profit	Bills payable	Creditors
1.	45,000						45,000			
2.	-20,000	20,000								
3.	-8,000		28,000						20,000	
4.				1,350						1,350
5.	7,500							7,500		
6.	-3,650							-2,125		
								-800		
								-450		
								-275		
7.	-950									-950
8.				-800	1,200			400		
	19,900	20,000	28,000	550	1,200		45,000	4,250	20,000	400

Source of images: Google

Accounting Equation

Transaction 9: At the end of month, Henry withdrew Rs. 2,000 cash from the business for personal use.



Assets							Owner's Equity		Liabilities	
Sr. #	Cash	Furniture	Computer	Stock	Debtors	=	Henry's Capital	Profit	Bills payable	Creditors
1.	45,000						45,000			
2.	-20,000	20,000								
3.	-8,000		28,000						20,000	
4.				1,350						1,350
5.	7,500							7,500		
6.	-3,650							-2,125		
								-800		
								-450		
								-275		
7.	950									-950
8.				-800	1,200			400		
9.	-2,000							-2,000*		
	17,900	20,000	28,000	550	1,200		45,000	2,250	20,000	400

*Solved example presented two columns for owner equity head i.e., capital and profit. Drawing is not the expense and it should not be treated to reduce the income because drawing is not a contra account of income/revenue. Drawing is basically treated as appropriation/distribution of profit and reduces the amount of profit. Profit becomes the part of owners' equity; ultimately the drawing indirectly reduces the owner equity. You can directly reduce the amount of drawing from owner's equity/capital if use one column of capital to solve the questions of accounting equation. Please note that Drawings account is a contra account of capital.

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Source of images: Google

Important Tips To Remember - ITTR

1. Each transaction brings a change in accounting equation
2. Incomes earned cause increase in Owner's Equity
3. Expenses incurred cause decrease in Owner's Equity
4. Increase in resources may result because of increase in sources or decrease in another resource

Recording Financial Information

Accounting Equation Practice

Practice 2.3

Choose the possible effects of following transactions on accounting equation.

1.Goods purchased on credit

- increase asset
- decrease asset
- increase liability
- decrease liability
- increase equity
- decrease equity

2.Paid utility bills

- increase asset
- decrease asset
- increase liability
- decrease liability
- increase equity
- decrease equity

Practice 2.3

3.Sold goods on profit of Rs.200

- increase asset
- decrease asset
- increase liability
- decrease liability
- increase equity
- decrease equity

4.Paid to trade creditors

- increase asset
- decrease asset
- increase liability
- decrease liability
- increase equity
- decrease equity

5.Cash invested by owner

- increase asset
- decrease asset
- increase liability
- decrease liability
- increase equity
- decrease equity

Practice 2.3

6. Owner buys a new car from personal resources
   - increase asset
   - decrease asset
   - increase liability
   - decrease liability **no effect**
   - increase equity
   - decrease equity
7. Goods lost in fire
   - increase asset
   - decrease asset
   - increase liability
   - decrease liability
   - increase equity
   - decrease equity

Practice 2.3

8. Drawing of goods by owner
   - increase asset
   - decrease asset
   - increase liability
   - decrease liability
   - increase equity
   - decrease equity
9. Loan taken from bank
   - increase asset
   - decrease asset
   - increase liability
   - decrease liability
   - increase equity
   - decrease equity
10. Received commission
   - increase asset
   - decrease asset
   - increase liability
   - decrease liability
   - increase equity
   - decrease equity

Thank you very much
for being attentive



Chapter - 3

Rules of Debit and Credit

Preparation of voucher with supporting documents

Video number 17-27 are mandatory part of this module

MGT 101
Financial Accounting

By
Mian Ahmad Farhan, FCA

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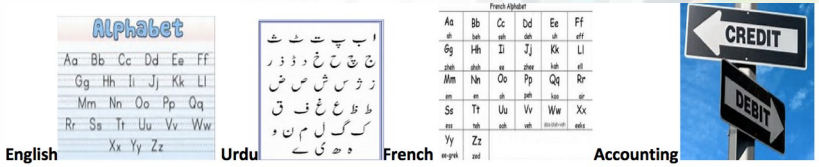
Contents

Sr. No	Course Outline Topics
1	Concept of Debit and Credit (Dr. and Cr.)
2	Types of Account - Elements of Financial Statements
3	Analyzing Dr. & Cr.
4	Practice - Identifying accounting heads
5	Double entry bookkeeping
6	Double entry accounting system - Practice
7	Concept of Voucher
8	Concept of Source Documents
9	Different types of books of accounts
10	Accounting systems - Cash Basis Vs. Accrual Basis
11	Single entry accounting Vs Double entry accounting

Double Entry Bookkeeping System

Concept of Dr. & Cr.

Alphabets of Accounting Language



Accounting carries unique alphabets these are two in count.

1. Debit – Debere in Latin – Dr.
2. Credit – Credere in Latin – Cr.

Alphabets of all the languages do not carry any meaning.
Dr. and Cr. are also termed as tools of accounting.



Source of images: Google

Debit Group

Debit Group
consists of

1. Assets
2. Expenses



Assets



Expenses

Source of images: Google

Credit Group

Credit Group
consists of

1. Owner's Equity
2. Liabilities
3. Incomes







O. Equity **Liabilities** **Incomes**

Source of images: Google

Important Tips To Remember - ITTR

1. Dr. and Cr. are two alphabets of Accounting Language
2. Debit nature for Assets and Expenses
3. Credit nature for Owner's equity, Liabilities and Incomes

Double Entry Bookkeeping System

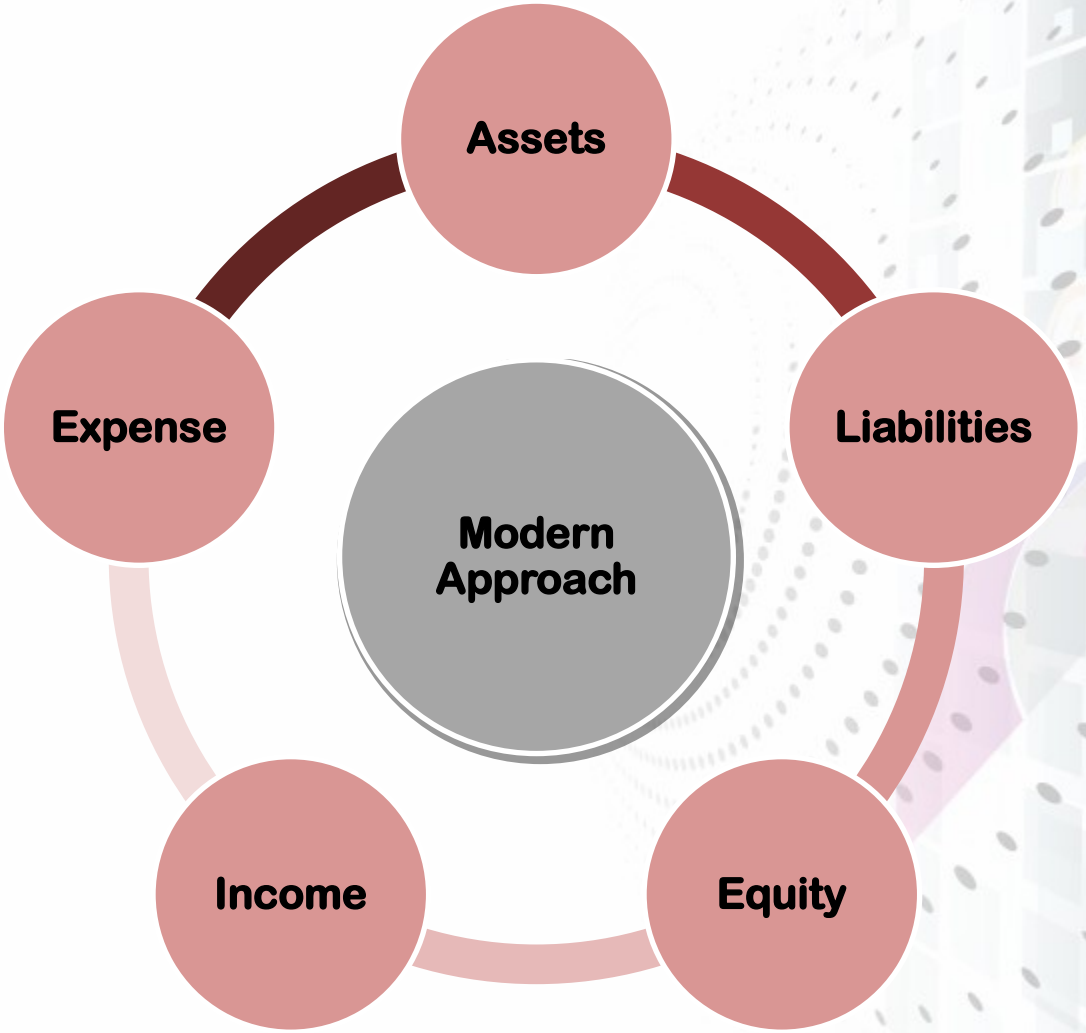
Types of Accounts
Elements of Financial Statements

Identifying correct types of Account

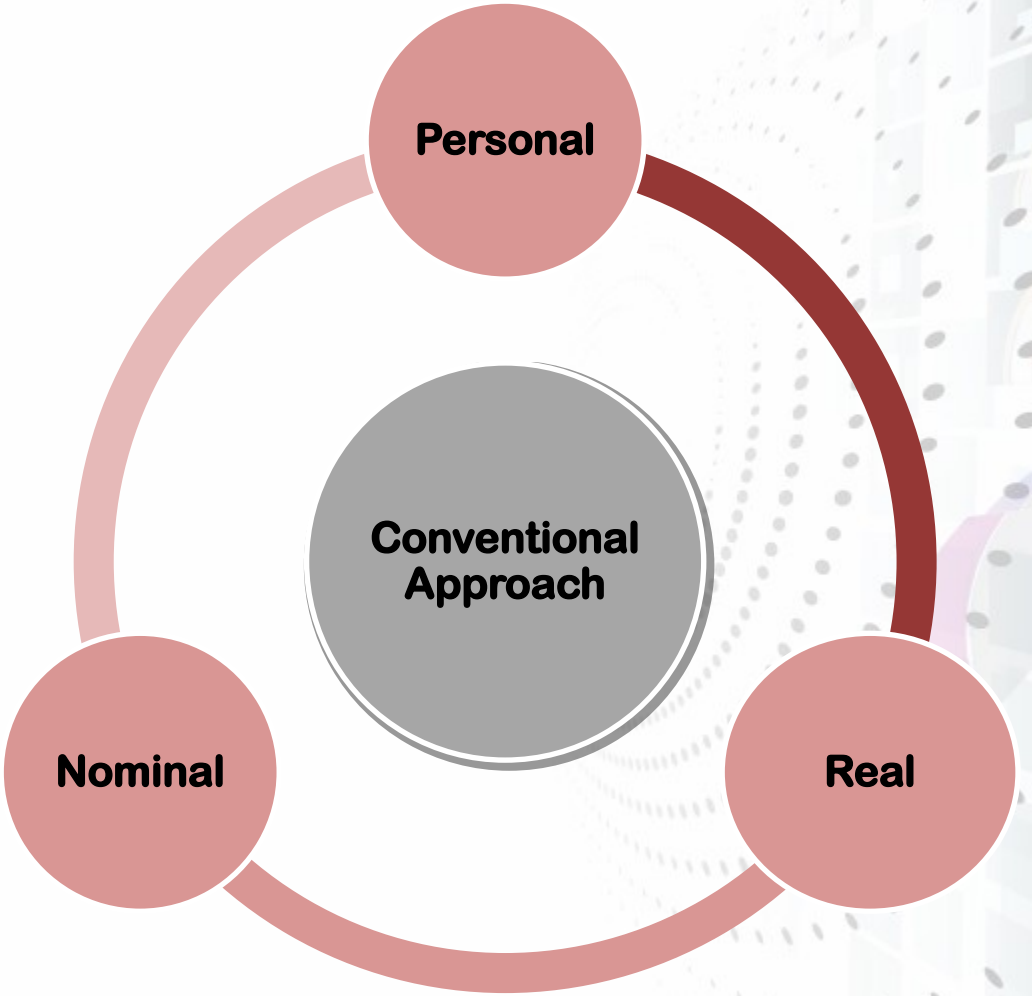
While recording financial information we have to identify the correct type of "account"

to be recognized as Dr. or Cr.

Types of Account – Modern approach



Types of Account – Conventional approach



Important Tips To Remember - ITTR

1. Modern approach discusses five types of accounts
2. Conventional approach discusses three types of accounts
3. Modern approach is easy to understand Dr. and Cr.

Double Entry Bookkeeping System

Analyzing Dr. & Cr.

Analyzing "Debit and Credit"

Increase in Dr. group "Dr"
Decrease in Dr. group "Cr"
Increase in Cr. group "Cr"
Decrease in Cr. group "Dr"

Increase in Assets & Expenses Dr.
Decrease in Assets & Expenses Cr.
Increase in Equity, Liabilities & Income Cr.

Debit	Credit
⇑ Assets	⇓ Assets
⇑ Expenses	⇓ Expenses
⇓ O Equity	⇑ O Equity
⇓ Liabilities	⇑ Liabilities
⇓ Incomes	⇑ Incomes

Approach to recognize Dr. & Cr.

- Financial impact on accounting equation is translated into accounting language using its alphabets *"Dr"* & *"Cr"*.
- Each transaction causes a change in two **accounting heads:**
  - one is analyzed as *Dr.*
  - second is analyzed as *Cr*.

Main Head –Vs – Accounting Head

"Main Heads" are not the "Accounting Heads".

Main Heads	Assets	Expenses	Owners' Equity	Liabilities	Incomes
Accounting Heads	Land	Purchases	Capital	Bank Loan	Sales
	Building	Salaries	Drawings	Bank Overdraft	Interest
	Machinery	Electric Bill	Profits	Creditors	Commission
	Furniture	Repair		Accounts Payable	
	Motor Van	Advertisement			
	Computer	Commission			
	Stocks	Traveling			
	Debtors	Freight			
	Cash Balance	Rent			
	Bank Balance	Stationery			

Important Tips To Remember - ITTR

1. “Dr” or “Cr” does not carry literal meanings
2. Each account involved in financial information is analyzed for recognizing Dr. and Cr.

Double Entry Bookkeeping System

Practice Identifying accounting heads

Practice 3.1

Identify two accounting heads from each transaction and place it under the appropriate main head.

Transaction 1: Bought a building for cash.

a) Bought b) Building c) Cash d) Expense

Transaction 2: Paid salaries to staff in cash.

a) Paid b) Staff c) Cash d) Salary

Transaction 3: Goods sold on credit to Dar Brothers.

a) Creditor b) Sales c) Cash d) Debtor

Transaction 4: Cash introduced by the owner as a capital.

a) Investment b) Cash c) Capital d) Owner

Transaction 5: Commission received in cash

a) Receiving b) Cash c) Equity d) Commission

Transaction 6: Purchase goods for cash.

a) Stock b) Cash c) Purchases d) goods

Transaction 7: Cash withdrew by the owner for personal use.

a) Drawings b) Cash c) Owner d) Goods

Transaction 8: Rent paid by cheque.

a) Rent b) Cash c) Bank d) Goods

(Greens are correct)

Practice 3.1 – Answer

Transaction	Assets	Expenses	Owner's Equity	Liabilities	Incomes
1	b) Building c) Cash				
2	c) Cash	d) Salary			
3	d) Debtors				b) Sales
4	b) Cash		c) Capital		
5	b) Cash				d) Commission
6	b) Cash	c) Purchases			
7	b) Cash		a) Drawings		
8	c) Bank	a) Rent			

Important Tips To Remember - ITTR

1. Always identify two accounting heads in an accounting phenomena
2. Both accounting heads may belong to one main head or two different main heads

Double Entry Bookkeeping System

Double Entry Bookkeeping

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Double Entry Bookkeeping



Described in Italy in 1494

Each transaction causes increase or decrease in two accounting heads.

Increase or decrease caused by a transaction in two accounting heads is recorded in terms of Dr and Cr.

Source of images: Google

Practice 3.2

From the following transactions, identify relevant accounting heads along with their respective main heads and also show increase or decrease in the **main heads** to make decision for Dr and Cr effects.

1. Capital introduced in the business Rs.10,000.
2. Purchase furniture for cash Rs.4,000.
3. Purchase goods for cash Rs. 2,000.
4. Sold goods for cash Rs.3,000.
5. Rent paid in cash Rs.2,000.
6. Owner withdrew cash for personal use Rs.500.
7. Salaries paid in cash Rs.200.
8. Bought goods from John Smith on credit Rs.6,000.
9. Sold goods on credit to Henry for Rs.8,000.
10. Received cash from Donald Rs.2,500.

Practice 3.2 – Answer

No.	Accounting Head	Main Head	Group	+/–	Dr./Cr.
1	Cash	Asset	Dr.	Inc. +	Dr.
	Capital	Own. Equity	Cr.	Inc. +	Cr.
2	Cash	Asset	Dr.	Dec. –	Cr.
	Furniture	Asset	Dr.	Inc. +	Dr.
3	Purchases	Expense	Dr.	Inc. +	Dr.
	Cash	Asset	Dr.	Dec. –	Cr.
4	Cash	Asset	Dr.	Inc. +	Dr.
	Sales	Income	Cr.	Inc. +	Cr.
5	Rent	Expense	Dr.	Inc. +	Dr.
	Cash	Assets	Dr.	Dec. –	Cr.
6	Drawings	Own. Equity	Cr.	Dec. –	Dr.
	Cash	Assets	Dr.	Dec. –	Cr.
7	Cash	Asset	Dr.	Dec. –	Cr.
	Salaries	Expense	Dr.	Inc. +	Dr.
8	Purchases	Expense	Dr.	Inc. +	Dr.
	Creditors (John Smith)	Liability	Cr.	Inc. +	Cr.
9	Sales	Income	Cr.	Inc. +	Cr.
	Debtor (Henry)	Asset	Dr.	Inc. +	Dr.
10	Cash	Asset	Dr.	Inc. +	Dr.
	Debtor (Donald)	Asset	Dr.	Dec. –	Cr.

Important Tips To Remember - ITTR

1. Σ Dr = Σ Cr
2. For purchase of goods; use “Purchases” as Dr accounting head
3. For sales of goods; use “Sales” as Cr accounting head
4. For personal use of owner; use “Drawings” as Dr accounting head
5. For investments introduced by owner; use “Capital” as Cr accounting head

Double Entry Bookkeeping System

Practice Double Entry Bookkeeping

Practice 3.3

Identify relevant accounting heads, respective main heads, show increase or decrease in the main heads and then make decision for Dr and Cr effects.

1. Started business with Rs. 10,000 in the bank.
2. Paid insurance by cheque Rs.600.
3. Owner withdrew goods for personal use Rs. 2,000.
4. Machinery purchased from Maria & Co. on credit Rs.2,000.
5. Loan taken from friend Rs.200 in cash.
6. Machinery returned to Maria & Co. Rs. 2,000.
7. Goods returned to Kashmiri Rs.100.
8. Goods returned by Harris Rs. 200.
9. Free sampling of goods Rs. 50.
10. Friend's loan was repaid Rs. 200.

Practice 3.3 – Answer

No.	Accounting Head	Main Head	Group	+/–	Dr./Cr.
1	Bank	Asset	Dr.	Inc. +	Dr.
	Capital	Own. Equity	Cr.	Inc. +	Cr.
2	Bank	Asset	Dr.	Dec. –	Cr.
	Insurance	Expense	Dr.	Inc. +	Dr.
3	Drawings	Own. Equity	Cr.	Dec. –	Dr.
	Purchases	Expense	Dr.	Dec. –	Cr.
4	Machinery	Asset	Dr.	Inc. +	Dr.
	Creditors (Maria & Co.)	Liability	Cr.	Inc. +	Cr.
5	Cash	Asset	Dr.	Inc. +	Dr.
	Loan from friend	Liability	Cr.	Inc. +	Cr.
6	Machinery	Asset	Dr.	Dec. –	Cr.
	Creditor (Maria & Co.)	Liability	Cr.	Dec. –	Dr.
7	Purchases Return	Expense	Dr.	Dec. –	Cr.
	Creditor (Kashmiri)	Liability	Cr.	Dec. –	Dr.
8	Sales Return	Income	Cr.	Dec. –	Dr.
	Debtor (Harris)	Asset	Dr.	Dec. –	Cr.
9	Free Sampling	Expense	Dr.	Inc. +	Dr.
	Purchases	Expense	Dr.	Dec. –	Cr.
10	Cash	Asset	Dr.	Dec. –	Cr.
	Loan from friend	Liability	Cr.	Dec. –	Dr.

Practice 3.4

Choose correct answer

1. Goods purchased from John smith
   a) - cash + stock
   b) + stock + cash
   c) + creditors + stock
   d) b & c both
2. Commission paid to agent Jordan
   a) - commission - cash
   b) + commission - cash
   c) + Jordan - cash
   d) + capital - cash
3. Goods sold for Rs.5,000 that cost 4500
   a) + cash 5,000 + sales 5,000
   b) - cash 4,500 - stock 4,500
   c) + cash 5,000 - stock 5,000
   d) +cash 4,500 - sales 4,500
4. Goods returned from
   a) - debtors + sales return
   b) - creditors + stock
   c) + debtors - owner's
   d) none of the above
1. Cash received from debtor on account
   a) + cash + sales
   b) + cash + capital
   c) + cash - debtor
   d) + cash - drawings
2. Loan repaid to Hassan
   a) - o equity + cash
   b) - liability - cash
   c) + cash - liability
   d) + Hassan – cash
3. Cash withdraw by owner
   a) + o equity - cash
   b) - o equity + cash
   a) - o equity - cash
   b) - o equity - stock
1. Machinery purchased from Caterpillar on credit
   a) + machinery - cash
   b) + machinery + cash
   c) + machinery + Liability
   d) - machinery + cash

Answer:
(1-c, 2-b, 3-a, 4-a, 5-c, 6-b, 7-c, 8-c)

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Important Tips To Remember - ITTR

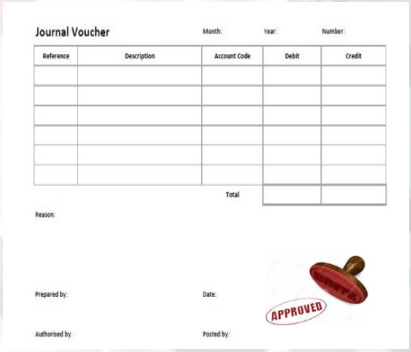
1. For payment through cheque; use “Bank” as Cr accounting head
2. For decrease in purchased goods or stocks, other than because of sales and purchase return transactions; use “Purchase” as Cr accounting head
3. For goods returned to supplier; use “Purchases Return” as Cr accounting head
4. For goods returned by customers; use “Sales Return” as Dr accounting head

Double Entry Bookkeeping System

Concept of Voucher

Voucher

- Two accounting heads along with their values are recognized on voucher.
- It is an internal document to witness that the transaction is complete and verified.
- It is supported by needful documents and authorized by appropriate signatories.



Source of images: Google

Types of vouchers

- Journal Voucher
- Petty Cash Voucher
- Cash Receipt/Payment Voucher
- Bank Receipt/Payment Voucher
- Gift Voucher

Practice - 3.8

1.Who is responsible to prepare journal voucher?
a) supplier b) manager **c) bookkeeper** d) accountant

2.Journal voucher is used to record transaction in?
a) general journal b) general ledger c) trial balance d) balance sheet

3.Which voucher is used as a proof that significant cash transaction has occurred between two persons?
a) petty cash voucher **b) cash payment voucher** c) journal voucher d) gift voucher

4.Which voucher is given by seller to customer that gives right of free shopping or discounts?
a) petty cash voucher **b) gift voucher** c) cash payment voucher d) bank payment voucher

5.Which voucher is prepared in support to transaction of collecting money in the bank from customer?
a) bank receipt voucher b) bank payment voucher c) deposit slip d) bank statement

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Important Tips To Remember - ITTR

1. Voucher is the first document, which is prepared by the accounts department of an entity to start accounting process
2. Voucher is a documentary evidence that transaction is complete and verified

Double Entry Bookkeeping System

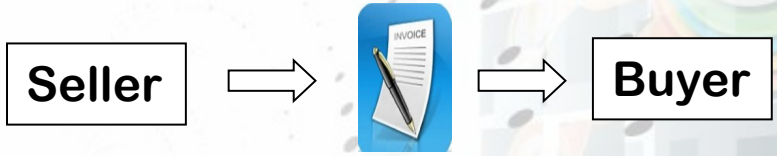
Concept of Source Documents

Source Documents

No.	Transaction	Source Documents
1	Sales	Invoice (issued) against sales of goods or services on account
2	Purchases	Invoice (received) against purchases of goods or services on account
3	Sales Return	Credit Note (issued) upon accepting the goods returned by customer
4	Purchases Return	Debit Note (issued) / Credit Note (received) upon returning goods to supplier
5	Cash received	Cash Memo/receipt (issued) upon receiving cash
6	Cash paid	Cash Memo/receipt (received) upon making cash payment
7	Leases (Rental)	Agreements signed by the parties to a lease or any other contract
8	Staff Salaries	Payroll sheet upon transferring salaries and wages to the staff
9	Utility Bills	Metered Bills/Invoices against obtaining economic benefits of the utilities

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Invoice



INVOICE (extract)	
Goods total	£575.00
Trade discount @ 10%	£57.50
Net total	£517.50
VAT @ 20%	£99.36
Total payable	£616.86
Terms: 4% settlement discount for payment within 14 days	

Source of images: Google

Credit Note



Your Service Company Name

InvoicingTemplates

Street Address
City, ST ZIP Code
Phone Number,Web Address, etc.

CREDIT NOTE

DATE:
CREDIT NOTE #:

Bill To:

P.O. #	Sales Rep. Name

Product ID	Description	Quantity	Unit Price	Line Total

Notes:

SUBTOTAL		-
PST	8.00%	-
GST	6.00%	-
SHIPPING & HANDLING		-
TOTAL		-

THANK YOU FOR YOUR BUSINESS!

Source of images: Google

Important Tips To Remember - ITTR

1. Invoice, credit note and cash memo are prepared and issued by seller
2. Debit note is prepared by the buyer, it is issued at the time of returning goods to seller as a request to make adjustment in the account. Seller issues credit note in response, if the goods returned are accepted.

Double Entry Bookkeeping System

Different Types of Books of Accounts

Recording in the books of accounts



Computerized bookkeeping



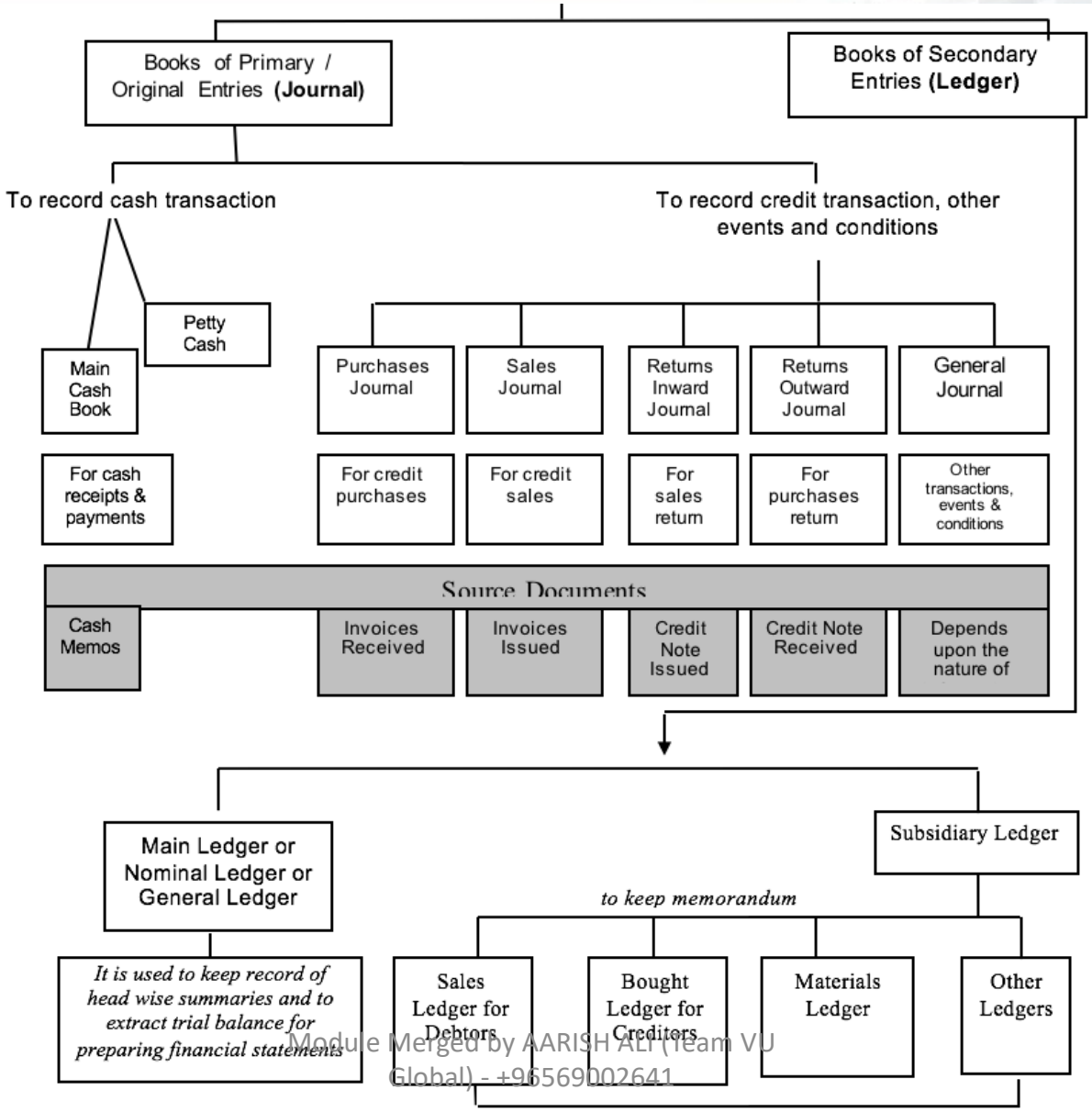
Manual bookkeeping

There are two types of books of accounts:

1. Books of original entries
2. Books of secondary entries

Source of images: Google

Books of Accounts



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Important Tips To Remember - ITTR

1. Separate journals are maintained for cash and non-cash transactions
2. Balances of subsidiary ledgers are not shown in financial statements, these are kept as memorandum

Double Entry Bookkeeping System

Accounting systems
Cash Vs. Accrual

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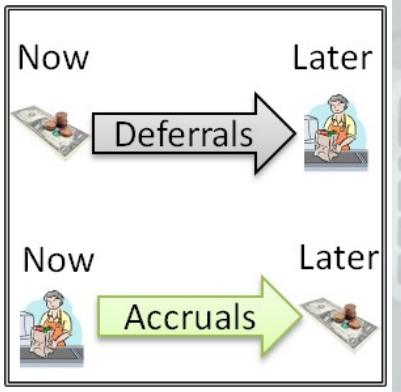
Cash Based Accounting

Transactions are recorded only when cash is received or paid.

Example:

During the year 20X9

1. **Office rental paid for 15 months at the rate of Rs. 10,000 per month. Rs.150,000 shall be recognized as rent expense for the year 20X9**
2. **Cleaning agent received Rs.180,000 against office cleaning for 18 months. Rs.180,000 shall be recognized as his income.**



Source of images: Google

Accrual Based Accounting

Transactions are recorded on the basis that expenses and incomes belong to the reporting period, regardless the condition that settlement in terms of cash has happened or not.

Example:

During the year 20X9

1. **Office rental paid for 15 months at the rate of Rs. 10,000 per month. Rs.150,000 shall be recognized as rent expense for the year 20X9**
2. **Cleaning agent received Rs.180,000 against office cleaning for 18 months. Rs.180,000 shall be recognized as his income.**

Examples – Accrual based accounting

Example – 1

Electricity bill for the last quarter (October – December) was not paid until the end of reporting period 31st December 20X9.

Under the cash-based accounting; the unpaid utility bill will not be recognized as expense in the accounting year 20X9. It will be recognized as expense for the year 20Y0 upon payment.

Under the accrual-based accounting; the unpaid utility expense will be recognized as expense in the accounting year 20X9 along with a liability that will be paid in 20Y0.

Example – 2

Insurance paid in advance for the year 20X9 on 1st November 20X8

Under the cash-based accounting; the payment will be recorded as expense as soon as cash is paid to insurance company on 1st November 20X8

Under the accrual-based accounting; the payment of insurance will be recorded in the year 20X8 as "prepayment or paid in advance" which shall be recognized as asset and then in the year 20X9 it will be recorded as expense, to which it belongs to.

Important Tips To Remember - ITTR

1. Cash based accounting is the system, which reports income when received and expenses when paid
2. Accrual based accounting is the system, which reports income when earned and expenses when incurred

Double Entry Bookkeeping System

Single Entry Vs. Double Entry

Single Entry Approach

- It is a simplest form of **bookkeeping**
- Single effect of each financial information is **entered** in the books of accounts
- It does not require background or training in accounting
- Entities using single entry approach are effectively limited to reporting on a cash basis only

Adequacy of single entry system

Small entities may in fact prefer single-entry accounting over a double-entry system when all or most of the following conditions apply:

- Entity uses cash based accounting, not accrual accounting
- There are few financial transactions per day
- Entity does not sell on its own credit
- Customers must pay at the time of the sale
- There are very few employees
- Entity is privately held or operates as a sole proprietorship or partnership

Important Tips To Remember - ITTR

1. Any system that falls short of complete double entry approach is single entry system
2. It is a defective double entry system

Thank you very much
for being attentive



Chapter - 4

Journalizing – Books of Original Entries

MGT 101
Financial Accounting

By
Mian Ahmad Farhan, FCA

Module Merged by AARISH ALI (Team VU Global) - +96569002641

Contents

Sr. No	Course Outline Topic	Recording Minutes
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3	Compound entry - Practice	5
4	General Journal - Practice	10
5	Discounts	10
6	Journalizing settlement discounts	7
7	General Journal - Practice with complex accounting entries	10
8	General Journal - Practice with complex accounting entries	10
9	Subdivision of Journal	5
10	Sales Journal	8
11	Purchase Journal	8
12	Sales Return Journal	7
13	Purchase Return Journal	7
14	Comprehensive practice - subdivision of journal	10
15	Cash Book	10
16	Single Column Cash Book	8
17	Two Column Cash Book	8
18	Three Column Cash Book	10
19	Petty Cash Book	10
	Total Time - Minutes	158

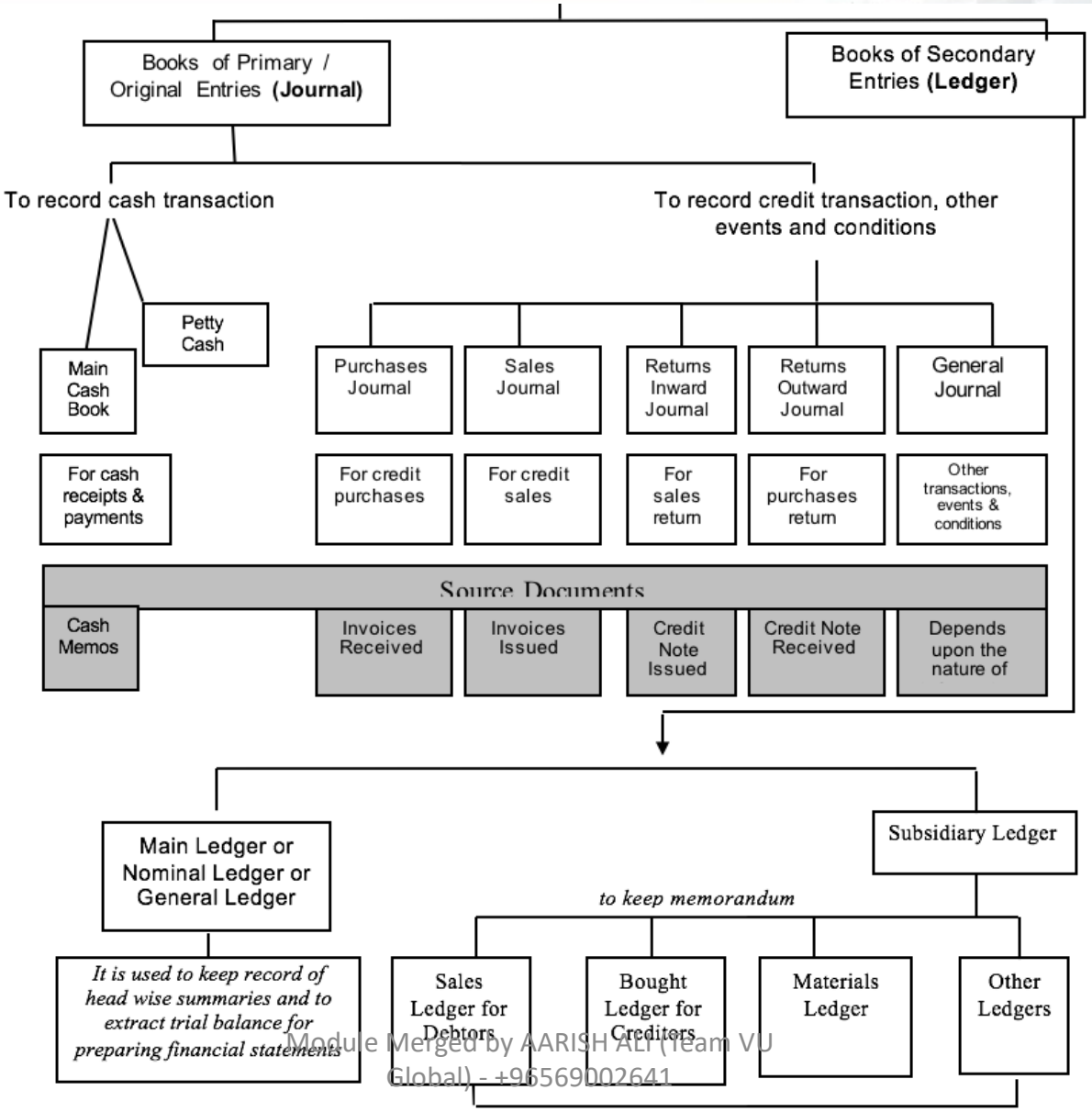
Journal – Books of Original Entries

Journalizing Transactions

Recapitulation – Analyzing Dr & Cr

Main Heads	Nature	Increase	Decrease
Assets	Dr	Dr	Cr
Expenses	Dr	Dr	Cr
Owners' Equity	Cr	Cr	Dr
Liabilities	Cr	Cr	Dr
Incomes	Cr	Cr	Dr

Recapitulation – Books of Accounts



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Journal



- First book in accounting cycle
- Maintained chronologically
- Prepared systematically
- For small entities, a general-purpose journal is quite sufficient

Source of images: Google

Journal Entry

Information recorded in general journal is known as *journal entry or accounting entry or entry*.

Parts of a Journal Entry

There are six parts of an entry in Accounting language:

1) Date
2) Particulars
3) Post reference
4) Debit amount
5) Credit amount
6) Narration

Format of Journal & Journal Entry

Sample Transaction

1st Jan 20X9, Cash paid for staff salaries Rs.50,000





1 Date 20X9	2 Particulars/Description	3 Post Ref.	4 Debit (Rs)	5 Credit (Rs)
Jan. 1	Salaries Account (Debit) Cash Account (Credit) (Staff salaries paid in cash)	39 10	50,000	 50,000

6

Source of images: Google

Important Tips To Remember - ITTR

1. Journal is a book of original / primary entry
2. Journal is maintained in chronological sequence
3. Narration is an integral part of Journal entry

Journal – Books of Original Entries

Practice Journal Entry

Practice 4.1

Pass journal entries for the following transactions:

20X9

Jan. 2 Goods bought for cash Rs.20.000.



Jan. 5 Goods sold for cash Rs.35,000.



Jan. 7 Loan taken from friend in cash Rs.50,000.



Source of images: Google

Practice 4.1 – Answer

Date 20X9	Particulars/Description		Post Ref.	Debit (Rs)	Credit (Rs)
Jan. 2	Purchases Account	(Debit)	?	20,000	
	Cash Account	(Credit)	?		20,000
	(Bought goods for cash)				
Jan. 5	Cash Account	(Debit)	?	35,000	
	Sales Account	(Credit)	?		35,000
	(Sold goods for cash)				
Jan. 7	Cash Account	(Debit)	?	50,000	
	Loan from friend	(Credit)	?		50,000
	(Loan taken in cash from friend)				

Important Tips To Remember - ITTR

1. Debit account comes first and its amount is written in the left column
2. Credit account is written under the debit account by indenting few space and its amount is written in the right side column
3. Don’t put “To” as a prefix to the credit accounting head

Journal – Books of Original Entries

Compound Entry

Compound Entry

The single journal entry, which combines multiple journal entries in which same accounting head is repeating

Example – Compound Entry

5 Jan 20X9:
Cash Rs.7,000 was paid for salaries and





Cash Rs.1,000 was paid for purchase of stationery





Date 20X9	Particulars/Description	Post Ref.	Debit (Rs)	Credit (Rs)
Jan. 5	Salaries account Cash account (Salaries paid in cash)	? ?	7,000	7,000
Jan. 5	Stationery account Cash account (Stationery purchased for cash.)	? ?	1,000	1,000

Source of images: Google

Example – Compound Entry

5 Jan 20X9:
Cash Rs.7,000 was paid for salaries and





Cash Rs.1,000 was paid for purchase of stationery.





Date 20X9	Particulars/Description	Post Ref.	Debit (Rs)	Credit (Rs)
Jan. 5	Salaries account Stationery account Cash account (Salaries paid & Stationery purchased for cash)	? ? ?	7,000 1,000	 8,000

Source of images: Google

Important Tips To Remember - ITTR

1. Compound entry combines two journal entries in which one accounting head is common
2. Sum of Dr. should always remain equal to sum of Cr.
3. Narration should be simple and understandable

Journal – Books of Original Entries

Practice
General Journal

Practice 4.2

Prepare a journal for the following transactions

Jan 1: Capital introduced in the business Rs.10,000 in cash and Rs.20,000 as machinery.

Jan 2: Purchase land for cash Rs.4,000.

Jan 3: Purchase goods for cash Rs.2,000 and on credit from Giant Store Rs.7,000.

Jan 4: Sold goods for cash Rs.3,000.

Jan 5: Rent paid in cash Rs.2,000.

Jan 6: Owner withdrew cash for personal use Rs.500 **OR** Paid Rs.500 to owner for his personal use.

Jan 7: Salaries paid in cash Rs.200.

Jan 8 Bought goods from Moon Light on credit Rs.6,000.

Jan 9 Sold goods on credit to Falcon for Rs.8,000 and for cash Rs.4,000.

Jan10: Received cash from Falcons 2,500 on his account.

Practice 4.2 – Answer

Date 20X9	Particulars	Post Ref.	Debit (Rs)	Credit (Rs)
Jan. 1	Cash Account	?	10,000	
	Machinery Account	?	20,000	30,000
	Capital Account			
	(Cash & machinery introduced as capital)			
Jan. 2	Land Account	?	4,000	
	Cash Account	?		4,000
	(Purchased land for cash)			
Jan. 3	Purchases Account	?	9,000	
	Cash Account	?		2,000
	Creditor (Giant Store)			7,000
	(Goods purchased for cash & on credit from Giant Store)			
Jan. 4	Cash Account	?	3,000	
	Sales Account	?		3,000
	(Sold goods for cash)			
Jan. 5	Rent Account	?	2,000	
	Cash Account	?		2,000
	(Rent paid in cash)			

Practice 4.2 – Answer

Date 20X9	Particulars	Post Ref.	Debit (Rs)	Credit (Rs)
Jan. 6	Drawings Account	?	500	
	Cash Account	?		500
	(Cash withdrew by the owner for personal use).			
Jan. 7	Salaries Account	?	200	
	Cash Account	?		200
	(Salaries paid in cash).			
Jan. 8	Purchased Account	?	6,000	
	Creditors (Moon Light) Account	?		6,000
	(Purchase goods on credit from Moon Light).			
Jan. 9	Debtors (Falcon) Account	?	8,000	
	Cash Account	?	4,000	
	Sales Account	?		12,000
	(Sold goods on credit to Falcons and goods sold for cash)			
Jan. 10	Cash Account	?	2,500	
	Debtors (Falcons) Account	?		2,500
	(Received cash from Falcons on account).			

Important Tips To Remember - ITTR

1. It is not compulsory to write “Account” or along with the accounting head appearing in journal entry
2. “Account” can be abbreviated as “a/c” or “A/C”
3. Identify the name of debtor and creditor in journal entry

Journal – Books of Original Entries

Discounts

Discounts



A trader often allows its customers two types of discounts

1. **Trade discount**
2. **Settlement discount**

Source of images: Google

Trade Discount

Offered by a seller to its customers before entering into transaction based on some policy

Examples – Trade Discount

1. Bulk purchase discounts
2. Regular customer discounts
3. Season end discounts

Trade discounts are never recorded in the books of either party (Seller or Buyer)

Working – Trade Discount

List price of a product is Rs.220 and retail seller offers 10% discount to its customers.

220 – (220 x 10%)

220 – 22

Rs.198

	Rs.	Rs.
Purchases Account	198	
Cash Account		198

Settlement Discount

Offered by a seller to its customers based on cash settlement terms for early payment of the invoice.
Also known as cash discount.

Working – Settlement Discount

Invoice Rs.2,000
Terms 5/10, n/30

Settlement discount
(2,000 x 5%) = Rs.100

- **it is recorded in the books of Seller and Buyer**
- **for seller it is *"discount allowed"***
- **for buyer it is *"discount received"***

Important Tips To Remember - ITTR

1. Trade discount is never recorded in journal entry
2. Settlement discount is recorded as “discount allowed” or “discount received”
3. Settlement discount reflects settlement terms

Journal – Books of Original Entries

Journalizing Settlement Discounts

Scenario – Settlement discount

Scenario (i)

Cash received from debtor Rs.114 in full settlement of his account of Rs.120.

	Rs.	Rs.
Cash Account	**114**	
Debtor Account		**114**
Discount Allowed	**6**	
Debtor Account		**6**

Combining the two entries

Cash account	**114**	
Discount Allowed	**6**	
Debtors Account		**120**

Scenario – Settlement discount

Scenario (ii)

Cash paid to creditors Rs.95 after deducting a discount of Rs.5.

	Rs.	Rs.
Creditor Account	**95**	
Cash Account		**95**
Creditor Account	**5**	
Discount Received		**5**

Combining the two entries

Creditor's Account	**95**	
Cash Account		**90**
Discount Received		**5**

Settlement terms – Sample invoice

Invoice # 123456 Date: 19/12/ 20X9	Business Name and Address John Smith Traders Customer's Name and Address Star Traders		
Description	Qty	Rate Rs.	Amount Rs.
1. Fans	5	2,000	10,000
2. Air conditioner	2	25,000	50,000
3. Room Coolers	3	10,000	30,000
Sub Total			90,000
Trade discount 10%			(9,000)
Net amount of invoice			81,000
Settlement term: 2/10, n/30			

Accounting entries – Sample invoice

In the Books of Seller (John Smith Traders)

		Rs.	Rs.
Dec. 19	Debtors A/c.	81,000	
	Sales A/c.		81,000

If settled before

Dec. 29	Cash A/c.	79,380	
	Discount allowed A/c.	1,620	
	Debtors A/c.		81,000

If settled after

Dec. 29	Cash A/c.	81,000	
	Debtors A/c.		81,000

Accounting entries – Sample invoice

In the Books of Buyer/Customer (Star Traders)

		Rs.	Rs.
Dec. 19	Purchases A/c.	81,000	
	Creditors A/c.		81,000

If settled before

Dec. 29	Creditors A/c.	81,000	
	Cash A/c.	79,380	
	Discount received A/c.		1,620

If settled after

Dec. 29	Creditors A/c.	81,000	
	Cash A/c.		81,000

Important Tips To Remember - ITTR

1. Discount allowed is expense
2. Discount received is income
3. Amount in front of “cash account” should always be net of discount

Journal – Books of Original Entries

Practice Journalizing Complex Transactions

Practice 4.4 – Journalizing

Dec 1: Business started with cash Rs.100,000 and furniture worth Rs.35,000 as capital

Dec 2: Machinery purchased from Jordan on credit Rs.20,000

Dec 4: Loan taken from bank Rs.200,000

	Particulars	PR	Dr. Rs. 000	Cr. Rs. 000
1	Cash Account	?	100	
	Furniture Account	?	35	
	Capital Account	?		135
	(Cash and Furniture introduced as capital)			
2	Machinery Account	?	20	
	Creditors (Jordan)Account	?		20
	(Machinery purchased on credit from Jordan)			
4	Bank Account	?	200	
	Bank Loan Account	?		200
	(Loan taken from Bank)			

Practice 4.4

Dec 6: Machinery returned to Jordan Rs.20,000

Dec 8: Bought goods on credit from Pearl Traders Rs.60,000

Dec 10: Bought goods on credit from Giant Store for Rs.100,000 subject to a 5% trade discount.

	Particulars	PR	Dr. Rs. 000	Cr. Rs. 000
1	Creditors (Jordan) Machinery Account (Machinery returned to Jordan).	? ?	20	 20
2	Purchase Account Creditors (Pearl Traders) Account (Bought goods on credit from Pearl Traders)	? ?	60	 60
4	Purchases Account Creditors (Giant Store) Account (Goods purchased on trade discount of 5%) (100,000 X 95%)	? ?	95	 95

Practice 4.4

Dec 11: Goods sold for Rs.20,000 to Falcon on settlement terms 5/10, n/30.

Dec 12: Sold goods on credit to John Smith for Rs.80,000.

Dec 16: Goods returned to Pearl Traders Rs.10,000.

	Particulars	P R	Dr. Rs. 000	Cr. Rs. 000
11	Debtor (Falcon) Account	?	20	
	Sales Account	?		20
	(Goods sold on credit on settlement term 5/10, n/30)			
12	Debtors (John Smith) Account	?	80	
	Sales Account	?		80
	(Goods sold on credit)			
16	Creditors (Pearl Traders) Account	?	10	
	Purchases Return Account	?		10
	(Goods returned to Pearl Traders).			

Practice 4.4

Dec 17: Falcon settled his account in full.

Dec 18: Cash paid to Pearl Traders Rs.48,000 in full settlement of his account.

Dec 20: Goods returned by John smithRs.20,000.

	Particulars	P R	Dr. Rs. 000	Cr. Rs. 000
17	Cash Account	?	19	
	Discount Account	?	1	
	Debtor (Falcon) Account			20
	(Cash received & discount allowed 5%)			
18	Creditor (Pearl Trader) Account	?	50	
	Cash Account	?		48
	Discount Received	?		2
	(Final settlement to Pearl Trader 60-10=50			
16	Sales return Account	?	20	
	Debtors (John Smith) Account	?		20
	(Goods returned by John Smith).			

Practice 4.4

Dec 22: Charity paid in cash Rs.2,000.

Dec 23: Goods worth Rs.5,000, Cash Rs.10,000 were taken away by the proprietor for personal use.

Dec 26: Goods distributed as free sample Rs.13,000 and given away as charity worth Rs.2,000.

	Particulars	PR	Dr. Rs. 000	Cr. Rs. 000
22	Charity Account	?	2	
	Cash Account			2
	(Charity paid in cash).			
23	Drawings Account	?	15	
	Cash Account	?		10
	Purchases Account	?		5
	(Owner withdrew cash & goods for personal use).			
26	Free Sample Account	?	13	
	Charity Account		2	
	Purchases Account	?		15
	(Goods distributed as free sampling & given away as charity).			

Important Tips To Remember - ITTR

1. Discount to Debtor is always “Expense”. It doesn’t mean cash payment
2. Discount from Creditor is always “Income”. It doesn’t mean cash received
3. Practice this exercise at least three times

Journal – Books of Original Entries

Practice Journalizing Complex Transactions

Practice 4.5 – Journalizing

Dec 2: Machinery purchased from Jordan on credit Rs.40,000

Dec 4: Machinery lost in fire accident Rs.20,000

	Particulars	PR	Dr. Rs.	Cr. Rs.
2	Machinery Account Creditors (Jordan)Account (Machinery purchased on credit from Jordan).	?	40,000	 40,000
4	Loss by Fire Account Machinery Account (Machinery lost in fire)	? ?	20,000	 20,000

Practice 4.5 – Journalizing

Dec 8: Cash withdrawal from bank Rs.5,000 for office use

Dec 10: Cash stolen from Business Rs.3,000

	Particulars	PR	Dr. Rs.	Cr. Rs.
2	Cash Account	?	5,000	
	Bank Account			5,000
	(Cash withdrawn from bank).			
23	Loss by theft Account	?	3,000	
	Cash Account			
	(cash stolen)	?		3,000

Practice 4.5 – Journalizing

Dec 11: Owner sold his saving bonds of value Rs.30,000 and invested that money in business

Dec 12: Profit earned on Bank Deposits Rs.12,000

	Particulars	PR	Dr. Rs.	Cr. Rs.
11	Cash Account	?	30,000	
	Capital Account			30,000
	(Fresh capital introduced by owner)			
12	Bank Account	?	12,000	
	Profit on bank Account	?		12,000
	(Profit earned on bank deposits)			

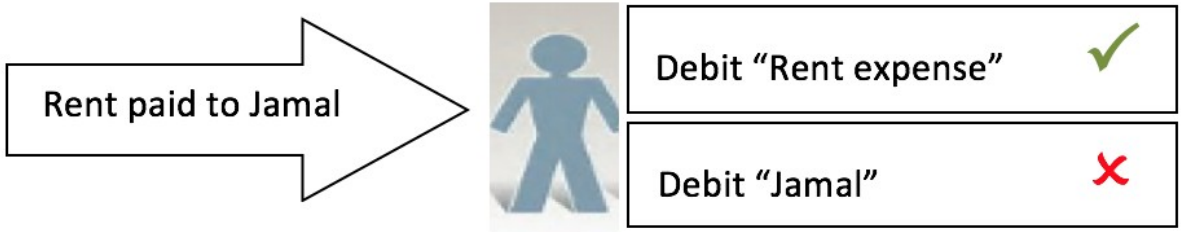
Practice 4.5 – Journalizing

Dec 16: Received commission from a client Rs.10,000

Dec 17: Rent paid to Jamal by cheque Rs.20,000

	Particulars	PR	Dr. Rs.	Cr. Rs.
2	Cash Account	?	10,000	
	Commission Account			10,000
	(Commission received)			
23	Rent Account	?	20,000	
	Bank Account	?		20,000
	(Rent paid by cheque)			





Important Tips To Remember - ITTR

While analyzing "Expenses" & "Incomes" for Dr or Cr, never use "*personal account*" like name of the person to whom expense is being paid or from whom income is being received. Use "*nominal accounts*" as Dr. account or Cr. account.

For example:

1. **Salaries paid to John, Steve and Zara; here personal account "*the names*" shall not be debited rather <u>salaries</u> as an expense account will be debited.**
2. **Received commission from David, Nasar, and Rajab; here personal account "*the names*" shall not be credited rather <u>commission</u> as an income account will be credited.**

Important Tips To Remember - ITTR

1. Any event of loss belongs to “Expense”
2. Profits and gains belong to “Income”
3. Consider the difference between “withdrawal for office use” and “withdrawal for personal use”
4. Dealing in cheque affects “Bank a/c”

Journal – Books of Original Entries

Subdivision of Journal

Subdivision of Journal

Journal is sub-divided because of large size of business.

Subdivision of journal is required because:

- frequent cash transactions
- large number of credit purchases and credit sales are creating numerous Debtors and Creditors

Types of Journal

1. **Sales journal**
2. **Purchase journal**
3. **Sale return journal**
4. **purchase return** journal
5. **Cash book or cash journal or cash register**
6. **General journal**

Important Tips To Remember - ITTR

1. Journal is also termed as “Day Book”
2. Broadly speaking there are three types of Journal or Day Book
   a) for credit transactions
   b) for cash transactions
   c) for other events and conditions

Journal – Books of Original Entries

Sales Journal

Sales Journal





✓	Credit sales
×	Cash sales

- **Need for Sales Journal**
- **Recording transactions in Sales Journal**

Practice 4.5

Record following transactions in a Sales Journal.

Feb 1: Credit sales to Nelson Rs.3,875
Feb 3: Credit sales to John Smith Rs.1,667
Feb 6: Credit sales to Moon Light Rs.1,285
Feb 10: Credit sales to Super Mart Rs.550
Feb 17: Credit sales to Moon Light Rs.9,280
Feb 19: Credit sales to Popular Traders Rs.2,880
Feb 27: Credit sales to Pearl Traders Rs.8,250
Feb 28: Credit sales to Royal Club Rs.4,244

Date 20X9	Name of Debtors	Invoice no.	Post Ref.	Amount Rs.
Feb 1	Nelson			3,875
Feb 3	John Smith			1,667
Feb 6	Moon Light			1,285
Feb 10	Super Mart			550
Feb 17	Moon Light			9,280
Feb 19	Popular traders			2,880
Feb 27	Pearl Traders			8,250
Feb 28	Royal club			4,244
Feb 28	Total			32,031

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Important Tips To Remember - ITTR

1. Only and only credit transactions for sales are recorded in sales journal
2. Single effect is recorded in sales journal
3. Sales journal is totaled after a regular interval

Journal – Books of Original Entries

Purchase Journal

Purchase Journal



✓ Credit purchases
× Cash purchases

- **Need for Purchase Journal**
- **Recording transactions in Purchase Journal**

Practice 4.6

Record following transactions in a Purchase Journal.

Feb 1: Credit Purchase from Shahla Rs.2,875
Feb 3: Credit Purchase from Samrana Rs.667
Feb 6: Credit Purchase from Amara Rs.285
Feb 10: Credit Purchase from Fareeha Rs.550
Feb 17: Credit Purchase from Saima Rs.8,280
Feb 19: Credit Purchase from Arooj Rs.1,880
Feb 27: Credit Purchase from Naila Rs.7,250
Feb 28: Credit Purchase from Shumaila Rs.3,244

Date 20X9	Name of Creditor	Invoice no.	Post Ref.	Amount Rs.
Feb 1	Shahla			2,875
Feb 3	Samrana			667
Feb 6	Amara			285
Feb 10	Fareeha			550
Feb 17	Saima			8,280
Feb 19	Arooj			1,880
Feb 27	Naila			7,250
Feb 28	Shumaila			3,244
Feb 28	Total			25,031

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Important Tips To Remember - ITTR

1. Only and only credit transactions for purchases are recorded in purchases journal
2. Single effect is recorded in purchase journal
3. purchase journal is totaled after a regular interval

Journal – Books of Original Entries

Sales Return Journal

Sales Return Journal



Goods sold on credit - returned by customers

- **Need for Sales Return Journal**
- **Recording transactions in Sales Return Journal**

Practice 4.7

Record following transactions in a Sales Return Journal

Feb. 1: Goods returned by Madinah Stores Rs.200
Feb. 9: Goods returned by John SmithRs.100
Feb. 10: Goods returned by Giant Store Rs.300
Feb. 11: Goods returned by Falcons Rs.400
Feb. 16: Goods returned by Pearl Traders Rs.50
Feb. 19: Goods returned by Nelson Rs.150
Feb. 23: Goods returned by Mega Mart Rs.500
Feb. 28: Return inwards by Giant store Rs.600

Date 20X9	Name of Debtors	Credit note no.	Post Ref.	Amount Rs.
Feb. 1	Madinah Stores			200
Feb. 9	John Smith			100
Feb. 10	Giant Store			300
Feb. 11	Falcons			400
Feb. 16	Pearl Traders			50
Feb. 19	Nelson			150
Feb. 23	Mega Mart			500
Feb. 28	Giant Store			600
Feb 28	Total			2,300

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Important Tips To Remember - ITTR

1. Only and only credit transactions for sales return are recorded in sales return journal
2. Single effect is recorded in sales return journal
3. Sales return journal is totaled after a regular interval

Journal – Books of Original Entries

Purchase Return Journal

Purchase Return Journal



Goods purchased on credit - returned to suppliers

- **Need for Purchase Return Journal**
- **Recording transactions in Purchase Return Journal**

Practice 4.8

Record following transactions in a Purchase Return Journal

Feb. 1: Goods returned to Mega Mart Rs.200
Feb. 3: Goods returned to Royal club Rs.600
Feb. 7: Goods returned to Super Mart Rs.120
Feb. 9: Goods returned to Moon Light Rs.300
Feb. 11: Goods returned to Star Gold Rs.500
Feb. 15: Goods returned to Star Gold Rs.550
Feb. 19: Goods returned to Dunhill mart Rs.600
Feb. 23: Return outwards to Falcon Rs.800

Date 20X9	Name of Creditors	Credit Note No.	Post Ref.	Amount Rs.
Feb. 1	Mega Mart			200
Feb.3	Royal Club			600
Feb. 7	Super Mart			120
Feb. 9	Moon Light			300
Feb. 11	Star Gold			500
Feb. 15	Star Gold			550
Feb. 19	Dunhill mart			600
Feb. 23	Falcon			800
Feb. 28	Total			3,670

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Important Tips To Remember - ITTR

1. Only and only credit transactions for purchase return are recorded in purchase return journal
2. Single effect is recorded in purchase return journal
3. Purchase return journal is totaled after a regular interval

Journal – Books of Original Entries

Practice Subdivided Journals

Practice 4.9

Record transactions in the appropriate journals

Dec 2: Credit sales to Nelson Rs.600, John smithRs.200, Hills Bros. Rs.500

Dec 4: Credit purchases from Giant store Rs.450, Star Gold Rs.300, Moon Light Rs.250

Dec 5: Credit sales to Madinah Stores Rs.630, John smithRs.500, Falcon Rs.420

Dec 6: Credit purchase from Falcon Rs.1,000

Dec 10: Goods returned by Nelson Rs.100, John smithRs.50

Dec 12: Goods returned to Star Gold Rs.80, Giant store Rs.30

Dec 18: Credit sales to Super Mart Rs.650

Dec 24: Return outwards to Falcon Rs.200

Dec 28: Return inwards from Super Mart Rs.150

Practice 4.9 – Answer

Sales Journal

Date	Name of Debtors	Invoice No.	Post. Ref.	Amount Rs.
Dec 2	Nelson			600
	John Smith			200
	Hills Bros.			500
Dec 5	Madinah stores			630
	John Smith			500
	Falcon			420
Dec 18	Super Mart			650

Sales Return Journal

Date	Name of Debtors	Credit Note No.	Post Ref.	Amount Rs.
Dec. 10	Nelson			100
	John Smith			50
Dec. 28	Super Mart			150

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Practice 4.9 – Answer

Purchase Journal

Date	Name of Creditors	Invoice No.	Post. Ref.	Amount Rs.
Dec 4	Giant Store			450
	Star Gold			300
	Moon Light			250
Dec 6	Falcon			1,000

Purchase Return Journal

Date	Name of Creditors	Credit Note No.	Post Ref.	Amount Rs.
Dec. 12	Star Gold			80
	Giant store			30
Dec. 24	Falcon			200

Important Tips To Remember - ITTR

1. Return outwards is “purchase return”
2. Return inwards is “sales return”

Journal – Books of Original Entries

Cash Journal
Cash Book

Cash Book

- **Need for Cash Book**
- **Recording transactions in Cash Book**
- **Types of Cash Book**
  1. Single column cash-book
  2. Two column cash-book
  3. Three column cash-book
  4. Petty cash book

Cash book - Format

Cash Book (Single Column)

Date	RECEIPTS Particulars	Post Ref.	Amount Rs.	Date	PAYMENTS Particulars	Post Ref.	Amount Rs.

Cash Book (Two Column)

Date	RECEIPTS Particulars	P/R	Cash Rs.	Bank Rs.	Date	PAYMENTS Particulars	P/R	Cash Rs.	Bank Rs.

Cash Book (Three Column)

Date	RECEIPTS Particulars	Disc allowed	Cash Rs.	Bank Rs.	Date	PAYMENTS Particulars	Disc Received	Cash Rs.	Bank Rs.

Cash Book (Petty Expenses)

Date	Receipts Rs.	Particulars	Total Payments Rs.	Enter-tainment Rs.	Photo copy Rs.	Repair Rs.	Travelling Rs.	Postage Rs.	Misc. Rs.

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Important Tips To Remember - ITTR

1. Only and only cash transactions are recorded in cash book
2. Bank is cash equivalent
3. Discounts are associated to cash receipts and cash payments

Journal – Books of Original Entries

Single Column Cash Book

Practice 4.10

Record following transactions in a cash book with single cash column and find closing balance to carry forward.

		Rs.
Mar. 1:	Balance brought forward (b/f)	4,000
Mar. 3:	Sold goods for cash	40,000
Mar. 7:	Sold goods on credit to Alpha	75,000
Mar. 10:	Bought goods for cash	28,000
Mar. 15:	Bought goods on credit from Beta	42,000
Mar. 18:	Received cash from Debtor (Alpha)	75,000
Mar. 19:	Made part payment in cash to Creditor (Beta)	15,000
Mar. 20:	Paid staff salaries	20,000
Mar. 26:	Bought furniture for cash	25,000
Mar. 30	Paid Electricity bill	5,000

Practice 4.10 - Answer

Cash Book

Date 20X9	RECEIPTS Particulars	Post Ref.	Rs.	Date 20X9	PAYMENTS Particulars	Post Ref.	Rs.
Mar.1	Balance b/f		4,000	Mar. 10	Purchases		28,000
3	Sales		40,000	19	Creditor (Beta)		15,000
18	Debtor (Alpha)		75,000	20	Staff salaries		20,000
				26	Furniture		25,000
				30	Electricity bill		5,000
				31	Balance c/f		26,000
			119,000				119,000

Important Tips To Remember - ITTR

1. Cash is “Asset”, its opening balance will always be placed in Dr. side (Receipt side)
2. Closing balance of cash is excess of receipts over payments
3. Closing balance of Cash is always placed in Cr. side to balance the both sides

Journal – Books of Original Entries

Two Column Cash Book

Practice 4.11

Record following transactions into a cash book with cash and bank columns, also find closing balance for both columns to carry forward.

20X9

Mar. 1 Balances brought forward cash Rs.7,000; bank Rs.25,000

Mar. 2 Sold goods for cash Rs.40,000, the amount was deposited into bank on the same date.

Mar. 5 Bought stationary for cash Rs.2,000

Mar. 9 Bought furniture, payment made by cheque Rs.10,000

Mar. 15 Received Rs.15,000 in cash from Debtor Sagheer

Mar. 16 Received a cheque of Rs.20,000 from Debtor Kabeer and deposited into bank

Mar. 20 Made payment to a creditor Abeer through cheque Rs.18,000

Mar. 22 Cash withdrawn from bank for office use Rs.25,000

Mar. 25 Cash withdrawn from Bank from owner's personal use Rs.8,000

Mar. 28 Cash received from sale of old machine Rs.60,000

Mar. 30 Cash deposited into bank Rs.75,000 and paid salaries in cash Rs.20,000

Practice 4.11 - Answer

Cash Book

Date 20X9	RECEIPTS Particulars	P R	Cash Rs.	Bank Rs.	Date 20X9	PAYMENTS Particulars	PR	Cash Rs.	Bank Rs.
Mar. 1	Balance b/f		7,000	25,000	Mar. 05	Stationery		2,000	
2	Sales			40,000	09	Furniture			10,000
15	Debtor - Sagheer		15,000		20	Creditor - Abeer			18,000
16	Debtor - Kabeer			20,000	22	Cash	C		25,000
22	Bank	C	25,000		25	Drawings			8,000
28	Machine Disposal		60,000		30	Bank	C	75,000	
30	Cash	C		75,000	30	Salaries		20,000	
					31	Balance c/f		10,000	99,000
			107,000	160,000				107,000	160,000

Important Tips To Remember - ITTR

1. In “Contra Entry”, “cash account” reciprocates with “bank account”
2. Contra entries:
   a) Cash deposited into bank
   b) Cash withdrawn from bank for office use

Journal – Books of Original Entries

Three Column Cash Book

Practice 4.12

Record following transactions into three column cash-book; with cash, bank, and discount columns, also find closing balances to carry forward.

20X9

Mar. 1 Balance brought forward: Cash Rs.3,000; Bank overdraft Rs.10,000

Mar. 5 Cash received from debtor Burhan in full settlement of his account balance Rs.50,000, after subtracting 8% cash discount.

Mar. 10 Received a cheque of Rs.70,000 from debtor Hanan in full settlement of his account after subtracting cash discount Rs.5,000.

Mar. 15 Goods sold on credit to debtor Zain worth Rs.80,000 subject to settlement terms 5/10, n/30 and a trade discount of Rs.4,000. (credit transaction – no effect in cash book)

Mar. 20 Paid Rs.40,000 through cheque to creditor Rehan after subtracting cash discount Rs.4,000.

Mar. 25 Paid to Bilal his account balance due Rs.25,000 in cash after subtracting cash discount Rs.2,000.

Mar. 30 Received cheque from debtor Athar against sales made on March 15th and deposited into bank.

Mar. 31 Cash in excess of Rs.6,000 is to be deposited into bank. (Rs.6,000 should remain in cash balance c/f)

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Practice 4.12 - Answer

Cash Book

Date 20X9	Receipts Particulars	P R	Cash Rs.	Bank Rs.	Disc. Allow Rs.	Date 20X9	Payments Particulars	P R	Cash Rs.	Bank Rs.	Disc. Rec Rs.
Mar. 1	Balance b/f		3,000			Mar. 1	Balance b/f			10,000	
5	Debtor - Burhan		46,000		4,000	20	Creditor - Rehan			40,000	4,000
10	Debtor - Hanan			70,000	5,000	25	Creditor - Bilal		23,000		2,000
30	Debtor - Athar			76,000		31	Bank	C	20,000		
31	Cash	C		20,000		31	Balance c/f		6,000	116,000	
			49,000	166,000	9,000				49,000	166,000	6,000

Important Tips To Remember - ITTR

1. Bank is not always “Asset”. It is “Liability” if cash is overdrawn from bank upon facility
2. Opening balance of bank over draft is placed in the payment side

Journal – Books of Original Entries

Petty Cash Book

Petty Cash Book

Accountants separately recognize cash at bank, cash in hand and petty cash:

1. **Main Cash** (significant)
2. **Petty Cash** (insignificant)

Mechanism to maintain Petty Cash Book

3. Petty Cash System
4. Imprest System

Petty Cash System

Petty cashier receives a fixed amount at the start of each week to meet petty expenses during that week.

Example

In the first week of business setup the petty cashier receives Rs.1,000 and spends Rs.970 for different petty expenses and left with a balance of Rs.30 in petty cash box. In the start of second week; the petty cashier once again receives Rs.1,000 from the main cash and keeps it in the petty cash box that increases the balance of petty cash box, on that day, to Rs.1,030. During the second week the petty cashier spends Rs.990. Now the balance in petty cash box, at the end of second week, is Rs.40. In the start of third week the petty cashier once again receives Rs.1,000 from the main cash book and keeps it in the petty cash box that increases the balance in petty cash box to Rs.1,040.

Imprest System

An imprest amount is fixed and provided to petty cashier that is subsequently topped-up exactly equal to the amount spent during the previous period for petty expenses.

Example

a petty cashier receives Rs.1,000 at the start of first week to meet petty expenses during that week on imprest system. The petty cashier spends Rs.970 for different petty expenses and left with a balance of Rs.30 in petty cash box. In the start of second week; the petty cashier receives Rs.970 from the main cash in order to top-up petty cash box balance up to Rs.1,000. During the second week the petty cashier spends Rs.990. Now the balance in petty cash box, at the end of second week, is Rs.10 and the amount for top-up is Rs.990 to make the balance in petty cash box equal to Rs.1,000.

Practice 4.13

Record following transactions in petty cash book on imprest system. Imprest limit is Rs.1,000.

Date	Transactions	Rs.
Jan 01	Funds transferred from main cash for petty expenses	1,000
Jan 01	Paid for tea bags	150
Jan 02	Paid for cycle repair	200
Jan 03	Paid for photocopies	50
Jan 03	Paid for cycle stand at bank	10
Jan 03	Paid for postage	60
Jan 05	Paid for sugar and tea biscuits	220
Jan 06	Paid for stove repair	180
Jan 07	Paid for stationery	120

Practice 4.13 - Answer

Petty Cash Book

Date	Receipt Rs.	Particulars	Total Payment Rs.	Enter-tainment Rs.	Photo copy Rs.	Repair Rs.	Travelling Rs.	Postage Rs.	Stationery Rs.
Jan 01	1,000	Imprest from Main Cash							
Jan 01		Tea bags	150	150					
Jan 02		Cycle repair	200			200			
Jan 03		Photocopy	50		50				
Jan 03		Cycle stand	10				10		
Jan 03		Postage	60					60	
Jan 05		Sugar etc.	220	220					
Jan 06		Stove repair	180			180			
Jan 07		Stationery	120						120
		Balance c/f	10						
	1,000	Total	1,000	370	50	380	10	60	120
Jan 08	10	Balance b/f							
Jan 08	990	Imprest from Main Cash							

Important Tips To Remember - ITTR

1. Petty cash book is prepared for insignificant payments
2. Receipt side has single column, payment side is divided into multiple columns
3. Imprest is topped up with actual spending in the previous period

Practice 4.14

Choose correct answer

1.Goods purchased from John smith Rs.500 are debited to _____

a)John smith account

b)Goods Account

c)Cash Account

d)Purchases Account

2.Commission paid to agent Jordan Rs.1,000 will be debited to _____

a)Commission account

b)Cash Account

c)Jordan Account

d)None of above

3.Goods purchased for Rs.5,000 subject to 10% trade discount, amount to be debited to purchases account will be _____

a)5,000

b)5,500

c)4,500

d)None of the above

Practice 4.14

4.Goods returned from debtors will be recorded in which book of account?

a)Return inward journal

b)Return outward journal

c)Purchase journal

d)General journal

5.Payment received from Star Brothers Rs.4,800 in full settlement of Rs.5,000 will be debited to _____

a)Cash Account

b)Discount allowed Account

c)Star Brothers Account

d)Both a. and b.

6.Loan repaid to Hassan Brothers will be debited to _____

a)Hassan Brothers

b)Hassan Brothers' Loan Account

c)Cash Account

d)None of above

Practice 4.14

7. Goods purchased for cash will be recorded in which book of account?
   a) Purchase journal
   b) Cash book
   c) General journal
   d) a and b both
8. Machinery purchased from on credit from Caterpillar will be recorded in which book of account?
   a) Assets journal
   b) Purchases journal
   c) General journal
   d) Machinery journal

Practice 4.14

9. Stock lost in fire will be credited to _____
   a) Stock account
   b) Goods Account
   c) purchases Account
   d) Loss by fire Account
10. Short explanation written below the accounting entry is called _____
   a) Explanation
   b) Narration
   c) Compound entry
   d) None of above

Answer: (1-d, 2-a, 3-c, 4-a, 5-d, 6-b, 7-b, 8-c, 9-c, 10-b)

Chapter - 5

Main Ledger / General Ledger / Nominal Ledger

(Book of secondary entries)

and

Trial Balance

Topic Videos 47-57 are mandatory part of this module

MGT 101
Financial Accounting

By
Mian Ahmad Farhan, FCA

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Contents

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2	Chart of Accounts
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4	Posting from General Journal into Main Ledger
5	Posting of Compound Entries into Main Ledger
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7	Balancing the ledger accounts
8	Balancing the ledger accounts - Practice
9	Trial Balance
10	Posting from subdivided journal into main ledger
11	Posting from cash book into main ledger

Ledger and Trial Balance

Need for Ledger

Main Ledger / General Ledger

We need balances of the elements of financial statements for reporting purposes.

Journals do not produce final balances of all accounting heads

Ledger is maintained to extract balances

Important Tips To Remember - ITTR

1. Main ledger is a book of account
2. Ledger account is a summary of similar transactions of an accounting head already recorded in journal
3. Each ledger account gives a balance at the end of reporting period

Ledger and Trial Balance

Chart of Accounts

Chart of accounts

Chart of accounts is a list of the names of **accounts**

Chart of Account – Example

1. Assets

11 Cash

12 Accounts Receivable

14 Stocks

15 Prepaid Insurance

17 Land

18 Office Equipment

2. Liabilities

21 Accounts payable

23 Rent Payable (accrued)

3. Owner's equity

31 Owner's capital

32 Owner's drawings

4. Incomes

41 Sales

42 Sales return

5. Expenses

51 Wages

52 Rent

54 Utilities

55 Stationery

59 Office maintenance

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Important Tips To Remember - ITTR

1. Chart of accounts is a list of accounting heads
2. Each chart of account is assigned a unique code
3. Accounting software identifies code assigned to each chart of account

Ledger and Trial Balance

Format of Ledger Account

Format of ledger accounts

A ledger account, in its T form, has three parts

- Title, the name of accounting head
- Debit side, which is its left-hand side
- Credit side, which is its right-hand side.



A ledger account with full details is prepared in two styles:

a) T account style

Date	Particulars	Post Ref.	Rs.	Date	Particulars	Post Ref.	Rs.

b) Running balance style

Date	Particulars	Post Ref.	Debit Rs.	Credit Rs.	Dr/ Cr	Balance Rs.

Important Tips To Remember - ITTR

1. For beginners; T account style is easy to understand
2. Practically; Running balance style is used
3. Running balance style gives balance after each posting

Ledger and Trial Balance

Posting from General Journal into Main Ledger

Posting from General Journal

The process of picking up amount from journal and placing into the debit or credit side of relevant ledger account is known as *posting*.



Entry A

On January 1, 20X9 owner introduced cash Rs.25,000 as capital into the business

Journal **Page 01**

Date 2009	Particulars	Post Ref	Rs.	Rs.
Jan.1	Cash account	L61	25,000	
	Capital account	L08		25,000
	(Cash introduced as capital in the business)			

Cash Account **Page 61**

Date 20X9	Particulars	Post Ref.	Rs	Date 2009	Particulars	Post Ref.	Rs
Jan 1	Capital account	J01	25,000				

Owner's Capital Account **Page 08**

Date 2009	Particulars	Post Ref.	Rs	Date 2009	Particulars	Post Ref.	Rs
				Jan 1	Cash account	J01	25,000

Entry B

On January 5, the owner bought Computer for Rs.8,000 by paying cash

Journal **Page 2**

Date 20X9	Particulars	Post Ref.	Rs.	Rs.
Jan.5	Computer account Cash account (Purchase computer for business)	L10 L61	8,000	 8,000

Cash Account **Page 61**

Date	Particulars	Post Ref.	Rs	Date 20X9	Particulars	Post Ref.	Rs
				Jan 5	Computer account	J02	8,000

Computer Account **Page 10**

Date 20X9	Particulars	Post Ref.	Rs	Date	Particulars	Post Ref.	Rs
Jan5	Cash account	J02	8,000				

Entry C

On January 10, the owner purchased goods on credit from Pasha worth Rs.1,500

Journal **Page 03**

Date 20X9	Particulars	Post Ref.	Rs.	Rs.
Jan.10	Purchases account	L13	1,500	
	Creditor (Pasha) account	L42		1,500
	(Purchased goods on credit)			

Purchases Account **Page 13**

Date	Particulars	Post Ref.	Rs	Date	Particulars	Post Ref.	Rs
Jan 10	Creditors account	J03	1,500				

Creditors (Pasha) Account

Date	Particulars	Post Ref.	Rs	Date	Particulars	Post Ref.	Rs
				Jan 10	Purchases account	J03	1,500

Entry D

On January 18, received cash of Rs.2,500 from customers for sale of goods

Page 04

Date 20X9	Particulars	Post Ref.	Rs.	Rs.
Jan.18	Cash account Sales account (sold goods for cash)	L61 L24	2,500	 2,500

Cash Account **Page 61**

Date 20X9	Particulars	Post Ref.	Rs	Date	Particulars	Post Ref.	Rs
Jan 18	Sales account	J04	2,500				

Sales Account **Page 24**

Date	Particulars	Post Ref.	Rs	Date 20X9	Particulars	Post Ref.	Rs
				Jan 18	Cash account	J04	2,500

Entry E

On January 30, the owner paid creditors on account, Rs.1,000

Page 05

Date 20X9	Particulars	Post Ref.	Rs.	Rs.
Jan.30	Creditors Cash (Paid creditors on account)	L42 L61	1,000	 1,000

The posting of this entry is shown in the relevant ledger account as follows:

Cash Account **Page 61**

Date	Particulars	Post Ref.	Rs	Date 2009	Particulars	Post Ref.	Rs
				Jan 30	Creditors	J05	1,000

Creditors Account **Page 42**

Date 2009	Particulars	Post Ref.	Rs	Date	Particulars	Post Ref.	Rs
Jan 30	Cash account	J05	1,000				

Important Tips To Remember - ITTR

1. Each journal entry is posted twice in the ledger
2. First, in the debit side of a ledger account and second in the credit side of another ledger account with the same amount.
3. This is because of double entry book keeping system



Ledger and Trial Balance

Posting of Compound Entry into Main Ledger

Entry F (Compound entry)

On January 1, 20X9 owner introduced cash Rs.25,000 and a computer worth Rs.10,000 into the business as capital.

Journal **Page 01**

Date 20x9	Particulars	Post Ref	Rs.	Rs.
Jan.1	Cash account	L61	25,000	
	Computer account	L12	10,000	
	Capital account	L08		35,000
	(Cash and computer introduced as capital in the business)			

Cash Account **Page 61**

Date 20X9	Particulars	Post Ref.	Rs.	Date	Particulars	Post Ref.	Rs.
Jan 1	Capital account	J01	25,000				

Computer Account **Page 12**

Date 20X9	Particulars	Post Ref.	Rs.	Date	Particulars	Post Ref.	Rs.
Jan 1	Capital account	J01	10,000				

Owners Capital Account **Page 08**

Date	Particulars	Post Ref.	Rs.	Date 20X9	Particulars	Post Ref.	Rs.
				Jan 1	Cash account	J01	25,000
				Jan 1	Computer account	J01	10,000

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Post Reference

In journal the post reference column is also named as 'ledger folio (LF)' and in ledger the post reference column is also named as 'journal folio (JF)'.

Journal — **Page 01**

Date 2009	Particulars	Post Ref	Rs.	Rs.
Jan.1	Cash account	L61	25,000	
	Capital account	L08		25,000
	(Cash introduced as capital in the business)			

Cash Account — **Page 61**

Date 20X9	Particulars	Post Ref.	Rs	Date 2009	Particulars	Post Ref.	Rs
Jan 1	Capital account	J01	25,000				

Owner's Capital Account — **Page 08**

Date 2009	Particulars	Post Ref.	Rs	Date 2009	Particulars	Post Ref.	Rs
				Jan 1	Cash account	J01	25,000

Important Tips To Remember - ITTR

1. Sum of Dr. is equal to Sum of Cr.
2. Post reference is page number of journal and ledger
3. Particular column in ledger account shows reason for being debited or credited

Ledger and Trial Balance

Practice
Posting Process

Practice 5.1

Journalize the transactions and prepare ledger accounts

Jan 1 Started business with Rs.200,000 in the bank and Rs.40,000 in cash

Jan 1 Bought shop fittings Rs.40,000 and a van Rs.60,000. Both paid by cheque.

Jan 2 Paid rent expense by cheque Rs.5,000.

Jan 3 Bought goods, for reselling, on credit from Jordan & Co. Rs.50,000

Jan 5 Cash sales Rs.5,000.

Jan 8 Paid wages of assistant in cash Rs.1,000.

Jan 10 Paid insurance expense by cheque Rs.500.

Jan 12 Cash sales Rs.8,000.

Jan 15 Paid wages of assistant in cash Rs.1,000.

Jan 17 Paid Jordan & Co. Rs.30,000 by cheque and goods returned to Jordan & Co.Rs.6,000..

Jan 19 Bought goods, for reselling, on credit from Dunhill & Co. Rs.25,000.

Jan 19 Cash sales Rs.7,000.

Jan 22 Paid wages of assistant in cash Rs.1,000.

Jan 24 Bought stationery and paid in cash Rs.500.

Jan 25 Cash sales Rs.15,000.

Jan 27 Paid Dunhill & Co. Rs.14,000 by cheque.

Jan 29 Paid wages of an assistant in cash Rs.1,000.

Jan 31 Deposited cash Rs.20,000 into the bank.

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Practice 5.1 - Answer

Date 20X9	Particulars	Post Ref.	Debit (Rs)	Credit (Rs)
Jan. 1	Bank Account	?	200,000	
	Cash Account	?	40,000	
	Capital Account	?		240,000
	(Capital introduced by the owner)			
Jan. 1	Furniture & Fittings Account	?	40,000	
	Van Account	?	60,000	
	Bank Account			100,000
	(Purchase of furniture & fittings and van for the business)			
Jan. 2	Rent Account	?	5,000	
	Bank Account	?		5,000
	(Rent paid by cheque)			
Jan. 3	Purchases Account	?	50,000	
	Creditors (Jordan & Co.)	?		50,000
	(Purchase goods on credit)			

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Practice 5.1 - Answer

Date 20X9	Particulars	Post Ref.	Debit (Rs)	Credit (Rs)
Jan. 5	Cash Account	?	5,000	
	Sales Account	?		5,000
	(Goods sold for cash)			
Jan. 8	Wages Account	?	1,000	
	Cash Account	?		1,000
	(Wages paid in cash)			
Jan. 10	Insurance Account	?	500	
	Bank Account	?		500
	(Insurance paid by cheque)			
Jan. 12	Cash Account	?	8,000	
	Sales Account	?		8,000
	(Goods sold for cash)			
Jan. 15	Wages Account	?	1,000	
	Cash Account	?		1,000
	(Wages paid in cash)			

Practice 5.1 - Answer

Date 20X9	Particulars	Post Ref.	Debit (Rs)	Credit (Rs)
Jan. 17	Creditor (Jordan & Co.) Account	?	36,000	
	Bank Account	?		30,000
	Purchases return Account	?		6,000
	(Paid Jordan & Co. by cheque and returned goods to Jordan & Co.)			
Jan. 19	Purchases Account	?	25,000	
	Creditor(Dunhill) Account	?		25,000
	(Bought goods on credit)			
Jan. 19	Cash Account	?	7,000	
	Sales Account	?		7,000
	(Sold goods for cash)			
Jan. 22	Wages Account	?	1,000	
	Cash Account	?		1,000
	(Paid wages for cash)			

Practice 5.1 - Answer

Date 20X9	Particulars	Post Ref.	Debit (Rs)	Credit (Rs)
Jan. 24	Stationery Account	?	500	
	Cash Account	?		500
	(Stationery purchased for cash)			
Jan. 25	Cash Account	?	15,000	
	Sales Account	?		15,000
	(Goods sold for cash)			
Jan. 27	Creditor (Dunhill & Co) Account	?	14,000	
	Bank Account	?		14,000
	(Paid to creditors by cheque)			
Jan. 29	Wages Account	?	1,000	
	Cash Account	?		1,000
	(Wages paid in cash)			
Jan. 31	Bank Account	?	20,000	
	Cash Account	?		20,000
	(Cash paid into bank)			

Chart of Accounts

Following is the chart of accounts for above journal:

1. Bank account
2. Cash account
3. Capital account
4. Furniture & fittings account
5. Van account
6. Rent account
7. Purchases account
8. Creditor (Jordan & Co) account
9. Sales account
10. Wages account
11. Insurance account
12. Purchases Return account
13. Creditor (Dunhill & Co) account
14. Stationery account

Ledger Accounts

Bank Account

Date 2009	Particulars	Post Ref.	Rs	Date 2009	Particulars	Post Ref.	Rs
Jan 1	Capital Account		200,000	Jan 1	Furniture & Fittings A/c		40,000
Jan 31	Cash Account		20,000	Jan1	Van Account		60,000
				Jan2	Rent Account		5,000
				Jan 10	Insurance Account		500
				Jan 17	Jordan & co. Account		30,000
				Jan 27	Dunhill & Co. Account		14,000

Cash Account

Date	Particulars	Post Ref.	Rs	Date	Particulars	Post Ref.	Rs
Jan.1	Capital Account		40,000	Jan.8	Wages Account		1,000
Jan.5	Sales Account		5,000	Jan.15	Wages Account		1,000
Jan.12	Sales Account		8,000	Jan.22	Wages Account		1,000
Jan.19	Sales Account		7,000	Jan.24	Stationery Account		500
Jan.25	Sales Account		15,000	Jan.29	Wages Account		1,000
				Jan.31	Bank Account		20,000

Ledger Accounts

Capital Account

Date	Particulars	Post Ref.	Rs	Date	Particulars	Post Ref.	Rs
				Jan. 1	Bank Account		200,000
				Jan. 1	Cash Account		40,000

Furniture & Fittings Account

Date	Particulars	Post Ref.	Rs	Date	Particulars	Post Ref.	Rs
Jan 1	Bank Account		40,000				

Ledger Accounts

Van Account

Date	Particulars	Post Ref.	Rs	Date	Particulars	Post Ref.	Rs
Jan 1	Bank Account		60,000				

Rent Account

Date	Particulars	Post Ref.	Rs	Date	Particulars	Post Ref.	Rs
Jan 2	Bank Accounts		5,000				

Ledger Accounts

Purchases Account

Date	Particulars	Post Ref.	Rs	Date	Particulars	Post Ref.	Rs
Jan 3	Jordan & co. Account		50,000				
Jan. 19	Dunhill & Co. Account		25,000				

Creditor (Jordan & co) Account

Date	Particulars	Post Ref.	Rs	Date	Particulars	Post Ref.	Rs
Jan 17	Return outwards A/c		6,000	Jan 31	Purchases A/c		50,000
Jan 17	Bank Account		30,000				

Ledger Accounts

Sales Account

Date	Particulars	Post Ref.	Rs	Date	Particulars	Post Ref.	Rs
				Jan 5	Cash Account		5,000
				Jan 12	Cash Account		8,000
				Jan 19	Cash Account		7,000
				Jan 25	Cash Account		15,000

Wages Account

Date	Particulars	Post Ref.	Rs	Date	Particulars	Post Ref.	Rs
Jan 8	Cash Account		1,000				
Jan 15	Cash Account		1,000				
Jan 22	Cash Account		1,000				
Jan 29	Cash Account		1,000				

Insurance Account

Date	Particulars	Post Ref.	Rs	Date	Particulars	Post Ref.	Rs
Jan 10	Bank Account		500				

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Ledger Accounts

Purchases Return Account

Date	Particulars	Post Ref.	Rs	Date	Particulars	Post Ref.	Rs
				Jan 17	Jordan & co. A/c		6,000

Creditor (Dunhill & Co) Account

Date	Particulars	Post Ref.	Rs	Date	Particulars	Post Ref.	Rs
Jan 27	Bank Account		14,000	Jan 19	Purchases A/c		25,000

Stationery Account

Date	Particulars	Post Ref.	Rs	Date	Particulars	Post Ref.	Rs
Jan 18	Cash Account		500				

Important Tips To Remember - ITTR

1. Always develop a chart of account prior to posting process
2. Ledger account of an accounting head summarized all related journal entries recorded in the journal

Ledger and Trial Balance

Balancing the Ledger Accounts

Balancing the ledger accounts

In the above **practice 5.1**, the ledger accounts are not producing final balances, which can be reported in the financial statements.

Balancing figure is an amount that equalizes both sides of a ledger account.

Balancing a Sample accounts

Sample Account

Date	Particulars	Post Ref.	Rs	Date	Particulars	Post Ref.	Rs
Jan 18	Cash Account		5,000	Jan 25	Cash		9,000
Jan 20	Cash Account		7,000				
Jan 30	Cash Account		3,000		Balancing figure	ß	6,000
Total			**15,000**		**Total**		**15,000**

Total Debit **Rs.15,000**
Total Credit **Rs. 9,000**
Debit Balance **Rs. 6,000**

Identifying the Balance

- A balancing figure appearing in the credit side of a ledger account is known as a *Debit Balance* and
- A balancing figure appearing in the debit side of a ledger account is known as *Credit Balance*.

Balancing the ledger accounts

Balance of "Bank account" in the **practice 5.1**

Step 1. Total of Debit side Rs.220,000.

Step 2. Total of Credit side Rs.149,500.

Step 3. Deduct the sum of lower side out of the sum of higher side; the Balance is Rs.70,500.

Bank Account

Date 1997	Particulars	Post Ref.	Rs	Date	Particulars	Post Ref.	Rs
Jan 1	Capital Account		200,000	Jan 1	Furniture & Fittings A/c		40,000
Jan 31	Cash Account		20,000	Jan1	Van Account		60,000
				Jan2	Rent Account		5,000
				Jan 10	Insurance Account		500
				Jan 17	Jordan & co. Account		30,000
				Jan 27	Dunhill & Co. Account		14,000
				Jan 31	*Balance*	ß	*70,500*
	Total		**220,000**		**Total**		**220,000**

Mechanism of Balancing Ledger

1. Identify “natural side” of the accounting head.
2. Make total of the “natural side” (being greater).
3. Place this sum at the bottom of both sides (Dr. and Cr.) of the ledger account.
4. Deduct, one by one, the amounts of lower side (opposite to the natural side) from the total of the “natural side” (that has already been placed at the bottom).
5. Place the balancing figure in the lower side, so that the sum of both sides remains same.

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Contra nature of accounts

There is an exception to the above criterion for contra nature of accounts e.g. sales return account and purchases return account etc.

Because the natural side (greater side) of contra accounts would always be opposite to the group's nature.

Contra Accounts

Original Accounts	Contra Accounts	Main Head
Purchases	Purchases Return	Expense
Sales	Sales Return	Income
Capital	Drawings	Owner's Equity
Fixed Assets	Provision for Depreciation	Asset
Debtors	Provision for Doubtful Debts	Asset

Balance of contra account is always opposite to the balance of its original accounts.

Important Tips To Remember - ITTR

1. Balance appearing in the Cr. side is Dr. balance
2. Balance appearing in the Dr. Side is Cr. balance
3. Balance reflects the nature of the accounting head in terms of Dr. and Cr.

Ledger and Trial Balance

Practice Balancing the Ledger Accounts

Balancing ledger – Practice 5.1

Bank Account

Date 1997	Particulars	Post Ref.	Rs	Date	Particulars	Post Ref.	Rs
Jan 1	Capital Account		200,000	Jan 1	Furniture & Fittings A/c		40,000
Jan 31	Cash Account		20,000	Jan 1	Van Account		60,000
				Jan 2	Rent Account		5,000
				Jan 10	Insurance Account		500
				Jan 17	Jordan & co. Account		30,000
				Jan 27	Dunhill & Co. Account		14,000
				Jan 31	*Balance*	ß	*70,500*
			220,000				**220,000**

Cash Account

Date	Particulars	Post Ref.	Rs	Date	Particulars	Post Ref.	Rs
Jan 1	Capital Account		40,000	Jan 8	Wages Account		1,000
Jan 5	Sales Account		5,000	Jan 15	Wages Account		1,000
Jan 12	Sales Account		8,000	Jan 22	Wages Account		1,000
Jan 19	Sales Account		7,000	Jan 24	Stationery Account		500
Jan 25	Sales Account		15,000	Jan 29	Wages Account		1,000
				Jan 31	Bank Account		20,000
				Jan 31	*Balance*	ß	*50,500*
			75,000				**75,000**

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Balancing ledger – Practice 5.1

Capital Account

Date	Particulars	Post Ref.	Rs	Date	Particulars	Post Ref.	Rs
Jan 18	*Balance*	ß	*240,000*	Jan 1	Bank Account		200,000
				Jan 1	Cash Account		40,000
			240,000				**240,000**

Furniture & Fittings Account

Date	Particulars	Post Ref.	Rs	Date	Particulars	Post Ref.	Rs
Jan 1	Bank Account		40,000	Jan 31	*Balance*	ß	*40,000*
			40,000				**40,000**

Van Account

Date	Particulars	Post Ref.	Rs	Date	Particulars	Post Ref.	Rs
Jan 1	Bank Account		60,000		*Balance*	ß	*60,000*
			60,000				**60,000**

Balancing ledger – Practice 5.1

Rent Account

Date	Particulars	Post Ref.	Rs	Date	Particulars	Post Ref.	Rs
Jan 2	Bank Accounts		5,000	Jan 31	*Balance*	ß	*5,000*
			5,000				**5,000**

Purchases Account

Date	Particulars	Post Ref.	Rs	Date	Particulars	Post Ref.	Rs
Jan 3	Jordan & co. A/c		50,000	Jan 31	*Balance*	ß	*75,000*
Jan 19	Dunhill & Co. A/c		25,000				
			75,000				**75,000**

Creditor (Jordan & Co.) Account

Date	Particulars	Post Ref.	Rs	Date	Particulars	Post Ref.	Rs
Jan 17	Purchases Return A/c		6,000	Jan 31	Purchases A/c		50,000
Jan 17	Bank Account		30,000				
Jan 31	*Balance*	ß	*14,000*				
			50,000				**50,000**

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Balancing ledger – Practice 5.1

Sales Account

Date	Particulars	Post Ref.	Rs	Date	Particulars	Post Ref.	Rs
Jan 31	*Balance*	ß	*35,000*	Jan 5	Cash Account		5,000
				Jan 12	Cash Account		8,000
				Jan 19	Cash Account		7,000
				Jan 25	Cash Account		15,000
			35,000				**35,000**

Wages Account

Date	Particulars	Post Ref.	Rs	Date	Particulars	Post Ref.	Rs
Jan 8	Cash Account		1,000	Jan 31	*Balance*	ß	*4,000*
Jan 15	Cash Account		1,000				
Jan 22	Cash Account		1,000				
Jan 29	Cash Account		1,000				
			4,000				**4,000**

Insurance Account

Date	Particulars	Post Ref.	Rs	Date	Particulars	Post Ref.	Rs
Jan 10	Bank Account		500	Jan 31	*Balance*	ß	*500*
			500				**500**

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Balancing ledger – Practice 5.1

Purchases Return Account

Date	Particulars	Post Ref.	Rs	Date	Particulars	Post Ref.	Rs
Jan 31	*Balance*	ß	*6,000*	Jan 17	Jordan & Co. A/c		6,000
			6,000				**6,000**

(Dunhill & Co.) Account

Date	Particulars	Post Ref.	Rs	Date	Particulars	Post Ref.	Rs
Jan 27	Bank Account		14,000	Jan 19	Purchases A/c		25,000
Jan 31	*Balance*	ß	*11,000*				
			25,000				**25,000**

Stationery Account

Date	Particulars	Post Ref.	Rs	Date	Particulars	Post Ref.	Rs
Jan 18	Cash Account		500	Jan 31	*Balance*	ß	*500*
			500				**500**

Important Tips To Remember - ITTR

1. The side matching with nature of the relevant ledger account would always be heavier
2. Never put c/d or c/f with balances of the nominal accounts i.e., income and expense

Ledger and Trial Balance

Trial Balance

Trial Balance

Trial balance is merely a list of balances extracted from the ledger containing final balance of each ledger account.

In a trial balance; all accounting heads having debit balances are listed in the left-hand side (Dr-side) and likewise all accounting heads having credit balances are listed in the right-hand side (Cr-side).

Trial Balance – Practice 5.1

Sr. No.	Accounting Heads	Debit Rs.	Credit Rs.
1	Bank account	70,500	
2	Cash account	50,500	
3	Capital account		240,000
4	Furniture & fittings account	40,000	
5	Van account	60,000	
6	Rent account	5,000	
7	Purchases account	75,000	
8	Creditor Jordan & Co. account		14,000
9	Sales account		35,000
10	Wages account	4,000	
11	Insurance account	500	
12	Purchases Return account		6,000
13	Creditor Dunhill & Co. account		11,000
14	Stationery account	500	
	Total	306,000	306,000

Important Tips To Remember - ITTR

1. Trial balance is neither a book of account nor it is a financial statement
2. Trial balance confirms arithmetic accuracy of bookkeeping
3. Sum of Dr. is equal to Sum of Cr.

Ledger and Trial Balance

Posting from Subdivided Journal into Main Ledger

Posting from sub-divided journals

The mechanism of posting process from subdivided journals into the relevant ledger accounts is somewhat different from the posting process discussed earlier; from general journal into ledger.

Posting from Purchase Journal

PURCHASE JOURNAL

Date 2009	Name of Creditor	Inv. No.	Post. Ref.	Amount Rs.
Feb 1	Mian			2,875
Feb 3	Malik			667
Feb 6	Butt			285
Feb 10	Jutt			550
Feb 17	Buttar			8,280
Feb 19	Mughal			1,880
Feb 27	Kashmiri			7,250
Feb 28	Meer			3,244
Feb 28	**Total**			**25,031**

Sundry/Total Creditors Account

Date	Particulars	Post Ref.	Rs.	Date	Particulars	Post Ref.	Rs.
Feb 28				Feb 28	Purchases Account		25,031

Purchases Account

Date	Particulars	Post Ref.	Rs.	Date	Particulars	Post Ref.	Rs.
Feb 28	Creditors Account		25,031	Feb 28			

Posting from Sales Journal

SALES JOURNAL

Date 2009	Name of Debtors	Invoice No.	Post. Ref.	Amount Rs.
Mar2	Tiwana			5,425
Mar6	Kumboh			928
Mar10	Dar			728
Mar14	Tiwana			1,872
Mar18	Bhatti			5,427
Mar22	Kumboh			271
Mar28	Sial			9,494
Mar30	Rajpoot			899
Mar31	**Total**			**25,044**

Sales Account

Date	Particulars	Post Ref.	Rs.	Date	Particulars	Post Ref.	Rs.
				Mar 31	Debtors Account		25,044

Sundry/Total Debtors Account

Date	Particulars	Post Ref.	Rs.	Date	Particulars	Post Ref.	Rs.
	Sales Account		25,044				

Important Tips To Remember - ITTR

1. Sum of Purchase Journal is posted into Purchases a/c and Creditors a/c
2. Sum of Sales Journal is posted into Sales a/c and Debtors a/c

Ledger and Trial Balance

Posting from Cash Book into Main Ledger

Posting from cash book

Cash Book

Date	Receipts	Post Ref.	Rs.	Date	Payments	Post Ref.	Rs.
	Capital A/c		20,000		Rent A/c		500
	Debtors A/c		5,000		Creditors A/c		4,000
	Commission A/c		2,000		Stationery A/c		1,000
	Sales A/c		10,000		Purchases a/c		8,000
					Balance	ß	23,500
			37,000				37,000

Capital Account

Date	Particulars	Post Ref.	Rs.	Date	Particulars	Post Ref.	Rs.
	Balance	ß	20,000		Cash A/c		20,000

Sundry Debtors Account

Date	Particulars	Post Ref.	Rs.	Date	Particulars	Post Ref.	Rs.
	Sales journal		25,044		Cash A/c		5,000
					Balance	ß	20,044

Commission Account

Date	Particulars	Post Ref.	Rs.	Date	Particulars	Post Ref.	Rs.
	Balance	ß	2,000		Cash A/c		2,000

Sales Account

Date	Particulars	Post Ref.	Rs.	Date	Particulars	Post Ref.	Rs.
					Cash A/c		10,000
	Balance	ß	35,044		Sales journal		25,044

Rent Account

Date	Particulars	Post Ref.	Rs.	Date	Particulars	Post Ref.	Rs.
	Cash A/c		500		Balance	ß	500

Sundry Creditors Account

Date	Particulars	Post Ref.	Rs.	Date	Particulars	Post Ref.	Rs.
	Cash A/c		4,000		Purchase journal		25,031
	Balance	ß	21,031				

Stationery Account

Date	Particulars	Post Ref.	Rs.	Date	Particulars	Post Ref.	Rs.
	Cash A/c		1,000		Balance	ß	1,000

Purchases Account

Date	Particulars	Post Ref.	Rs.	Date	Particulars	Post Ref.	Rs.
	Cash A/c		8,000				
	Purchase journal		25,031		Balance	ß	33,031

Important Tips To Remember - ITTR

1. Cash book is considered as a ledger account for cash
2. Considering first effect of has already been posted, the second effects cash receipts and payments are posted into relevant ledger accounts

Practice 5.6

State whether each of following statements is True or False

1. Ledger keeps transactions in chronological order. False
2. Posting is done in Ledger. True
3. Ledger is a source for preparing Trial Balance. True
4. An account will show a Dr. balance if its Cr. side is greater than its Dr. side. False
5. First of all, the transactions are recorded in ledger. False
6. Cash Account always shows a debit balance. True
7. Debit side of expenses is always greater than its credit side. True
8. While posting from general journal to ledger; the opposite account will be used to show as a reason in particulars column of ledger account. True

Important Tips To Remember - ITTR

Accounting Cycle

1. Voucher / Source document
2. Journal
3. Ledger
4. Trial Balance
5. Financial Statements
6. Analysis



Chapter - 6

Preparation of Financial Statements

Topic videos 58-61 are mandatory part of this module

MGT 101
Financial Accounting

By
Mian Ahmad Farhan, FCA

Module Merged by AARISH ALI (Team VU Global) - +96569002641

Contents

Sr. No	Course Outline Topics
1	Components of Financial Statements and Accounting Equations
2	Proper format of Income Statement
3	Proper format of Balance Sheet
4	Practice

Preparation of Financial Statements

Components of Financial Statements and Accounting Equations

Need for financial statements

- To know financial position
- To know financial performance
- To know cash flows
- To know changes in equity
- To know significant accounting policies and disclosures

Components of financial statements

Main components

1. **Income statement (profit or loss and other comprehensive income)**
2. **Balance sheet (financial position)**

(IAS 1) five components of financial statements:

1) **Statement of Financial Position**
2) **Statement of Profit or Loss and Other Comprehensive Income**
3) **Statement of Cash Flows**
4) **Statement of Changes in equity and**
5) **Notes to the Financial Statements**

Accounting Equation

Income statement

Incomes – Expenses = Profit

Balance sheet

Assets = Owners equity + Liabilities

Practice 6.1

Prepare income statement and balance sheet with the help of following trail balance.

Accounting heads	Debit Rs.	Credit Rs.
Bad debts	305	
Advertisement	1,506	
Telephone Bill	1,615	
Stationery	500	
Repairs	600	
Sales Revenue		40,600
Purchases Expense	28,500	
Salaries and wages	4,850	
Machinery	12,500	
Creditor		5,250
Debtors	7,810	
Furniture	5,600	
Land	28,000	
Drawings	7,218	
Rent Income		1,000
Capital		52,154
Total	99,004	99,004

Closing stock is valued at Rs. 9,960

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Practice 6.1 - Answer

Income Statement for the reporting period…

Income		-	Expense		=	Net Profit
Sales Revenue	40,600		Purchases Expense	28,500		
Rent income	1,000		Less: closing Stock*	(9,960)		
			Cost of goods sold	18,540		
			Bad debts	305		
			Advertisement	1,506		
			Telephone bill	1,615		
			Stationery	500		
			Repairs	600		
			Salaries & wages	4,850		
	41,600	-		**27,916**	=	**13,684**

Balance Sheet as on the reporting date…

Assets		=	Owner's equity		+	liabilities	
Debtor	7,810		Capital	52,154		Creditors	5,250
Stock closing*	9,960		Add Net profit	13,684			
Furniture	5,600		Less Drawings	(7,218)			
Machinery	12,500						
Land	28,000						
				58,620	+		5,250
	63,870	=				**63,870**	

***The cost that expires during the reporting year is reported as expense. Cost of closing stock is un-expired cost.**

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Important Tips To Remember - ITTR

1. Income Statement and Balance Sheet are the two most important components of FS
2. Accounting Equations correspond to these components of FS

Preparation of Financial Statements

Format of Income Statement

Format of Income Statement

Entity's Name
Income Statement
For the year ended 31 December 20X9

	Rs.	Rs.
Sales Revenue		***
Cost of Goods Sold *(Note 1)*		
Opening stock	***	
Purchases	***	
Closing stock	(***)	(***)
Gross Profit *(Note 2)*		***
Operating Expenses *(Note 3)*		(***)
Operating Profit		***
Other Income *(Note 4)*		***
Net Profit *(Note 5)*		***

Notes

1. Cost of Goods Sold

Although the purchases account is an accounting head that belongs to the main head EXPENSES but all the goods purchased are rarely sold out in the year of purchase. It is adjusted with opening and closing stock.

2. Gross Profit

Gross profit shows potential of the entity to meet operating expenses during the period.

Notes

3. Operating Expenses

These include:

4. Administrative
5. Selling and marketing

These are subtracted from the gross profit to ascertain operating profit of the business.

3.1 Administrative

These are incurred to run the administrative affairs.

3.2 Selling and Marketing

These expenses are incurred to promote the sales.

Notes

4. Other Incomes

These are the non-operating incomes.

5. Net Profit

It is the profit that management of the entity wants to know through income statement in order to take certain economic decisions.

Important Tips To Remember - ITTR

1. Matching principle is the base of preparing Income Statement
2. Cost that expires is expense

Preparation of Financial Statements

Format of Balance Sheet

Format of Balance Sheet

Entity's Name
Balance Sheet
As at 31 December 20X9

		Rs.	Rs.
Assets			
	Fixed Assets (Note 6)		
	Land	***	
	Building	***	
	Machinery	***	
	Furniture	***	***
	Current Assets (Note 7)		
	Stock / Inventory	***	
	Debtors	***	
	Bank balance	***	
	Cash in hand	***	***
			***
Owner's Equity *(Note 8)*			
	Capital	***	
Add:	Net profit	***	
Less:	Drawings	(***)	***
Liabilities:			
	Long term loans *(Note 9)*		
	Loan from bank	***	
	Finance lease liability	***	***
	Current liabilities *(Note 10)*		
	Creditors	***	
	Bank overdraft	***	
	Short term loans	***	***
			***

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Notes

6. Fixed Assets

These are the assets that are held; for use in production of goods/services or delivery of goods/services, for renting to others and for administration purpose.

7. Current Assets

These are the assets that are held for trading purposes (means stock for selling purpose) and/or are expected to be recovered in cash in next twelve months (debtor), and/or are cash in hand and cash at bank.

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Notes

8. Owners' Equity

It includes the amount of capital and also the net profit earned/generated by the entity. The amount of drawings is subtracted from it.

9. Long-Term Loan

It is an obligation on the entity that is expected to be settled after more than one accounting year.

10. Current Liabilities

These are obligations on the entity that are payable within next twelve months.

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Important Tips To Remember - ITTR

1. Distinguishing between fixed assets and current assets is must
2. Liabilities should also be distinguished between long-term and short-term obligations
3. Short-term obligations are current liabilities

Preparation of Financial Statements

Practice
Income Statement
Balance Sheet

Practice 6.1 – Answer

Entity's Name
Income Statement
For the year ended 31st December 20X9

	Rs.	Rs.
Sale		40,600
Cost of Goods Sold ***(Note 1)***		
Opening stock	-	
Purchases	28,500	
Closing stock	(9,960)	(18,540)
Gross Profit		22,060
Operating Expenses:		
Bad Debts	305	
Advertisement	1,506	
Telephone Bill	1,615	
Stationary	500	
Repairs	600	
Salaries & Wages	4,850	9,376
Operating Profit/Income		12,684
Other Income		
Add: Rent Income		1,000
Net Profit/Income		**13,684**

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Practice 6.1 – Answer

Entity's Name
Balance Sheet
As at 31 December 20X9

	Rs.	Rs.
Assets		
Fixed Assets		
Land	28,000	
Machinery	12,500	
Furniture	5,600	46,100
Current Assets		
Stock	9,960	
Debtors	7,810	17,770
		63,870
Owner's Equity		
Capital	52,154	
Add: Net Profit	13,684	
Loss: Drawings	(7,218)	58,620
Liabilities		
Current liabilities		
Creditors		5,250
		63,870

Important Tips To Remember - ITTR

1. Expenses are classified in accordance to their functions
2. Grouping of Balance Sheet items is mostly based on the order of permanency

Chapter - 7

Bank Reconciliation Statements

MGT 101
Financial Accounting

By
Mian Ahmad Farhan, FCA

Module Merged by AARISH ALI (Team VU Global) - +96569002641

Contents

Sr. No	Course Outline Topics
1	Basic Concepts of Bank Reconciliation
2	Nature and Behaviour of Balances
3	Possible reasons of differences - Those need adjustment in cash book
4	Possible reasons of differences - Those need to be presented in BRS
5	Practice - Given: Both Balances
6	Practice - Given: Previous BRS, current cash book and current bank statement
7	BRS – Accounting Entries 68

Bank Reconciliation Statement

Basic Concept of Bank Reconciliation Statement

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Basic Concept of Bank Reconciliation

- Cash book balance in conformity with the bank statement balance
- Accountant of the business prepares a bank reconciliation statement on a specific date
- BRS presents reasons causing difference among the ***balance as per cash book*** and ***balance as per bank statement***
- There arise two types of difference
  - Adjusting difference
  - Reconciling difference

Important Tips To Remember - ITTR

1. Business accountant prepares cash book
2. Bankers prepare bank statement
3. Business accountant prepares BRS

Bank Reconciliation Statement

Nature and Behaviour of Balances

Nature and Behaviour of Balances

It is important to know the nature and behavior of two balances before unfolding the possible reasons of difference among the two balances.

Balances as per: / Favorable or Unfavorable Balance	Deposit account (Favorable for the entity/business)	Overdraft account (Unfavorable for the entity/business)
Business Record _ Cash Book (Bank Column) _ Bank a/c _ Bank Book	Dr. Entity's Asset	Cr. Entity's Liability
Bank Record _ Bank Statement _Pass Book	Cr. Bank's Liability	Dr. Bank's Asset

Important Tips To Remember - ITTR

1. There are two types of deposit account:
   a) Fixed/Time Deposit
   b) Demand Deposit
2. BRS is prepared for demand deposit accounts only. These may be:
   a) Current Account
   b) Profit and Loss Sharing Account, also known as Saving Account
3. Transactions take place frequently in demand deposit accounts
4. Further deposits and withdrawals are not made in time deposit account till its maturity

Bank Reconciliation Statement

Possible Reasons of Differences

“Those need adjustments in Cash Book”

Possible Reasons of Difference

1. Adjusting items
2. Reconciling items

Adjusting Items

Those need adjustments in cash book

a)	**Not yet recorded in cash book**	**Effect in Cash Book**
	• Credit transfers Dr	(collections)
	• Direct debits Cr	(payments)
	• Standing orders Cr	(payments)
	• Bank charges Cr	(deductions)
	• Interest on overdrawn balance Cr	(deductions)
	• Deposited cheque returned Cr	(deductions)
b)	**Mistakes committed in cash book**	
	• Receipts side mistakenly overstated Cr	

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Important Tips To Remember - ITTR

1. Business accountant amends cash book for the mistakes or unrecorded financial information
2. Cash book balance after the adjustments is presented in balance sheet

Bank Reconciliation Statement

Possible Reasons of Differences

“Those need to be presented in BRS”

Possible Reasons of Difference

1. Adjusting items
2. Reconciling items

Reconciling Items

Those need to be presented in BRS

a) **Not yet recorded in the bank statement** — **Effect in BRS**

- A cheque from a customer recorded in cash book and also deposited but not yet collected by the bank **Cr**
- Cheques paid to suppliers recorded in cash book but not yet presented to the bank for payment **Dr**

b) **Mistakes committed in bank statement**

- Wrongly debited/charged by the bank **Cr**
- Wrongly credited by the bank **Dr**

Important Tips To Remember - ITTR

1. Uncollected cheques are also named as:
   a) uncleared cheque
   b) uncredited cheques
   c) uncleared lodgments
   d) deposits in transit and
   e) outstanding lodgments
2. Unpresented cheques are also named as:
   a) outstanding cheques
   b) uncashed cheques
   c) unpaid cheques

Bank Reconciliation Statement

Practice:
Given – Both Balances

Practice 7.1

The balance as per Yasin Trader's cash book (bank column) Rs.4,500 does not agree with the balance as per bank statement Rs.7,700 on December 31, 20X9.

An investigation reveals following facts:

1. **Cheques from customers of Rs.2,000 have been paid into the bank but have not yet been processed/cleared.**
2. **Cheques paid to suppliers of Rs.6,200 have not yet been presented to the bank for payment**
3. **The bank statement shows Rs.700 as bank charges that are yet to be recorded in the cash book.**
4. **A cheque for Rs.300 received from a customer has been returned dishonoured and could not be rectified in the cash book.**

Practice 7.1 – Answer

Adjusted Cash Book (Bank Column)

Date	Receipts	Amount Rs.	Date	Payments	Amount Rs.
2009 Dec.31	Balance b/f (re-opened)	4,500	2009 Dec.31	Bank charges	700
				Cheques Dishonored	300
				Balance c/f	3,500
		4,500			**4,500**

Bank Reconciliation Statement
As on December 31, 20X9

		Rs.
Balance as per Bank Statement (favorable)	Cr	7,700
Un-collected Cheques	Cr	2,000
Un-presented Cheques	Dr	6,200
Corrected Balance	**Cr**	**3,500**
Balance as per adjusted cash book (bank column)	**Dr**	**3,500**

Important Tips To Remember - ITTR

1. When both balances are given in a question then prepare BRS starting with balance as per bank statement
2. Never mix up adjusting and reconciling items in one statement, always prepare adjusted cash book and BRS separately.
3. Practice Dr. and Cr. for preparing BRS

Bank Reconciliation Statement

Practice:
Given – Previous BRS, current cash book and current bank statement

Practice 7.2

Following information relates to the bank balance of Sethi Industries for the month of June 20X9.

Bank Reconciliation Statement
As on May 31, 20X9

	Rs.	Rs.
Balance as per Bank Statement		Cr. 5,000
Unpresented Cheques		
Rashid Kamal	1,700	
Asad Ali	1,300	Dr. 3,000
Uncollected Cheques		
Nauman Zikria	2,800	
Munir Ishaq	1,200	Cr. 4,000
		Cr. 6,000
Balance as per Cash Book		**Dr. 6,000**

Cash Book (Bank column)

Jun 20X9		Rs.	June 20X9		Rs.
1	Balance b/f	6,000	6	Fareed ud Din	800
2	Abbass Elahi	950	18	Rent	1,500
3	Bilal Mushtaq	450	20	Ghulam Abbas	1,400
10	Chiragh Din	2,000	27	Haider Ali	1,600
19	Dilnawaz khan	1,250	30	Ismail Rana	1,200
29	Elahi Buksh	850	30	Balance b/f	5,000
		11,500			**11,500**

Practice 7.2

Bank Statement
June 1, 20X9 to June 30, 20X9

Jun 20X9		Dr. Rs.	Cr. Rs.	Balance Rs.
1	Balance b/f			Cr. 5,000
2	Nauman Zikria		2,800	7,800
3	Abbas Elahi		950	8,750
3	Munir Ishaq		1,200	9,950
5	Bilal Mushtaq		450	10,400
7	Fareed ud Din	800		9,600
13	Chiragh Din		2,000	11,600
13	Bank charges	20		11,580
19	Rent	1,500		10,080
22	Chamber of Commerce Subscription (Standing order)	3,000		7,080
25	Asad Ali	1,300		5,780
28	Credit transfer (Bad Debts recovered)		120	5,900
30	Electricity Bill (Direct Debit)	900		Cr. 5,000

Required:

1 Prepare adjusted Cash Book for June, 20X9

2 Prepare Bank Reconciliation Statement as on June 30, 20X9.

3 Pass adjusting entries in Journal of Sethi Industries.

Practice 7.2 – Answer

Adjusted Cash Book

Date	Particulars	Amount Rs.	Date	Particulars	Amount Rs.
20X9			**20X9**		
June30	Balance b/f	5,000	June 30	Bank Charges	20
	Credit transfer	120		Subscription chamber of Commerce (standing order)	3,000
				Electricity Bill (Direct debit)	900
				Balance c/f	1,200
		5 ,120			5,120

Practice 7.2 – Answer

Bank Reconciliation Statement
As on June 30, 20X9

	Rs.	Rs.
Balance as per Bank Statement		Cr. 5,000
Uncollected Cheques:		
Dilnawaz Khan	1,250	
Elahi Buksh	850	Cr. 2,100
Unpresented Cheques:		
Rashid Kamal (May)	1,700	
Ghulam Abbas	1,400	
Haider Ali	1,600	
Ismail Rana	1,200	Dr. 5,900
		Cr. 1,200
Balance as per Adjusted Cash Book		Dr. 1,200

Practice 7.2 – Answer

Journal Entries

		Rs.	Rs.
1	Bank Charges A/c.	20	
	Bank A/c.		20
2	Trade subscription A/c.	3,000	
	Bank A/c.		3,000
3	Electricity Bill A/c.	900	
	Bank A/c.		900
4	Bank A/c.	120	
	Bad Debts recovered A/c.		120

Important Tips To Remember - ITTR

1. Items appearing in the Dr. side of Cash Book should appear in Cr. side of the Bank Statement and vice versa
2. Accounting entry is passed for each adjusting item

Bank Reconciliation Statement

Practice:
Given – Previous cash book and current bank statement

Practice 7.3

Books of Mehran Bros.
Cash Book (Bank Column)

Dr. **Cr.**

Dec. 20X8		Rs.	Dec. 20X8		Rs.
1	Balance b/f	760	3	Drawings	400
7	Warda	840	11	Fateh Din	2,380
15	Danish	2,000	15	Cheque Book	20
19	Faiqa	2,620	24	Pervaiz	1,040
29	Bashir	600	26	Haris	760
31	Ghazal	360	29	Ghazanfar	220
			29	Commission	20
			29	Wages & Salaries	800
			31	Balance c/f	1,540
		7,180			**7,180**

Practice 7.3

Bank Statement
Mehran Bros. in Current Account with Bank

Dr. **Cr.**

Jan. 20X9		Rs.	Jan. 20X9		Rs.
2	Pervaiz	1,040	1	Balance b/f	1,840
4	Humaira	80	3	Bashir	600
5	Bashir (Cheque dishonored)	600	4	Steel Co.	1,230
6	Dilbar	450	5	Ghazal	360
8	Babar	150	9	Dilawar	750
9	Ghazanfar	220			

Prepare a bank reconciliation statement as on December 31, 20X8 and compare the pattern of this question with the pattern of Practice 7.2.

Practice 7.3 – Answer

Bank Reconciliation Statement
As on December 31, 20X8

	Rs.	Rs.
Balance as per Bank Statement on December 31, 20X8		Cr. 1,840
Uncollected Cheques:		
Bashir	600	
Ghazal	360	Cr. 960
Unpresented Cheques:		
Pervaiz	1,040	
Ghazanfar	220	Dr. 1,260
		Cr. 1,540
Balance as per Cash Book on December 31, 20X8		Dr. 1,540

Important Tips To Remember - ITTR

1. When only the balance as per bank statement is given; first prepare BRS to find out the balance as per adjusted cash book, place this balance in adjusted cash book as a closing balance and then find out the opening balance of cash book (through reverse working) that would be a balancing figure.
2. When only the balance as per cash book is given in the question then first prepare adjusted cash book and then prepare BRS starting with the balance as per adjusted cash book.

Bank Reconciliation Statement

BRS

Accounting Entries

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BRS – Accounting Entries

Transactions	Entries
Credit transfers	Dr Bank Cr Income/Receivable
Direct debits	Dr Expense/Creditor Cr Bank
Standing order	Dr Expense/Creditor Cr Bank
Bank charges	Dr Bank Charges Cr Bank
Interest charges	Dr Interest expense Cr Bank
Deposited cheque returned dishonoured	Dr Debtors Cr Bank

BRS – Accounting Entries

Mistakes committed in cash book

Receipts side mistakenly overstated

Dr Suspense A/c
Cr Bank A/c

Receipts side mistakenly understated

Dr Bank A/c
Cr Suspense A/c

Payments side mistakenly overstated

Dr Bank A/c
Cr suspense A/c

Payments side mistakenly understated

Dr Suspense A/c
Cr Bank A/c

Issued cheque returned dishonored but in replacement a new cheque was re-issued immediately **(No effect in the book of accounts)**

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Important Tips To Remember - ITTR

1. Practice
2. Practice
3. Practice

Chapter - 8

Accrual Accounting

MGT 101
Financial Accounting

By
Mian Ahmad Farhan, FCA

Module Merged by AARISH ALI (Team VU Global) - +96569002641

Contents

Sr. No	Course Outline Topics
1	Basic Concepts of Accruals based Accounting
2	Technique for calculating expense for the year
3	Technique for calculating income for the year
4	One and two account method approach - Expense in arrear
5	One and two account method approach - Expense in advance
6	Accrued Income
7	Advance Income
8	Diagrammatic understanding of Accruals and Prepayments
9	Adjusting and Closing entries

Accrual Accounting

Basic Concept of Accrual Based Accounting

Cash Basis of Accounting

Two bases to present financial performance of an entity:

1) **Cash basis and**
2) **Accrual basis**

Conventionally, small business entities prepare financial statements on *"Cash Basis"*

- **Very easy to handle**
- **Less costly**
- **No complex accounting system is required to be developed and implemented**

Accrual Basis of Accounting

Entities of considerable size follow *"Accrual Basis"*

- Little complex
- More cost and efforts are required to report financial performance
- It establishes control over trade receivables and payables through a designed system

Examples – Accrual based accounting

Example – 1

Electricity bill for the last quarter (October – December) was not paid until the end of reporting period 31st December 20X9.

Under the cash-based accounting; the unpaid utility bill will not be recognized as expense in the accounting year 20X9. It will be recognized as expense for the year 20Y0 upon payment.

Under the accrual-based accounting; the unpaid utility expense will be recognized as expense in the accounting year 20X9 along with a liability that will be paid in 20Y0.

Example – 2

Insurance paid in advance for the year 20X9 on 1st November 20X8

Under the cash-based accounting; the payment will be recorded as expense as soon as cash is paid to insurance company on 1st November 20X8

Under the accrual-based accounting; the payment of insurance will be recorded in the year 20X8 as "prepayment or paid in advance" which shall be recognized as asset and then in the year 20X9 it will be recorded as expense, to which it belongs to.

Important Tips To Remember - ITTR

1. Accrual concept gives basis to measure incomes and expenses for an accounting period
2. Accrued concept cover
   a. Accrued income
   b. Unearned income
   c. Accrued expense
   d. Unexpired expense

Accrual Accounting

Technique/Formula for calculating expense for the year

Technique/Formula for Expenses

Expenses with closing balances of: accrued expense due and advance payment / prepayment

Expenses paid in cashCash Book

Add Closing accrued/due Liability

Less Closing advance/prepayment Asset

Expenses for the year Income Statement

Expenses with opening and closing balances of: accrued expense due and advance payment / prepayment

Expenses paid in cashCash Book

Add Closing accrued/due Liability

Less Opening accrued/due Previous Liability

Less Closing advance/prepayment Asset

Add Opening advance/prepayment Previous Asset

Expenses for the year Income Statement

Practice 8.1

Cash paid for rent expense during the year Rs.7,000, opening balance of expense due was Rs.250 and opening balance of prepaid expenses was Rs.400, on closing date expense still due is Rs.300 and prepaid expense is Rs.700

Prepare:

1. Rent Expense a/c
2. Accrued expense a/c
3. Prepaid expense a/c

Answer – Practice 8.1

Expense account

Particular	Debit Rs.	Particulars	Credit Rs.
Op. Advance	400	Op. Owing	250
Cash Paid	7,000	Cl. Advance	700
Cl. Owing	300	Profit & Loss (balancing figure)	**6,750**
	7,700		7,700

Accrued (Due) Expenses account

Particular	Rs.	Particulars	Rs.
Op Bal transferred to Exp. A/c	250	Balance b/f	250
Balance c/f	300	Cl owing charged to Exp. a/c	300
	550		550

Prepaid (Advance) Expenses account

Particular	Rs.	Particulars	Rs.
Balance b/f	400	Op Balance Charged to Exp. a/c	400
Cl Adv transferred from Exp. a/c	700	Balance c/f	700
	1100		1100

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Important Tips To Remember - ITTR

1. Cash paid during the year is different from Expense for the year
2. Expense is measured based on its belongingness to the reporting period
3. + Closing Due – Opening Due
4. + Opening prepaid – Closing prepaid

Accrual Accounting

Technique/Formula for calculating Income for the year

Technique/Formula for Incomes

Incomes with closing balances of: accrued income due and advance recieved / unearned

Income received in cash	Cash Book
Add Closing accrued/due	Asset
Less Closing advance/unearned	Liability
Incomes for the year	Income Statement

Incomes with opening and closing balances of: accrued income due and advance received / unearned

Income received in cash	Cash Book
Add Closing accrued/due	Asset
Less Opening accrued/due	Previous Asset
Less Closing advance/unearned	Liability
Add Opening advance/unearned	Previous Liability
Income for the year	Income Statement

Practice 8.2

Rent Income received during the year Rs.3,000, opening balance of income due was Rs.150 and opening balance of unearned income was Rs.500, on closing date income still due is Rs.70 and unearned income on closing date is Rs.50.

Prepare:

1. **Rent Income a/c**
2. **Accrued income a/c**
3. **Unearned income a/c**

Answer – Practice 8.2

Income Account

Particular	Debit Rs.	Particulars	Credit Rs.
Opening Owing	150	Opening Advance	500
Closing Advance	50	Cash Received	3,000
Profit & Loss (balancing figure)	**3,370**	Closing Owing	70
	3,570		3,570

Accrued (Due) Income Account

Particular	Rs.	Particulars	Rs.
Balance b/f	150	Op Bal transferred to Income a/c	150
Cl Bal transferred from Income a/c	70	Balance c/f	70
	220		220

Unearned (Advance) Income Account

Particular	Rs.	Particulars	Rs.
Op Bal transferred to Income A/c.	500	Balance b/f	500
Balance c/f	50	Cl Bal transferred from Income a/c	50
	550		550

Important Tips To Remember - ITTR

1. Cash received during the year for an income is different from Income for the year
2. Income is measured based on its belongingness to the reporting period
3. + Closing Due – Opening Due
4. + Opening prepaid – Closing prepaid

Accrual Accounting

Accrued Expense
Outstanding Expense
Expense in Arrear
Expense Due
Expense Owing
Expense Not Yet Paid
Expense Payable

One Account Method for Expenses

Only one ledger account is prepared for measuring expense and for its reciprocal payable

Practice 8.3

Rent is paid quarterly in arrear
Reporting Period is 12 months (Jan 1, 20X8 to Dec 31,20X8)

Payment Date	Payment Period	Amount (Rs.)
Jan 31, 20X8	Nov X7, Dec X7, Jan X8	9,000
Apr 30, 20X8	Feb X8, March X8, Apr X8	9,500
July 31, 20X8	May X8, June X8, July X8	10,000
Oct 31, 20X8	Aug X8, Sep X8, Oct X8	10,000
Jan 31, 20X9	Nov X8, Dec X8, Jan X9	10,500

Answer - Practice 8.3

		Rs.
Cash paid during the year	(W-3) – 1st Jan X8 to 31st Dec X8	38,500
Less: Opening Accrual	(W - 1) – Nov X7 and Dec X7	(6,000)
Add: Closing Accruals	(W - 2) – Nov X8 and Dec X8	7,000
Expense for the year		**39,500**

W – 1: Opening Accruals = $9{,}000 \times \frac{2}{3} = 6{,}000$

W – 2: Closing Accruals = $10{,}500 \times \frac{2}{3} = 7{,}000$

W – 3: Cash paid = $9{,}000 + 9{,}500 + 10{,}000 + 10{,}000 = 38{,}500$

Answer - Practice 8.3

One Account Method:

Rent Payable A/c.

	Rs.		Rs.
Cash paid	38,500	Opening rent payable balance b/f	6,000
Closing rent payable balance c/f	7,000	**Profit & Loss (balancing figure)**	**39,500**
	45,500		45,500

Accounting Entries

Particulars	Debit Rs.	Credit Rs.
Rent Payable A/c.	38,500	
Cash A/c.		38,500
(Rent paid in cash)		
Profit & Loss A/c.	39,500	
Rent Payable A/c.		39,500
(Closing entry for rent expense – Closed into Income Statement)		

Two Account Method for Expenses

Two ledger accounts are prepared for measuring expense and for its reciprocal payable

Practice 8.4

Rent is paid quarterly in arrear
Reporting Period is 12 months (Jan 1, 20X8 to Dec 31,20X8)

Payment Date	Payment Period	Amount (Rs.)
Jan 31, 20X8	Nov X7, Dec X7, Jan X8	9,000
Apr 30, 20X8	Feb X8, March X8, Apr X8	9,500
July 31, 20X8	May X8, June X8, July X8	10,000
Oct 31, 20X8	Aug X8, Sep X8, Oct X8	10,000
Jan 31, 20X9	Nov X8, Dec X8, Jan X9	10,500

Answer - Practice 8.4

		Rs.
Cash paid during the year	(W-3) – 1st Jan X8 to 31st Dec X8	38,500
Less: Opening Accrual	(W - 1) – Nov X7 and Dec X7	(6,000)
Add: Closing Accruals	(W - 2) – Nov X8 and Dec X8	7,000
Expense for the year		**39,500**

W – 1: Opening Accruals = $9{,}000 \times \frac{2}{3} = 6{,}000$

W – 2: Closing Accruals = $10{,}500 \times \frac{2}{3} = 7{,}000$

W – 3: Cash paid = $9{,}000 + 9{,}500 + 10{,}000 + 10{,}000 = 38{,}500$

Answer - Practice 8.4

Two Account Method

Rent Payable A/c.

	Rs.		Rs.
Rent expense	6,000	Opening rent payable balance b/f	6,000
Closing rent payable balance c/f	7,000	Rent expense	7,000
	13,000		13,000

Rent Expense A/c.

	Rs.		Rs.
Cash paid	38,500	Rent Payable (Opening balance)	6,000
Rent Payable (Closing balance)	7,000	Profit & Loss (balancing figure)	**39,500**
	45,500		45,500

Answer - Practice 8.4

Accounting Entries

Particulars	Debit Rs.	Credit Rs.
Rent Expense A/c.	38,500	
Cash A/c.		38,500
(Rent paid in cash)		
Rent Payable A/c.	6,000	
Rent Expense A/c.		6,000
(Opening balance rent due transferred)		
Rent expense A/c.	7,000	
Rent Payable A/c.		7,000
(Rent of current year is still due.)		
Profit & Loss A/c.	39,500	
Rent Expense A/c.		39,500
(Closing entry for rent expense – Closed into Income Statement)		

Important Tips To Remember - ITTR

One Account Method

1. **Separate ledger account for expense is not maintained**
2. **Balancing figure is closed to Income Statement**
3. **Closing balance is presented in Balance Sheet**

Important Tips To Remember - ITTR

Two Account Method

1. **Opening balance b/f and Closing balance c/f appears in payable account**
2. **Expense account is closed into Income Statement**

Accrual Accounting

Advance Expense
Prepaid Expense
Unexpired Expense

One Account Method for Expenses

Only one ledger account is prepared for measuring expense and for its reciprocal asset

Practice 8.5

Rent is paid quarterly in advance
Reporting Period is 12 months (Jan 1, 20X9 to Dec 31,20X9)

Payment Date	Payment Period	Amount (Rs.)
Nov. 1, 20X8	Nov X8, Dec X8, Jan X9	9,000
Feb. 1, 20X9	Feb X9, Mar X9, Apr X9	9,500
May 1, 20X9	May X9, June X9, Jul X9	10,000
Aug. 1, 20X9	Aug X9, Sep X9, Oct X9	10,000
Nov. 1, 20X9	Nov X9, Dec X9, Jan Y0	10,500

Answer - Practice 8.5

		Rs.
Cash paid during the year	(W-3) – 1ST Jan 20X9 to 31st Dec 20X9	40,000
Add: Opening Advance	(W - 1) – Jan 20X9	3,000
Less: Closing Advance	(W - 2) – Jan 20Y0	(3,500)
Expense for the year		39,500

W – 1: Opening Advance = $9{,}000 \times \frac{1}{3} = 3{,}000$

W – 2: Closing Advance = $10{,}500 \times \frac{1}{3} = 3{,}500$

W – 3: Cash paid = $9{,}500 + 10{,}000 + 10{,}000 + 10{,}500 = 40{,}000$

Answer - Practice 8.5

One Account Method:

Prepaid (Advance) Rent A/c.

	Rs.		Rs.
Opening prepaid rent balance b/f	3,000	Profit & Loss (balancing figure)	39,500
Cash paid	40,000	Closing prepaid rent balance c/f	3,500
	43,000		43,000

Particulars	Debit Rs.	Credit Rs.
Prepaid (Advance) Rent A/c.	40,000	
Cash A/c.		40,000
(Rent paid in cash)		
Profit & Loss A/c.	39,500	
Prepaid (Advance) Rent A/c.		39,500
(Closing entry for rent expense – Closed into Income Statement)		

Important Tips To Remember - ITTR

1. Separate ledger account for expense is not maintained
2. Balancing figure is closed to Income Statement
3. Closing balance is presented in Balance Sheet

Two Account Method for Expenses

Two ledger accounts are prepared for measuring expense and for its reciprocal asset

Practice 8.6

Rent is paid quarterly in advance
Reporting Period is 12 months (Jan 1, 20X9 to Dec 31,20X9)

Payment Date	Payment Period	Amount (Rs.)
Nov. 1, 20X8	Nov X8, Dec X8, Jan X9	9,000
Feb. 1, 20X9	Feb X9, Mar X9, Apr X9	9,500
May 1, 20X9	May X9, June X9, Jul X9	10,000
Aug. 1, 20X9	Aug X9, Sep X9, Oct X9	10,000
Nov. 1, 20X9	Nov X9, Dec X9, Jan Y0	10,500

Answer - Practice 8.6

		Rs.
Cash paid during the year	(W-3) – 1ST Jan 20X9 to 31st Dec 20X9	40,000
Add: Opening Advance	(W - 1) – Jan 20X9	3,000
Less: Closing Advance	(W - 2) – Jan 20Y0	(3,500)
Expense for the year		39,500

W – 1: Opening Advance = $9{,}000 \times \frac{1}{3} = 3{,}000$

W – 2: Closing Advance = $10{,}500 \times \frac{1}{3} = 3{,}500$

W – 3: Cash paid = $9{,}500 + 10{,}000 + 10{,}000 + 10{,}500 = 40{,}000$

Answer - Practice 8.6

Two Account Method

Advance Rent A/c.

	Rs		Rs.
Balance b/f	3,000	Rent Expense	3,000
Rent Expense	3,500	Balance c/f	3,500
	6,500		6,500

Rent Expense A/c.

	Rs		Rs.
Opening advance rent	3,000	Closing advance rent	3,500
Cash paid	40,000	Income statement	39,500
	43,000		43,000

Answer - Practice 8.6

Accounting Entries

Particulars	Debit Rs.	Credit Rs.
Rent Expense A/c.	40,000	
Cash A/c.		40,000
(Rent paid in cash.)		
Rent Expense A/c.	3,000	
Advance Rent A/c.		3,000
(Opening balance of advance rent transferred)		
Advance Rent A/c.	3,500	
Rent Expense A/c.		3,500
(Rent paid in advance transferred from rent Expense)		
Income Statement A/c.	39,500	
Rent Expense A/c.		39,500
(Closing entry for rent expense.)		

Important Tips To Remember - ITTR

1. Opening balance b/f and Closing balance c/f appears in prepaid account.
2. Expense account is closed into Income Statement

Accrual Accounting

Accrued Income
Outstanding Income
Income in Arrear
Income Due
Income Owing
Income Not Yet Received
Income Receivable

One Account Method for Income

Only one ledger account is prepared for measuring income and for its reciprocal receivable

Practice 8.5

Rent is received quarterly in arrear
Reporting Period is 12 months (Jan 1, 20X8 to Dec 31,20X8)

Receipt Date	Receipt Period	Amount (Rs.)
Jan 31, 20X8	Nov X7, Dec X7, Jan X8	9,000
Apr 30, 20X8	Feb X8, March X8, Apr X8	9,500
July 31, 20X8	May X8, June X8, July X8	10,000
Oct 31, 20X8	Aug X8, Sep X8, Oct X8	10,000
Jan 31, 20X9	Nov X8, Dec X8, Jan X9	10,500

Answer - Practice 8.5

		Rs.
Cash received during the year	(W-3) – 1st Jan X8 to 31st Dec X8	38,500
Less: Opening Accrual	(W - 1) – Nov X7 and Dec X7	(6,000)
Add: Closing Accrual	(W - 2) – Nov X8 and Dec X8	7,000
Income for the year		**39,500**

W – 1: Opening Accruals = $9{,}000 \times \frac{2}{3} = 6{,}000$

W – 2: Closing Accruals = $10{,}500 \times \frac{2}{3} = 7{,}000$

W – 3: Cash paid = $9{,}000 + 9{,}500 + 10{,}000 + 10{,}000 = 38{,}500$

Answer - Practice 8.5

One Account Method:

Rent Receivable A/c.

	Rs.		Rs.
Opening rent receivable balance b/f	6,000	Cash received	38,500
Profit & Loss (balancing figure)	**39,500**	Closing rent receivable balance c/f	7,000
	45,500		45,500

Accounting Entries

Particulars	Debit Rs.	Credit Rs.
Cash A/c.	38,500	
Rent receivable A/c.		38,500
(Rent received in cash)		
Rent receivable A/c.	39,500	
Profit & Loss A/c.		39,500
(Closing entry for rent income – Closed into Income Statement)		

Two Account Method for Incomes

Two ledger accounts are prepared for measuring income and for its reciprocal receivable

Practice 8.6

Rent is received quarterly in arrear
Reporting Period is 12 months (Jan 1, 20X8 to Dec 31,20X8)

Receipt Date	Receipt Period	Amount (Rs.)
Jan 31, 20X8	Nov X7, Dec X7, Jan X8	9,000
Apr 30, 20X8	Feb X8, March X8, Apr X8	9,500
July 31, 20X8	May X8, June X8, July X8	10,000
Oct 31, 20X8	Aug X8, Sep X8, Oct X8	10,000
Jan 31, 20X9	Nov X8, Dec X8, Jan X9	10,500

Answer - Practice 8.6

		Rs.
Cash received during the year	(W-3) – 1st Jan X8 to 31st Dec X8	38,500
Less: Opening Accrual	(W - 1) – Nov X7 and Dec X7	(6,000)
Add: Closing Accrual	(W - 2) – Nov X8 and Dec X8	7,000
Income for the year		**39,500**

W – 1: Opening Accruals = $9{,}000 \times \frac{2}{3} = 6{,}000$

W – 2: Closing Accruals = $10{,}500 \times \frac{2}{3} = 7{,}000$

W – 3: Cash paid = $9{,}000 + 9{,}500 + 10{,}000 + 10{,}000 = 38{,}500$

Answer - Practice 8.6

Two Account Method

Rent Receivable A/c.

	Rs.		Rs.
Opening rent receivable balance b/f	6,000	Rent income	6,000
Rent income	7,000	Closing rent receivable balance c/f	7,000
	13,000		13,000

Rent Income A/c.

	Rs.		Rs.
Rent receivable opening	6,000	Cash received	38,500
Profit & Loss (balancing figure)	39,500	Rent receivable closing	**39,500**
	45,500		45,500

Answer - Practice 8.6

Accounting Entries

Particulars	Debit Rs.	Credit Rs.
Cash A/c.	38,500	
Rent income A/c.		38,500
(Rent received in cash)		
Rent Income A/c.	6,000	
Rent Receivable A/c.		6,000
(Opening balance rent due transferred)		
Rent Receivable A/c.	7,000	
Rent Income A/c.		7,000
(Rent of current year is still due.)		
Rent Income A/c.	39,500	
Profit & Loss A/c.		39,500
(Closing entry for rent income – Closed into Income Statement)		

Important Tips To Remember - ITTR

One Account Method

1. **Separate ledger account for income is not maintained**
2. **Balancing figure is closed to Income Statement**
3. **Closing balance is presented in Balance Sheet**

Important Tips To Remember - ITTR

Two Account Method

1. **Opening balance b/f and Closing balance c/f appears in receivable account**
2. **Income account is closed into Income Statement**

Accrual Accounting

Advance Income
Unearned Income

One Account Method for Income

Only one ledger account is prepared for measuring income and for its reciprocal liability

Practice 8.7

Rent is received quarterly in advance
Reporting Period is 12 months (Jan 1, 20X9 to Dec 31,20X9)

Receipt Date	Receipt Period	Amount (Rs.)
Nov. 1, 20X8	Nov X8, Dec X8, Jan X9	9,000
Feb. 1, 20X9	Feb X9, Mar X9, Apr X9	9,500
May 1, 20X9	May X9, June X9, Jul X9	10,000
Aug. 1, 20X9	Aug X9, Sep X9, Oct X9	10,000
Nov. 1, 20X9	Nov X9, Dec X9, Jan Y0	10,500

Answer - Practice 8.7

		Rs.
Cash received during the year	(W-3) – 1ST Jan 20X9 to 31st Dec 20X9	40,000
Add: Opening Advance	(W - 1) – Jan 20X9	3,000
Less: Closing Advance	(W - 2) – Jan 20Y0	(3,500)
Income for the year		39,500

W – 1: Opening Advance = $9{,}000 \times \frac{1}{3} = 3{,}000$

W – 2: Closing Advance = $10{,}500 \times \frac{1}{3} = 3{,}500$

W – 3: Cash Received = $9{,}500 + 10{,}000 + 10{,}000 + 10{,}500 = 40{,}000$

Answer - Practice 8.7

One Account Method:

Unearned (Advance) Rent A/c.

	Rs.		Rs.
Profit & Loss (balancing figure)	39,500	Opening advance rent b/f	3,000
Closing Advance rent c/f	3,500	Cash Received	40,000
	43,000		43,000

Particulars	Debit Rs.	Credit Rs.
Cash A/c.	40,000	
Unearned (Advance) Rent A/c.		40,000
(Rent received in cash)		
Unearned (Advance) Rent A/c.	39,500	
Profit & Loss A/c.		39,500
(Closing entry for rent income – Closed into Income Statement)		

Two Account Method for Incomes

Two ledger accounts are prepared for measuring income and for its reciprocal liability

Practice 8.8

Rent is received quarterly in advance
Reporting Period is 12 months (Jan 1, 20X9 to Dec 31,20X9)

Receipt Date	Receipt Period	Amount (Rs.)
Nov. 1, 20X8	Nov X8, Dec X8, Jan X9	9,000
Feb. 1, 20X9	Feb X9, Mar X9, Apr X9	9,500
May 1, 20X9	May X9, June X9, Jul X9	10,000
Aug. 1, 20X9	Aug X9, Sep X9, Oct X9	10,000
Nov. 1, 20X9	Nov X9, Dec X9, Jan Y0	10,500

Answer - Practice 8.8

		Rs.
Cash received during the year	(W-3) – 1ST Jan 20X9 to 31st Dec 20X9	40,000
Add: Opening Advance	(W - 1) – Jan 20X9	3,000
Less: Closing Advance	(W - 2) – Jan 20Y0	(3,500)
Income for the year		39,500

W – 1: Opening Advance = $9{,}000 \times \frac{1}{3} = 3{,}000$

W – 2: Closing Advance = $10{,}500 \times \frac{1}{3} = 3{,}500$

W – 3: Cash Received = $9{,}500 + 10{,}000 + 10{,}000 + 10{,}500 = 40{,}000$

Answer - Practice 8.8

Two Account Method

Advance Rent A/c.

	Rs		Rs.
Rent Income A/c	3,000	Balance b/f	3,000
Balance c/f	3,500	Rent Income A/c	3,500
	6,500		6,500

Rent Income A/c.

	Rs		Rs.
Advance Rent Closing	3,500	Advance Rent Opening	3,000
Profit & Loss (B)	39,500	Cash Received	40,000
	43,000		43,000

Answer - Practice 8.8

Accounting Entries

Particulars	Debit Rs.	Credit Rs.
Cash A/c.	40,000	
Rent Income A/c.		40,000
(Rent income received in cash)		
Advance Rent A/c.	3,000	
Rent Income A/c.		3,000
(Opening balance of advance rent transferred)		
Rent Income A/c.	3,500	
Advance Rent A/c.		3,500
(Rent received in advance transferred from rent Income)		
Rent Income A/c.	39,500	
Profit & Loss A/c.		39,500
(Closing entry for rent income)		

Important Tips To Remember - ITTR

One Account Method

1. **Separate ledger account for income is not maintained**
2. **Balancing figure is closed to Income Statement**
3. **Closing balance is presented in Balance Sheet**

Important Tips To Remember - ITTR

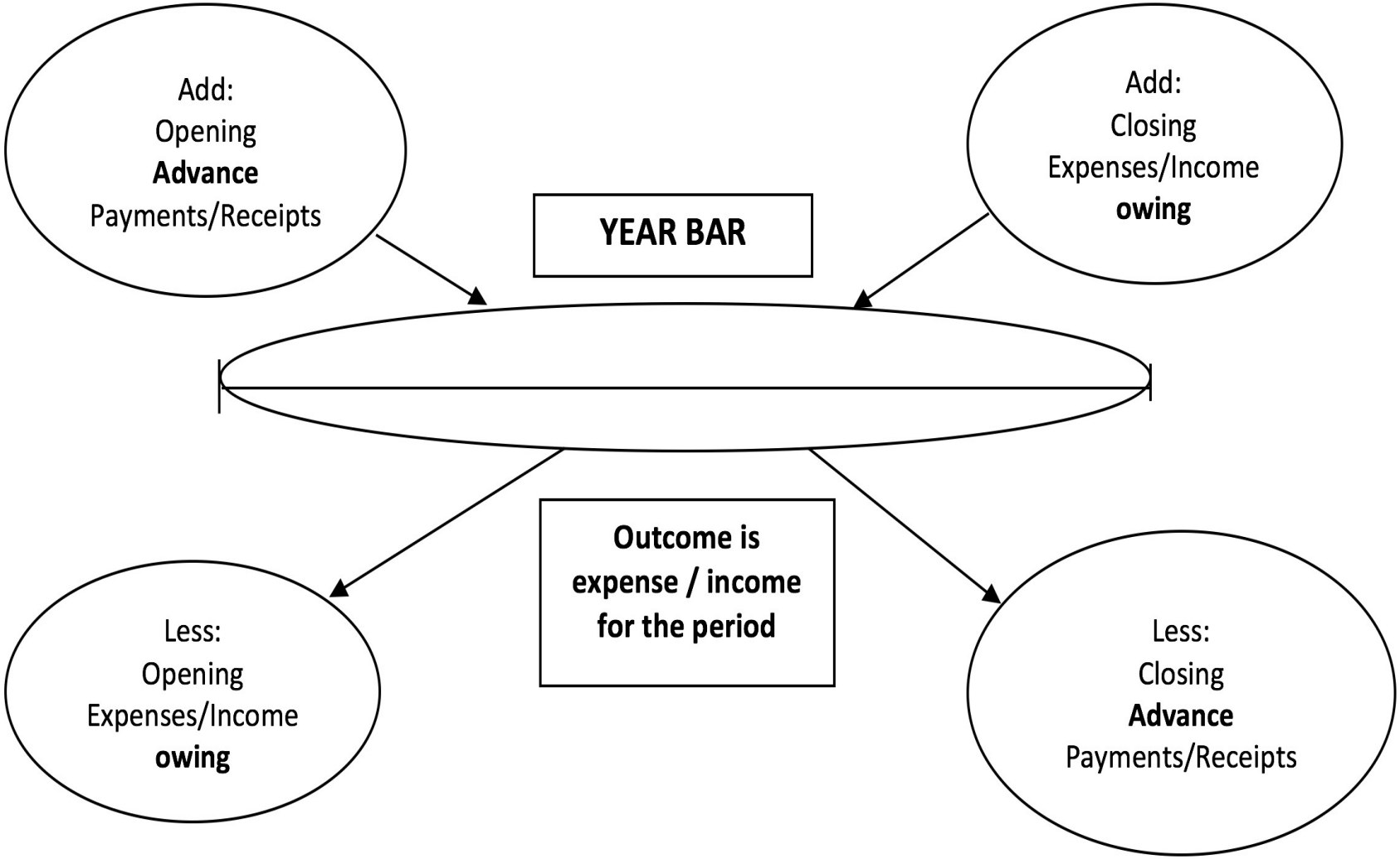
Two Account Method

1. **Opening balance b/f and Closing balance c/f appears in Advance Rent account.**
2. **Income account is closed into Income Statement**

Accrual Accounting

Diagrammatic Understanding of Accrual Concept

Diagrammatic Presentation

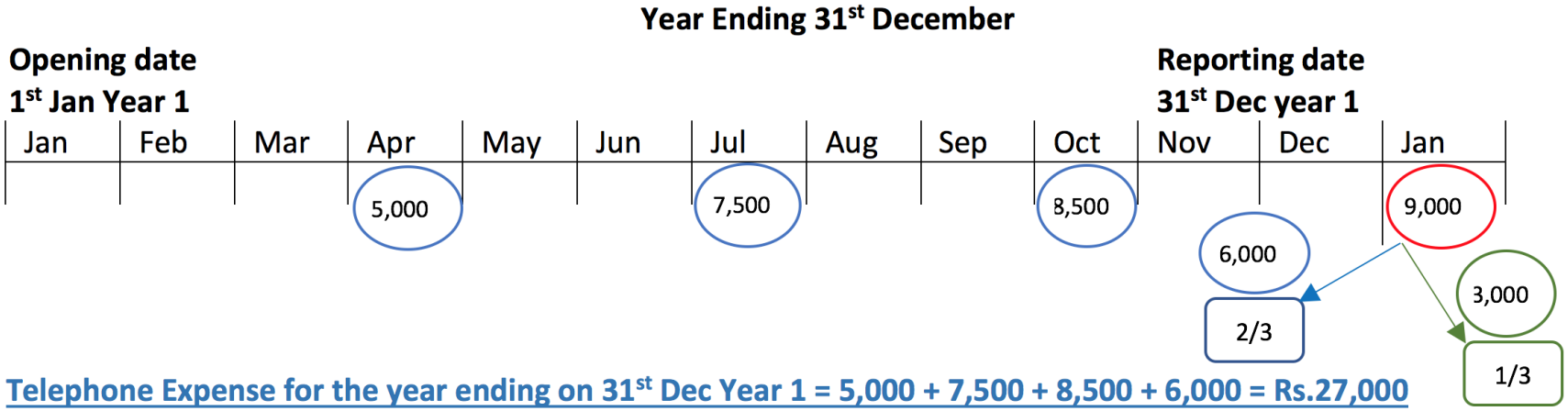


Practice 8.9

YEAR 1

- Yasin sets up a business on 1st January year 1 with 31st December as end of reporting period
- He acquires a telephone connection on 1st February and agrees to pay bill quarterly (3 months) in arrear
- Year 1 invoices are paid as follows:
  - 3 months ending 30th April year 1 Rs.5,000
  - 3 months ending 31st July year 1 Rs.7,500
  - 3 months ending 31st October year 1 Rs.8,500
- The invoice for 31st January year 2 Rs.9,000

Practice 8.9



Telephone Expense for the year ending on 31st Dec Year 1 = 5,000 + 7,500 + 8,500 + 6,000 = Rs.27,000

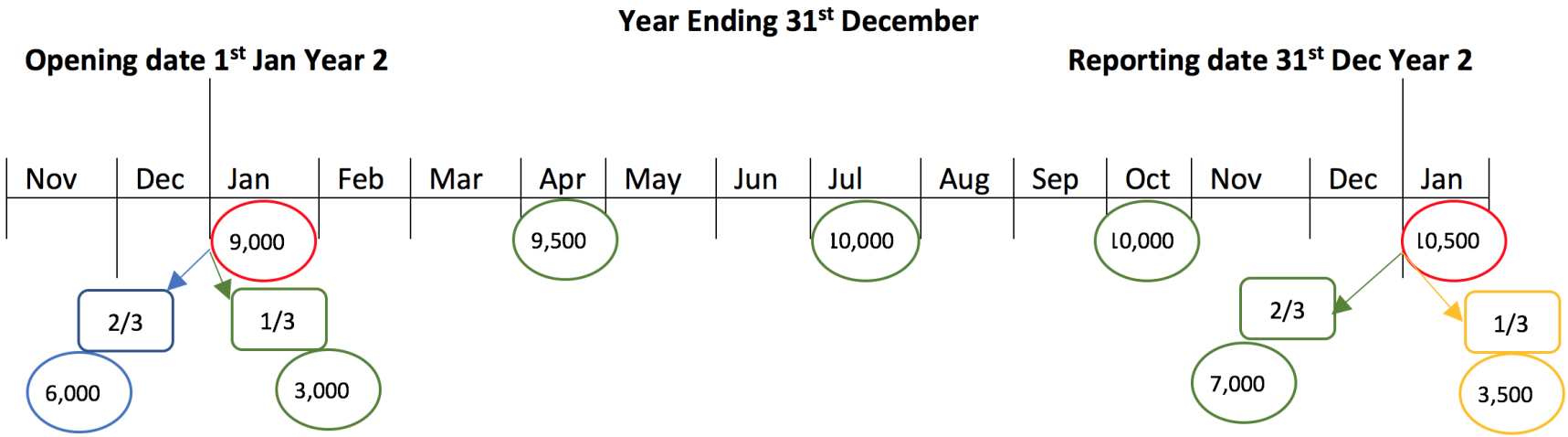
Rs.9,000 will be paid in next year out of which Rs.6,000 relates to the current reporting period and is accrued/due on reporting date 31st Dec Year 1.

Practice 8.9

YEAR 2

- Year 2 invoices are paid as follows:
  - 3 months ending 31st January year 2 Rs.9,000
  - 3 months ending 30th April year 2 Rs.9,500
  - 3 months ending 31st July year 2 Rs.10,000
  - 3 months ending 31st October year 2 Rs.10,000
- The invoice for 31st January year 3 Rs.10,500

Practice 8.9



Telephone Expense for the year ending on 31st Dec. Year 2 = 3,000 + 9,500 + 10,000 + 10,000 + 7,000 = Rs.39,500

Rs.10,500 will be paid in next year out of which Rs.7,000 relates to the current reporting period and is accrued/due on reporting date 31st Dec Year 2.

Answer – Practice 8.9

One account method

YEAR 1

Telephone Payable Account

		Rs.		Rs.
Apr 30	Bank	5,000	Dec 31 **Profit & Loss (balancing figure)**	**27,000**
July 31	Bank	7,500		
Oct 30	Bank	8,500		
Dec 31	Closing due	6,000		
		27,000		27,000

Answer – Practice 8.9

One account method

YEAR 2

Telephone Payable Account

		Rs.			Rs.
Jan 31	Bank	9,000		Opening due	6,000
Apr 30	Bank	9,500	Dec 31	**Profit & Loss**	
July 31	Bank	10,000		**(Balancing figure)**	**39,500**
Oct 30	Bank	10,000			
Dec 31	Closing due	7,000			
		45,500			45,500

Answer – Practice 8.9

Two account method

YEAR 1

Telephone Expenses Account

		Rs.		Rs.	
Apr 30	Bank	5,000	Dec 31		
July 31	Bank	7,500	**Profit & Loss**	**27,000**	Expenses
Oct 30	Bank	8,500	**(Balancing figure)**		Year 1
Dec 31	Payable a/c	6,000			
		27,000		27,000	

Telephone Payable Account

		Rs.		Rs.	
Dec 31			Dec 31		
	Bal c/f	6,000	Telephone expenses	6,000	Liability
					Year 1
		6,000		6,000	

Answer – Practice 8.9

Two account method

YEAR 2

Telephone Expenses Account

		Rs.		Rs.	
Jan 31	Bank	9,000	Jan 1 Telephone payable	6,000	Reversal of the accrual
Apr 30	Bank	9,500	Dec 31		
Jul 31	Bank	10,000	**Profit & Loss**	**39,500**	Expenses year 2
Oct 30	Bank	10,000	**(Balancing figure)**		
Dec 31	Tel payable	7,000			
		46,000		45,500	

Telephone Payable Account

	Rs.		Rs.	
Telephone exp.	6,000	Balance b/f	6,000	
Balance c/f	7,000	Telephone exp.	7,000	Liability Year 2
	13,000		13,000	

Important Tips To Remember - ITTR

1. Cash receipt or payment happens during the reporting period/year (DTY)
2. Income or Expense is measured for the reporting period/year (FTY)

Accrual Accounting

Adjusting Entries
Closing Entries

Adjusting Entries

For Opening Expense Due

Dr Expense payable A/c.

Cr Expense a/c

For Closing Expense Due

Dr Expense a/c

Cr Expense payable a/c

For Opening Advance Payment

Dr Expense a/c

Cr Advance payment a/c

For Closing Advance payment

Dr Advance payment a/c

Cr Expense a/c

For Opening Income Due

Dr Income a/c

Cr Income receivable a/c

For Closing Income Due

Dr Income receivable a/c

Cr Income a/c

For Opening Advance Receipt

Dr Unearned income a/c

Cr Income a/c

For Closing Advance Receipt

Dr Income a/c

Cr Unearned income a/c

Closing Entries

For expenses

Dr Income Statement

Cr Expense (accounting head)

For incomes

Dr Income (accounting head)

Cr Income Statement

Important Tips To Remember - ITTR

1. Adjusting entries are passed on reporting (closing) date in order to complete the Income/Expense account with respect to the accruals and prepayments.
2. Closing entries are passed on reporting (closing) date, in order to close final balance of Income/Expense account into the Income Statement for the reporting period to which they relate.

Chapter - 9

Provision for Bad and Doubtful Debts

MGT 101
Financial Accounting

By
Mian Ahmad Farhan, FCA

Module Merged by AARISH ALI (Team VU Global) - +96569002641

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5	Increase in Provision for Doubtful Debts Cont.
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8	Practice - Provision for Allowable Discount
9	Very Important Tips To Remember

Provision for Bad and Doubtful Debts

Basic Concept of Bad and Doubtful Debts

Bad and Doubtful Debts

Bad Debts / Irrecoverable Debts are the accounts receivables (Debtors) that an entity will never be able to collect

Doubtful Debts are the accounts receivables (Debtors) where there is a high risk that it will not be recovered

Accounting Effects

1. **Debtors written off as bad debts**

Bad Debts A/c. Dr

Debtors' A/c. Cr

2. **Creating provision for doubtful debts**

Bad Debts A/c. Dr

Provision for DD A/c. Cr

3. **Increase in provision for doubtful debts**

Bad Debts A/c. Dr

Provision for DD A/c. Cr

4. **Decrease in provision for doubtful debts**

Provision for DD A/c. Dr

Bad Debts A/c. Cr

5. **Bad debts recovered**

Bank A/c. Dr

Bad Debts Recovered A/c. Cr

6. **Discount allowed to Debtors.**

Discount Allowed A/c. Dr

Debtors' A/c. Cr

7. **Creating provision for discount on debts.**

Discount Allowed A/c. Dr

Provision for discount A/c. Cr

Important Tips To Remember - ITTR

1. Bad Debts and Discount Allowed are loss for the business entity, these belong to main head “Expense”
2. Provision for Doubtful Debts is contra to Asset, hence Cr. in nature
3. Bad Debts Recovered is not “Income”. It is reduction in “Expense”

Provision for Bad and Doubtful Debts

Measurement of Provision for Doubtful Debts

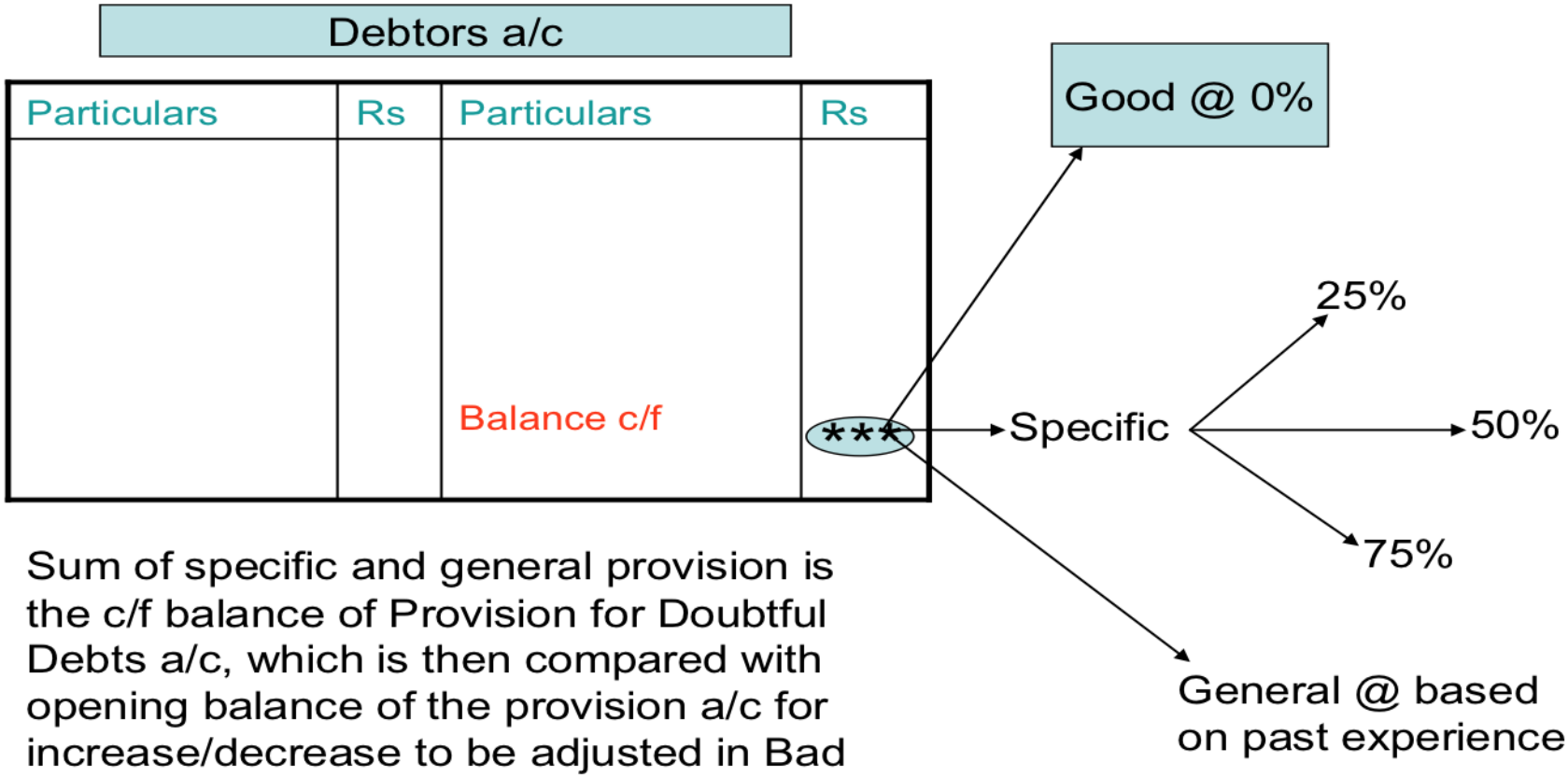
(Specific & General Provision)

Measurement Bases

1. Specific and general provision based on Expected Credit Losses
2. Past due / age based analysis

Specific and General Provision

Provision for doubtful debts based on specifically doubtful debtors



Sum of specific and general provision is the c/f balance of Provision for Doubtful Debts a/c, which is then compared with opening balance of the provision a/c for increase/decrease to be adjusted in Bad Debts account.

Practice 9.1

Closing balance of Debtors is Rs.80,000 out of which:

- One of the debtors Mr. Fill owing Rs.6,000 is also a creditor to whom entity owes Rs.7,500 (he is considered as a good debtor);
- One of the debtors Mr. Kill owing Rs.10,000 is specifically doubtful and 75% is expected recovery from his estate as final dividend;
- One of the debtors Miss Hill owing Rs.6,000 is expected to be doubtful at 50%;
- One of the debtors Mr. Bill owing Rs.8,000 is expected to be doubtful @ 75%;
- Generally, provision for doubtful debts is estimated @ 5% of the debtors' balance.

Calculate provision for doubtful debts against debtors of Rs.80,000 and pass accounting entry for increase in provision assuming that opening balance for provision for doubtful debt at the beginning of reporting period was Rs.10,000.

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Answer – Practice 9.1

	Rs.	Rs.
Good Debtor Mr. Fill	6,000 x 0% =	zero
Specific Debtor		
Mr. Kill	10,000 x 25% =	2,500
Miss. Hill	6,000 x 50% =	3,000
Mr. Bill	8,000 x 75% =	6,000
General Debtors (remaining balance; 80,000 – 30,000)	50,000 x 5% =	2,500
Closing Balance of Debtors	**80,000**	**14,000**

Opening Balance of Provision for Doubtful Debts 10,000
Closing Balance of Provision for Doubtful Debts 14,000
Increase in Provision for Doubtful Debts 4,000

Bad Debts A/c.	Dr 4,000	
Provision for Doubtful Debts A/c.		Cr 4,000

Important Tips To Remember - ITTR

1. Subtract good debtors from c/f balance of debtors before calculating amount of provision
2. Sum of specific and general provision gives c/f balance of provision

Provision for Bad and Doubtful Debts

Measurement of Provision for Doubtful Debts

(Age Based Provision)

Measurement Bases

1. Specific and general provision based on Expected Credit Losses
2. Past due / age based analysis

Aging Based Provision

- Closing balance of debtors is analyzed in terms of age of each customer.
- Recovery from older balances is considered more risky.

Practice 9.2

Analysis of closing balance of Debtors shows following facts:

Balance Due:	**Rs.**	**Rate & Amount of Provision**	
For less than 30 days	90,000 x	0%	Rs. 0
For more than 30 days but less than 60 days	60,000 x	5%	Rs. 3,000
For more than 60 days but less than 90 days	50,000 x	7%	Rs. 3,500
For more than 90 days	20,000 x	10%	Rs. 2,000
Closing Balance Debtors and Provision	**Rs. 220,000**		**Rs. 8,500**

Practice 9.2

Opening Balance of Provision for Doubtful Debts Rs. 9,800
Closing Balance of Provision for Doubtful Debts Rs. 8,500
Decrease in Provision for Doubtful Debts Rs. 1,300

Provision for doubtful debts A/c.	Dr 1,300	
Bad Debts A/c.		Cr 1,300

Important Tips To Remember - ITTR

1. Closing balance of debtors is classified on “past due” basis
2. Greater % is estimated for older debtors
3. Sum of all the estimated amounts is closing balance for provision

Provision for Bad and Doubtful Debts

Accounting for Bad and Doubtful Debts

Recognition of Bad Debts

A business has Trade Receivables (Debtors) of Rs.75,000. Among the Debtors' balance, Mr A owes Rs.5,000 to the business who has recently been declared as bankrupt and should be written off.

Movement in Ledger Accounts

Debtors / Receivables

	Rs.		Rs.
Bal b/f	75,000	Bad debts	5,000
		Bal c/f	70,000
	75,000		75,000

Bad Debts

	Rs.		Rs.
Debtors	5,000	Profit & Loss – Income Statement	5,000
	5,000		5,000

Debtors written off as bad debts

Bad Debts A/c.	Dr 5,000	
Debtors' A/c.		Cr 5,000

Recognition of Provision for DD

Year 1 (Start of Entity)

- **Trade receivables of Rs.75,000**
- **Rs.5,000 is to be written off as 'Bad'**

Provision for doubtful debts is to be maintained (for the first time) amounting to Rs.2,000

Movement in Ledger Accounts

Debtors / Receivables

	Rs.		Rs.
Bal b/f	75,000	Bad debts	5,000
		Bal c/f	70,000
	75,000		75,000

Bad Debts

	Rs.		Rs.
Receivables	5,000	Income Statement	7,000
Prov. for Doubtful Debts	2,000		
	7,000		7,000

Provision for doubtful debt

	Rs.		Rs.
Bal c/f	2,000	Bad debts	2,000
	2,000		2,000

Statement of Financial Position	
Debtors	70,000
Provision for Doubtful Debts	(2,000)
	68,000

Income Statement	
Bad debts expense	7,000

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Accounting Entries

Debtors written off as bad debts

Bad Debts A/c. Dr 5,000

Debtors' A/c. Cr 5,000

Creating provision for doubtful debts

Bad Debts A/c. Dr 2,000

Provision for doubtful debts A/c. Cr 2,000

Important Tips To Remember - ITTR

1. Actual bad debts and estimated doubtful debts; both are debited to Bad Debts A/c.
2. Written off means permanent decrease in asset (receivable)
3. Provision balance is presented as contra against debtors balance

Provision for Bad and Doubtful Debts

Increase in Provision for Doubtful Debts

Recognition of Increase in Provision

Year 2

- **Credit sales Rs.200,000**
- **Receipts from customers Rs.185,000**
- **Bad debts written off Rs.8,000**
- **The allowance for doubtful debts is to be increased from Rs.2,000 to Rs.6,000**

Movement in Ledger Accounts

Debtors / Receivables

	Rs.		Rs.
Bal b/f	70,000	Bank	185,000
Sales	200,000	Bad debts	8,000
		Bal c/f	77,000
	270,000		270,000

Bad Debts

	Rs.		Rs.
Debtors	8,000	Income statement	12,000
Provision for Doubtful Debts	4,000		
	12,000		12,000

Provision for Doubtful debt

	Rs.		Rs.
		Bal b/f	2,000
Bal c/f	6,000	Bad debt	4,000
	6,000		6,000

Statement of Financial Position	
Debtors	77,000
Provision for Doubtful Debts	(6,000)
	71,000

Income Statement	
Bad debts expense	12,000

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Accounting Entries

Debtors written off as bad debts

Bad Debts A/c. Dr 8,000

Debtors' A/c. Cr 8,000

Increase in provision for doubtful debts

Bad Debts A/c. Dr 4,000

Provision for doubtful debts A/c. Cr 4,000

Important Tips To Remember - ITTR

1. Provision carries Cr. nature, being contra against Debtors
2. Increase in Cr. should be Cr.
3. Reciprocal effect is loss; Dr. to Bad Debts.

Provision for Bad and Doubtful Debts

Decrease in Provision for Doubtful Debts

Recognition of Decrease in Provision

Year 3

- Credit sales Rs.200,000
- Receipts from customers Rs.185,000
- Bad debts written off Rs.8,000
- The allowance for doubtful debts is to be decreased from Rs.6,000 to Rs.5,000

Movement in Ledger Accounts

Debtors / Receivables

	Rs.		Rs.
Bal b/f	70,000	Bank	185,000
Sales	200,000	Bad debts	8,000
		Bal c/f	77,000
	270,000		270,000

Bad Debts

	Rs.		Rs.
Debtors	8,000	Provision for Doubtful Debts	1,000
		Income statement	7,000
	8,000		8,000

Provision for Doubtful debt

	Rs.		Rs.
Bad Debts	1,000	Bal b/f	6,000
Bal c/f	5,000		
	6,000		6,000

Statement of Financial Position	
Debtors	77,000
Provision for Doubtful Debts	(5,000)
	72,000

Income Statement	
Bad debts expense	7,000

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Accounting Entries

Debtors written off as bad debts

Bad Debts A/c. Dr 8,000

Debtors' A/c. Cr 8,000

Increase in provision for doubtful debts

Provision for Doubt Debts A/c. Dr 1,000

Bad Debts A/c. Cr 1,000

Important Tips To Remember - ITTR

1. Provision carries Cr. nature, being contra against Debtors
2. Decrease in Cr. should be Dr.
3. Reciprocal effect is decrease in loss; Cr. to Bad Debts.

Provision for Bad and Doubtful Debts

Practice - Maintenance of Provision for Doubtful Debts

Different Scenarios

Practice 9.3

	Debit	Credit
Debtors (balance before adjustments)	Rs. 25,000	
Bad debts (written off during the year)	Rs.1,000	
Provision for doubtful debts (b/f)		Rs.480

Adjustment Scenario 1

Write off further bad debts Rs.500

Maintain/increase provision for doubtful debts at/up to Rs.600

Adjustment Scenario 2

Write off further bad debts Rs.500

Maintain/decrease provision for doubtful debts at/up to Rs.400

Adjustment Scenario 3

Write off further bad debts Rs. 500

Increase provision for doubtful debts by Rs.200

Answer – Scenario 1

Debtors account

Particulars	Rs.	Particulars	Rs.
From Trial Balance	25,000	Bad Debts (Adjustment)	500
		Balance c/f	24,500
	25,000		25,000

Bad Debts account

Particulars	Rs.	Particulars	Rs.
From Trial Balance	1,000	Income Statement	1,620
Debtors (Adjustment)	500		
Provision for doubtful debts	120		
	1,620		1,620

Provision for doubtful debts account

Particulars	Rs.	Particulars	Rs.
Balance c/f	600	From TB Balance b/f	480
		Bad debts (balancing figure) (Increase in Provision)	120
	600		600

Answer – Scenario 2

Debtors account

Particulars	Rs.	Particulars	Rs.
From Trial Balance b/f	25,000	Bad Debts (Adjustment)	500
		Balance c/f	24,500
	25,000		25,000

Bad Debts account

Particulars	Rs.	Particulars	Rs.
From Trial Balance	1,000	Provision for doubtful debts	80
Debtors (Adjustment)	500	Income Statement	1,420
	1,500		1,500

Provision for doubtful debts account

Particulars	Rs.	Particulars	Rs.
Bad debts (balancing figure) (decrease in provision)	80	From TB Balance b/f	480
Balance c/f	400		

Answer – Scenario 3

Debtors account

Particulars	Rs.	Particulars	Rs.
From Trial Balance b/f	25,000	Bad Debts (Adjustment)	500
		Balance c/f	24,500
	25,000		25,000

Bad Debts account

Particulars	Rs.	Particulars	Rs.
From Trial Balance	1,000	Income Statement	1,700
Debtors (Adjustment)	500		
Provision for doubtful debts	200		
	1,700		1,700

Provision for doubtful debts account

Particulars	Rs.	Particulars	Rs.
Balance c/f (balancing figure)	680	From TB Balance b/f	480
		Bad debts (Prov. increase by)	200
	680		680

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Important Tips To Remember - ITTR

1. Bad Debts appearing in TB have already been written off DTY
2. Don’t confuse because of difficult words, just focus on the movement in provision i.e., increase or decrease

Provision for Bad and Doubtful Debts

Practice:

Provision for Doubtful Debts

and

Provision for Discount Allowable

Practice 9.4

On 1-1-20X9 the Provision for Doubtful Debts Account in the books of S. Zahid stood at Rs.1,200 and the Provision for Discount Allowable Account at Rs.150.

On 31-12-20X9, the Sundry Debtors were Rs. 20,400 of which Rs. 400 were considered bad and required to be written off. The discount allowed to Debtors during 20X9 was Rs. 300 (already accounted for DTY).

On 31-12-20Y0, the Sundry Debtors were Rs. 10,100 of which Rs. 100 were considered bad and required to be written off. The discount allowed to debtors during 2010, was Rs. 50 (already accounted for).

On 31-12-20Y1 the Sundry Debtors were Rs.36,200 of which Rs. 200 were considered bad and required to be written off. The discount allowed to debtors during 2011 was Rs. 50 (already accounted for).

It is decided to maintain a provision for doubtful debts at 5% on Sundry Debtors and a provision for discount on debtors at 2% on Debtors.

Show how the provision for Doubtful Debts Account and the provision for Discount Allowable Account would appear in the ledger of S. Zahid for the year 20X9, 20Y0 and 20Y1.

Answer – Practice 9.4

Debtors A/c.

Date	Particular	Rs.	Date	Particulars	Rs.
20X9	Balance (Reopened)	20,400	20X9	Bad Debt	400
Dec.31			Dec 31	Balance c/f 5%	20,000
		20,400			20,400
20Y0	Balance (Reopened)	10,100	20Y0	Bad Debt	100
Dec.31			Dec.31	Balance. c/f 5%	10,000
		10,100			10,100
20Y1	Balance (Reopened)	36,200	20Y1	Bal Debt	200
Dec.31			Dec.31	Balance c/f 5%	36,000
		36,200			36,200

Answer – Practice 9.4

Provision for Doubtful Debts A/c.

Date	Particular	Rs.	Date	Particulars	Rs.
20X9	Bad Debt		20X9		
Dec.31	(decrease in provision)	200	Jan.1	Balance b/f	1,200
Dec.31	Balance c/f	1,000			
		1,200			1,200
	Bad debt	500	20Y0	Balance b/f	1,000
20Y0	(decrease in provision)		Jan.1		
Dec.31	Balance c/f	500			
		1,000	20Y1		1,000
20Y1			Dec.31	Balance b/f	50
					0
Dec 31	Balance c/f	1,800	Dec.31	Bad debt	1,300
				(Increase in provision)	
		1,800			1,800

Answer – Practice 9.4

Bad Debt A/c.

Date	Particular	Rs.	Date	Particulars	Rs.
20X9			**20X9**		
D.T.Y	Debtors	400	Dec. 31	Provision for Doubtful Debt	200
			Dec. 31	Income Statement	200
		400			400
20Y0			20Y0		
D.T.Y	Debtors	100	Dec. 31	Provision for Doubtful Debt	500
Dec. 31	Income Statement	400			
		500			500
20Y1					
D.T.Y	Debtors	200	20Y1		
Dec. 31	Provision for Doubtful Debt	1,300	Dec. 31	Income statement	1,500
		1,500			1,500

Answer – Practice 9.4

Provision for Discount Allowable A/c.

Date	Particular	Rs.	Date	Particulars	Rs.
20X9			20X9		
			Jan.1	Balance b/f	150
Dec.31	Balance c/f (Working*)	380	Dec.31	Discount allowed (increase in provision)	230
		380			380
20Y0			20Y0		
Dec.31	Discount allowed (decrease in provision)	190	Jan.1	Balance b/f	380
Dec.31	Balance c/f (Working*)	190			
		380			380
			20Y1	Balance b/f	190
	Balance c/f (Working*)	684		Discount allowed (Increase in provision)	494
		684			684

***Workings:**

	Year 20X9	Year 20Y0	Year 20Y1
Debtors c/f	20,000	10,000	36,000
Provision for doubtful debts c/f	(1,000)	(500)	(1,800)
	19,000 x 2% = 380	9,500x2% = 190	34,200x2% = 684

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Answer – Practice 9.4

Discount Allowed A/c.

Date	Particular	Rs.	Date	Particulars	Rs.
20X9					
D.T.Y	Debtor (already accounted for)	300	20X9		
Dec.31	Provision for discount allowed	230	Dec.31	Income statement	530
		530			530
20Y0			20Y0		
D.T.Y	Debtor (already accounted for)	50	Dec.31	Provision for discount allowed	190
Dec.31	Income statement	140			
		190			190
20Y1					
D.T.Y	Debtor (already accounted for)	50	20Y1		
Dec.31	Provision for discount allowed	494	Dec.31	Income statement	544
		544			544

Important Tips To Remember - ITTR

1. Provision for discount is calculated after subtracting credit balance of provision for doubtful debts from the debtors
2. Provision for discount is subtracted from the debtors after subtracting the closing balance of provision for doubtful debts.

Provision for Bad and Doubtful Debts

Recap

Very Important Tips To Remember

Important Tips To Remember - ITTR

1. Debtors are not written off with the amount of doubtful debts.
2. Doubtful debts are credited in an account:
   - known as a provision/allowances for doubtful debts
   - this provision is set off against the debtors' balance on the face of Statement of Financial Position (balance sheet).
   - credit balance of the provision account represents specifically doubtful receivables and/or general receivables. At the end of reporting period, there could be a valid reason to believe that there is no doubt with regards to recovery from specific debtors but based on past experience few unidentified debtors might become bad, for which provision is created for general debtors.

Important Tips To Remember - ITTR

3. Credit balance on provision account is re-measured at each reporting date (balance sheet date).
   - If the required (remeasured) balance is greater than the previous balance, then an additional expense is recognised as bad debts with the incremental amount.
   - If the required (remeasured) balance is lesser than the previous balance, then the amount of reduction in balance would also reduce the bad debts expense for the period.
4. Amount for the bad debts expense chargeable to the Income Statement is worked out as below:
   - Bad debts written-off during the reporting period
   - Add increase in Provision for doubtful debt or
   - Less decrease in Provision for doubtful debt
   - Less Bad debts recovered during the reporting period

Important Tips To Remember - ITTR

5. Amount for the discount allowed expense chargeable to the Income Statement is worked out as below:
   - Actual discount allowed during the reporting period
   - Add provision created for discounts allowable
6. Presentation in Statement of Financial Position / Balance Sheet
   - Debit balance of Debtors account and credit balance of Provision for Doubtful Debts account are set off in the Statement of Financial Position
   - Provision for discount allowable is calculated on remaining debtors balance after subtracting credit balance of provision for doubtful debts from the debtors' balance.
   - Provision for discount allowable is subtracted from the debtors after subtracting the closing balance of provision for doubtful debts.

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Important Tips To Remember - ITTR

7. **Bad debts appearing in Dr side of Trial Balance are not subtracted from Debtors balance appearing in Dr side of Trial Balance; because these have already been accounted for.**

Chapter - 10

Fixed Assets and Depreciation Accounting

MGT 101
Financial Accounting

By
Mian Ahmad Farhan, FCA

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Fixed Assets Accounting

Basic Definitions and Concepts

Property Plant and Equipment

- These are assets that will be used over a period of time (in excess of one year)
- These are not held for re-sale in the normal course of trading
- These may be held for:
  - Production of goods or services
  - Selling of goods or services
  - Administrative purposes
  - Rental to others

Recognition Criteria

- Cost can be measured reliably
- Probability of inflow of economic benefits in future

Measurement at Recognition

- Purchased, constructed or manufactured assets are initially measured at cost
- Exchanged assets are initially measured at fair value, unless:
- The exchange transaction lacks commercial substance or
- Fair value cannot be determined, in these circumstances; carrying amount of the asset given up will be the value of the asset taken in exchange.

Measurement after Recognition

After once recognized the items of property, plant and equipment are measured at either of the two models:

- Cost model
- Revaluation model **(not in syllabus)**

Cost Components

- Purchase price less trade discounts and rebates
- Import duties
- Non-refundable purchase taxes
- Directly attributable cost
- Estimated cost of dismantling, removal and site restoration

Depreciation & Depreciable Amount

- Depreciation is the systematic allocation of the depreciable amount of an asset over its useful life

- Depreciable amount is the cost of an asset, or other amount substituted for cost, less its residual value

Useful Life

- Period over which an asset is expected to be used; or
- Number of production units expected to be obtained from the asset

Depreciation rate is determined based on useful life and residual value of the asset.

Accounting for Fixed Assets

Depreciation Methods and Depreciation Rates

Depreciation Methods

- Straight line method
- Reducing balance method
- Sum of years digit method
- Number of units output method
- Number of service hours method

Practice 10.1

Machine bought on 1.1.20X9 for Rs.80,000. Its residual value is estimated Rs.2,000 with 4 years useful life. It can work for 12,000 hours in total and can produce 40,000 units in total (as per the estimate given by expert)

Following are its actual results in 20X9 and 20Y0

Year	Service Hours	Units Produced
20X9	2,000	7,000
20Y0	5,000	15,000

Calculate depreciation for two years using each of the following methods:

1. Straight line method
2. Reducing balance method
3. Service hour method
4. Units produced method
5. Sum of years' digit method

Answer – Practice 10.1

	Rs.
Cost of Machine	80,000
Less Residual value	(2,000)
Depreciable amount	**78,000**

1. Straight Line Method

$$\frac{\text{Depreciable Amount}}{\text{useful Life}} = \text{Depreciation}$$

$\frac{78,000}{4} = 19500$	Year 20X9	Rs. 19,500
78,000 x 25%	Year 20Y0	Rs. 19,500

Answer – Practice 10.1

2. Reducing Balance Method

$$\left(1-\sqrt[n]{\frac{\text{Residual Value}}{\text{Cost}}}\right)\times 100 = \%$$

Where n = useful life

$$\left(1-\sqrt[4]{\frac{2{,}000}{80{,}000}}\right) \text{ x } 100 = 60\%$$

Year 20X9	80,000 x 60%	Rs. 48,000
Year 20Y0	32,000 x 60%	Rs. 19,200

Under reducing balance method first year's depreciation is calculated by applying depreciation rate on cost, whereas in subsequent years depreciation is calculated by applying depreciation rate on opening balance of Net Book Value (NBV).

Answer – Practice 10.1

3. Service Hours Method/Usage method

$$\frac{\text{Depreciable Amount}}{\text{Total Estimated Hours}} = \text{Depreciation Rate Per Hour}$$

$$\frac{78{,}000}{12{,}000} = Rs.6.50 Per Hour$$

Year 20X9	2,000 x 6.50	Rs. 13,000
Year 20Y0	5,000 x 6.50	Rs. 32,500

4. Units Output/Production Method

$$\frac{\text{Depreciable Amount}}{\text{Total Estimated Output}} = \text{Depreciation Rate Per Unit}$$

$$\frac{78{,}000}{40{,}000} = Rs.1.95 Per Unit$$

Year 20X9	7,000 x 1.95	Rs. 13,650
Year 20Y0	15,000 x 1.95	Rs. 29,250

Answer – Practice 10.1

5. Sum of Years' Digit Method

Year				Rs.
20X9	1	78,000 x 4/10	=	31,200
20Y0	2	78,000 x 3/10	=	23,400
20Y1	3	78,000 x 2/10	=	15,600
20Y2	4	78,000 x 1/10	=	7,800

Sum of years 1 + 2 + 3 + 4 = 10. In the year 20X9 i.e. first year the Machine is expected to be used for 4 year, in second year the Machine is expected to be used for 3 years, in third year the Machine is expected to be used for next 2 years and in last year the Machine is expected to be used in the current year only.

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Important Tips To Remember - ITTR

1. Selection of depreciation method depends upon the pattern of economic benefits associated to the asset
2. Except for reducing balance method; for all the other methods first calculate depreciable amount and then work out depreciation expense

Accounting for Fixed Assets

Basic Accounting for Depreciation

Depreciation – Accounting Entries

Fixed Asset
Cash/Bank/Creditor
(Purchase of Fixed Asset)

Depreciation Expense
Provision for Depreciation
(Depreciation expense FTY)

Profit & Loss
Depreciation Expense
(Closing entry for expense)

Practice 10.2

20X9	*Rs.*		
Jan 1,	Plant and Machinery b/f	25,000	
Jan 1,	Accumulated Depreciation b/f		10,000
July 1,	Purchased New Plant		20,000

Prepare Plant and Machinery Account and Provision for Depreciation Account for the year ending on December 31, 20X9 assuming the following scenarios:

I

Depreciation method	Reducing Balance Method
Depreciation rate	10%
Depreciation basis	Full year depreciation in the year of purchase

Practice 10.2

II

Depreciation method	**Reducing Balance Method**
Depreciation rate	**10%**
Depreciation basis	**Time proportionate**

III

Depreciation method	**Straight Line Method**
Depreciation rate	**10%**
Depreciation basis	**Full year depreciation in the year of purchase**

IV

Depreciation method	**Straight Line Method**
Depreciation rate	**10%**
Depreciation basis	**Time proportionate**

Answer - Practice 10.2

I – Reducing Balance Method – Full Year Depreciation

Plant and Machinery account

Particulars	Rs.	Particulars	Rs.
20X9		**20X9**	
Jan 1 Balance b/f	25,000	Dec 31 Balance c/f	45,000
July 1 Bank	20,000		
	45,000		**45,000**

Provision for Depreciation

Particulars	Rs.	Particulars	Rs.
20X9		**20X9**	
Dec 31 Balance c/f	13,500	Jan 1 Balance b/f	10,000
		Dec 31 Depreciation Expense	3,500
	13,500		**13,500**

Opening NBV x rate 25,000 – 10,000 = 15,000 x10% **Rs. 1,500**
New Machine 20,000 X 10% Fully Year **Rs. 2,000**
3,500

Answer – Practice 10.2

II – Reducing Balance Method – Time Proportionate Depreciation

Plant and Machinery account

Particulars	Rs.	Particulars	Rs.
20X9		**20X9**	
Jan 1 Balance b/f	25,000	Dec 31 Balance c/f	45,000
July 1 Bank	20,000		
	45,000		**45,000**

Provision for Depreciation

Particulars	Rs.	Particulars	Rs.
20X9		**20X9**	
Dec 31 Balance c/f	12,500	Jan 1 Balance b/f	10,000
		Dec 31 Depreciation Expense	2,500
	12,500		**12,500**

Opening NBV x rate 25,000 – 10,000 = 15,000 x10% **Rs. 1,500**
New Machine 20,000 X 10% x 6/12 **Rs. 1,000**
2,500

Answer – Practice 10.2

III – Straight Line Method – Full Year Depreciation

Plant and Machinery account

Particulars	Rs.	Particulars	Rs.
20X9		**20X9**	
Jan 1 Balance b/f	25,000	Dec 31 Balance c/f	45,000
July 1 Bank	20,000		
	45,000		**45,000**

Provision for Depreciation

Particulars	Rs.	Particulars	Rs.
20X9		**20X9**	
Dec 31 Balance c/f	14,500	Jan 1 Balance b/f	10,000
		Dec 31 Depreciation Expense	4,500
	14,500		**14,500**

Closing Balance of Asset x rate = 45,000 x10% **Rs. 4,500**

Answer – Practice 10.2

IV – Straight Line Method – Time Proportionate Depreciation

Plant and Machinery account

Particulars	Rs.	Particulars	Rs.
20X9		**20X9**	
Jan 1 Balance b/f	25,000	Dec 31 Balance c/f	45,000
July 1 Bank	20,000		
	45,000		**45,000**

Provision for Depreciation

Particulars	Rs.	Particulars	Rs.
20X9		**20X9**	
Dec 31 Balance c/f	13,500	Jan 1 Balance b/f	10,000
		Dec 31 Depreciation Expense	3,500
	13,500		**13,500**

Opening NBV x rate = 25,000 x10% **Rs. 2,500**
New Machine = 20,000 X 10% x 6/12 **Rs. 1,000**
3,500

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Important Tips To Remember - ITTR

1. Provision for depreciation is contra to asset account
2. Depreciation is a charge against usage of fixed asset, if nothing is mentioned then calculate depreciation on time proportion basis

Accounting for Fixed Assets

Disposal of Fixed Assets Accounting Entries

Depreciation – Accounting Entries

1. Asset Disposal
   Fixed Asset

(Asset transferred to asset disposal account, with the amount of gross carrying amount / cost of asset)

2. Provision for Depreciation
   Asset Disposal

(Accumulated depreciation balance till the date of disposal transferred to asset disposal account)

3. Bank
   Asset Disposal

(Disposal Consideration / sales proceeds received on disposal of the asset)

4. Gain/Loss – on Disposal

a) Asset Disposal
   Income Statement

(Profit/Gain on disposal of asset transferred to income statement for the period)

b) Income Statement
   Asset Disposal

(Loss on disposal of asset transferred to income statement for the period)

Important Tips To Remember - ITTR

1. Identify the amount of accumulated depreciation till the date of disposal in accordance with depreciation basis (full year or time basis)
2. Transfer accumulated depreciation into disposal account
3. Transfer cost of asset disposed of in asset disposal
4. Asset sold for cash, credit or claim against insurance, the amount will be considered as disposal proceeds

Accounting for Fixed Assets

Practice – Scenario I

Disposal of Fixed Assets at the start of the year – for loss

Practice 10.3

On Jan. 1 20X9 machine costing Rs.70,000 and accumulated depreciation being Rs.50,000 was sold for Rs.15,000 on Jan 1 20X9.

Depreciation – Accounting

Machine Account

Particulars	Rs.	Particulars	Rs.
20X9		**20X9**	
Jan 1 Balance b/f	70,000	Jan 1 Disposal a/c	70,000
		Balance c/f	Nil
	70,000		**70,000**

Provision for Depreciation Account

Particulars	Rs.	Particulars	Rs.
20X9		**20X9**	
Jan 1 Disposal a/c	50,000	Jan 1 Balance b/f	50,000
Balance c/f	Nil		
	50,000		**50,000**

Asset Disposal Account

Particulars	Rs	Particulars	Rs
20X9		**20X9**	
Jan 1 Machine a/c	70,000	Jan 1 Provision for depreciation	50,000
		Jan 1 Cash a/c	15,000
		Dec 31 Income Statement (Loss)	5,000
	70,000		**70,000**

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Important Tips To Remember - ITTR

1. Identify the amount of accumulated depreciation till the date of disposal in accordance with depreciation basis (full year or time basis)
2. Transfer accumulated depreciation into disposal account
3. Transfer cost of asset disposed of in asset disposal
4. Asset sold for cash, credit or claim against insurance, the amount will be considered as disposal proceeds

Accounting for Fixed Assets

Practice – Scenario II

Disposal of Fixed Assets at the start of the year – for gain

Practice 10.3

On Jan. 1 20X9 machine costing Rs.70,000 and accumulated depreciation being Rs.50,000 was sold for Rs.22,000 on Jan 1 20X9.

Depreciation – Accounting

Machine Account

Particulars	Rs	Particulars	Rs
20X9		**20X9**	
Jan 1 Balance b/f	70,000	Jan 1 Disposal a/c	70,000
		Balance c/f	Nil
	70,000		**70,000**

Provision for Depreciation Account

Particulars	Rs.	Particulars	Rs.
2009		**20X9**	
Jan.1 Disposal a/c	50,000	Jan 1 Balance b/f	50,000
Balance c/f	Nil		
	50,000		**50,000**

Asset Disposal account

Particulars	Rs.	Particulars	Rs.
20X9		**20X9**	
Jan. 1 Machine a/c	70,000	Jan 1 Provision for depreciation	50,000
Dec.31 Income Statement (Profit)	2,000	Jan 1 Cash a/c	22,000
	72,000		**72,000**

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Important Tips To Remember - ITTR

1. Identify the amount of accumulated depreciation till the date of disposal in accordance with depreciation basis (full year or time basis)
2. Transfer accumulated depreciation into disposal account
3. Transfer cost of asset disposed of in asset disposal
4. Asset sold for cash, credit or claim against insurance, the amount will be considered as disposal proceeds

Accounting for Fixed Assets

Practice – Scenario III

Disposal of Fixed Assets during the year – for loss

Practice 10.3

On Jan. 1 20X9 machine costing Rs.70,000 and accumulated depreciation being Rs.50,000 was sold for Rs.15,000 on Jan 30 20X9.

The machine was depreciated at 10% on reducing balance method

Depreciation – Accounting

Machine Account

Particulars	Rs.	Particulars	Rs.
20X9		**20X9**	
Jan 1 Balance b/f	70,000	June 30 Disposal a/c.	70,000
		Balance c/f	Nil
	70,000		**70,000**

Provision for Depreciation Account

Particulars	Rs.	Particulars	Rs.
20X9		**20X9**	
June 30 Disposal a/c.	51,000	Jan 1 Balance b/f	50,000
Balance c/f	Nil	June 30 Depreciation expense	1,000
	51,000		**51,000**

Depreciation – Accounting

Asset Disposal Account

Particulars	Rs.	Particulars	Rs.
20X9		**20X9**	
June 30 Machine a/c.	70,000	June 30 Provision for depreciation	51,000
		June 30 Cash a/c.	15,000
		Dec 31 Income Statement (Loss)	4,000
	70,000		**70,000**

Depreciation Expense Account

Particulars	Rs.	Particulars	Rs.
20X9		**20X9**	
June 30 Provision for Dep.	1,000	Dec 31 Income Statement	1,000
	1,000		**1,000**

Cost	70,000	
Less Accumulated Depreciation	50,000	
NBV	20,000	x 10% = 2,000 x $\frac{6}{12}$ = 1,000

Important Tips To Remember - ITTR

1. Identify the amount of accumulated depreciation till the date of disposal in accordance with depreciation basis (full year or time basis)
2. Transfer accumulated depreciation into disposal account
3. Transfer cost of asset disposed of in asset disposal
4. Asset sold for cash, credit or claim against insurance, the amount will be considered as disposal proceeds

Accounting for Fixed Assets

Practice – Scenario IV

Disposal of Fixed Assets during the year – for gain

Practice 10.3

On Jan. 1 20X9 machine costing Rs.70,000 and accumulated depreciation being Rs.50,000 was sold for Rs.15,000 on Jan 30 20X9.

The machine was depreciated at 10% on straight line method

Depreciation – Accounting

Machine Account

Particulars	Rs.	Particulars	Rs.
20X9		**20X9**	
Jan 1 Balance b/f	70,000	June 30 Disposal a/c	70,000
		Balance c/f	NIL
	70,000		**70,000**

Provision for Depreciation Account

Particulars	Rs.	Particulars	Rs.
20X9		**20X9**	
June 30 Disposal	53,500	Jan 1 Balance b/f	50,000
Balance c/f	NIL	June 30 Depreciation Expense*	3,500
	53,500		**53,500**

*** Working:**

NBV $70,000 \times 10\% = 7,000 \times \frac{6}{12} = 3,500$

Depreciation – Accounting

Asset Disposal Account

Particulars	Rs.	Particulars	Rs.
20X9		**20X9**	
June 30 Machine a/c	70,000	June 30 Provision for depreciation	53,500
Dec.31 Income Statement (Profit)	5,500	June 30 Cash A/c	22,000
	75,000		**75,500**

Depreciation Expense Account

Particulars	Rs	Particulars	Rs
20X9		**20X9**	
June 30 Provision for Dep	3,500	Dec 31 Income Statement	3,500
	3,500		**3,500**

Important Tips To Remember - ITTR

1. Identify the amount of accumulated depreciation till the date of disposal in accordance with depreciation basis (full year or time basis)
2. Transfer accumulated depreciation into disposal account
3. Transfer cost of asset disposed of in asset disposal
4. Asset sold for cash, credit or claim against insurance, the amount will be considered as disposal proceeds

Accounting for Fixed Assets

Practice – Scenario IV

Disposal of Fixed Assets during the year – for gain

Practice 10.3

On Jan. 1 20X9 machine costing Rs.70,000 and accumulated depreciation being Rs.50,000 was sold for Rs.15,000 on Jan 30 20X9.

The machine was depreciated at 10% on straight line method

Depreciation – Accounting

Machine Account

Particulars	Rs.	Particulars	Rs.
20X9		**20X9**	
Jan 1 Balance b/f	70,000	June 30 Disposal a/c	70,000
		Balance c/f	NIL
	70,000		**70,000**

Provision for Depreciation Account

Particulars	Rs.	Particulars	Rs.
20X9		**20X9**	
June 30 Disposal	53,500	Jan 1 Balance b/f	50,000
Balance c/f	NIL	June 30 Depreciation Expense*	3,500
	53,500		**53,500**

*** Working:**

NBV $70,000 \times 10\% = 7,000 \times \frac{6}{12} = 3,500$

Depreciation – Accounting

Asset Disposal Account

Particulars	Rs.	Particulars	Rs.
20X9		**20X9**	
June 30 Machine a/c	70,000	June 30 Provision for depreciation	53,500
Dec.31 Income Statement (Profit)	5,500	June 30 Cash A/c	22,000
	75,000		**75,500**

Depreciation Expense Account

Particulars	Rs	Particulars	Rs
20X9		**20X9**	
June 30 Provision for Dep	3,500	Dec 31 Income Statement	3,500
	3,500		**3,500**

Important Tips To Remember - ITTR

1. Identify the amount of accumulated depreciation till the date of disposal in accordance with depreciation basis (full year or time basis)
2. Transfer accumulated depreciation into disposal account
3. Transfer cost of asset disposed of in asset disposal
4. Asset sold for cash, credit or claim against insurance, the amount will be considered as disposal proceeds

Accounting for Fixed Assets

Exchange of Asset

Exchange of Asset – Trade-in-Allowance

When an old asset is exchanged with a new asset the seller of new asset will offer an allowance while receiving payment for selling asset in consideration of the exchange of old asset. Such allowance is known as "trade in allowance". The buyer will subtract "trade in allowance" from the cost of new asset while making payment to the seller.

Cost of new asset = Cash consideration + Trade in allowance.
Cost of new asset – trade in allowance = Cash consideration

Asset account will be debited with the cost of new asset i.e., cash paid plus trade in allowance.

Trade in allowance is considered as disposal proceeds of the old asset.

Exchange of Asset – Commercial Substance

When an asset is exchanged with another asset and commercial substance does not exist in such exchange, the cost of asset taken through exchange is carrying amount of asset given up.

But when the commercial substance does exist, then cost of asset taken through exchange would be fair value of asset given up.

When fair value of both assets is not determinable the carrying amount of asset given up would be considered as cost of asset taken through exchange.

Existence of commercial substance means; that the entity specific value (present value of future expected cash flows) of both assets are not equal.

Important Tips To Remember - ITTR

Single accounting entry for disposal of fixed asset

Provision for Depreciation Dr.
Cash-Trade in Allowance-A/R-Insurance Claim Dr.
Income Statement (for Loss - if any) Dr.
Fixed Asset Cr.
Income Statement (For Gain - if any) Cr.

Important Tips To Remember - ITTR

Fair value is the price that would be received to sell an asset in an orderly transaction between market participants at the measurement date

Chapter - 11

Control Accounts

MGT 101
Financial Accounting

By
Mian Ahmad Farhan, FCA

Module Merged by AARISH ALI (Team VU Global) - +96569002641

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Control Accounts

Why Control Accounts are Maintained

Representative Account

Control Account is a simple ledger account that represents numerous ledger accounts of similar nature.

Examples include:

1. Trade receivables
2. Trade payables
3. Payroll
4. Inventories

Important Tips To Remember - ITTR

1. Control accounts are prepared in Main Ledger
2. Each control account is backed by a memorandum or subsidiary ledger

Control Account

Format Debtors' Control Account

Debtors' Control Account

- Sales Ledger Control Account
- Total Debtors Control Account
- Sundry Debtors Control Account
- Trade Receivables Control Account

Format

Debtors' Control A/C
Trade Receivable Control A/C

Opening Dr. Balance b/f		*Opening Cr. Balance b/f*	
Credit sales (Invoice issued)		Cash received from debtors	
Refund to debtors		Cheques received from debtors	
Cheques dishonoured		Bills receivable accepted by debtors	
Bills receivable dishonoured		Discount allowed	
Interest charged to debtors		Bad debts	
		Sales return (Credit note issued)	
		Contra / set off / balance transferred	
Closing Cr. Balance c/f	_____	*Closing Dr. balance c/f*	_____
	═══		═══

Debtors Control Account	
Opening Dr Balance	**Opening Cr Balance (unusual)**
Closing Cr Balance (unusual)	**Closing Dr Balance**

Cr balance in Debtors account might arise because of cash received in advance from customers

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Important Tips To Remember - ITTR

1. Opening balances are placed at their side of nature
2. Closing balances are placed at the side opposite to their nature

Control Account

Format
Creditors Control Accounts

Creditors' Control Account

- Purchase Ledger Control Account
- Total Creditors Control Account
- Sundry Creditors Control Account
- Trade Payables Control Account

Format

Creditors Control A/C
Trade Payable Control A/C

Opening Dr. Balance b/f		*Opening Cr. Balance b/f*	
Cash paid to creditors		Credit purchases (Invoice received)	
Cheques paid to creditors		Bills payable dishonoured	
Bills payable given to creditors		Interest payable	
Discount received			
Purchases return (Credit note received)			
Contra / set off / balance transferred			
Closing Cr. Balance c/f	_____	*Closing Dr. balance c/f*	_____
	═══		═══

Creditors Control Account	
Opening Dr Balance (unusual)	**Opening Cr Balance**
Closing Cr Balance	**Closing Dr Balance (unusual)**

Dr balance in Creditors account might arise because of cash paid in advance to suppliers

Important Tips To Remember - ITTR

1. Opening balances are placed at their side of nature
2. Closing balances are placed at the side opposite to their nature

Control Account

Contra Entries

Creditors' Control Account

- Contra entry appears in Debtors as well as in Creditors
- Contra entry behaves opposite to the nature of the account

Scenario – Contra Entry

There might be a situation that a person who is Debtor (Customer) for the entity is also a Creditor (Supplier) of the same entity with different outstanding amounts.

For example; Mohsin is Debtor with Rs.700 and Mohsin is also Creditor with Rs.500. In this case contra entry would be required to set-off these two balances. Contra entry is always recorded with lower balance of outstanding amount, in this case Rs. 500.

The contra entry would be:

Creditors Control A/c. (Mohsin) Dr. 500

Debtors Control A/c. (Mohsin) Cr 500

Scenario – Contra Entry

In case Mohsin is Debtor with Rs.700 and Mohsin is also a Creditor with Rs 1,000, the contra entry would remain the same but the amount would then be Rs. 700 the lower one:

Creditors Control (Mohsin)	**Dr.**	**700**
Debtors Control (Mohsin)	**Cr**	**700**

Important Tips To Remember - ITTR

1. Contra entry is passed in both accounts i.e., Debtors and Creditors
2. Contra entry is passed in side opposite to the nature of the account
3. Contra entry is passed with lower of the two outstanding amounts

Control Account

Posting from Journal to Individual Accounts maintained in Subsidiary Ledger

Practice 11.1

Books of Original Entries

Purchase Journal / Day book		
DATE	PARTICULARS	Rs.
	A	2,000
	B	3,000
	C	1,000
	D	4,000
	A	2,500
	D	1,000
	B	3,000
		16,500

Purchases A/c. Dr
Creditors Control A/c. Cr

Sale Journal / Day book		
DATE	PARTICULARS	Rs.
	O	5,000
	P	2,000
	Q	1,000
	O	2,000
	R	7,000
	Q	2,000
	P	3,000
	O	1,000
		23,000

Debtors Control A/c. Dr.
Sales A/c. Cr.

Practice 11.1

Books of Original Entries

Purchase Return Journal / Day book		
DATE	PARTICULARS	Rs.
	A	1,500
	C	1,000
	D	2,000
		4,500

Creditors Control a/c Dr

Purchases Return a/c Cr

Sale Return Journal / Day book		
DATE	PARTICULARS	Rs.
	P	500
	O	1,500
	Q	1,000
		3,000

Sales Return a/c Dr

Debtor Control a/c Cr

Practice 11.1

Books of Original Entries

General Journal / Transfer Journal

DATE	PARTICULARS	Dr.	Cr.
	Bad Debts A/c.	500	
	Debtor "O" A/c.		500

CASH BOOK

	DISC.	DEBTOR	TOTAL		DISC.	CREDITOR	Total
	Rs.	Rs.	Rs.		Rs.	Rs.	Rs.
O		3,000		A	100	700	
P	100	150		B		2,000	
Q	50	700		D	200	1,500	
O		2,000		C		2,500	
R		5,000		B		1,000	
P		1,000		A		500	
	150	11,850			300	8,200	

Answer - Practice 11.1

Subsidiary Ledger
Debtors' Ledger / Sales Ledger

O account	Rs.		Rs.
Sales Journal	5,000	Sales Return	1,500
Sales Journal	2,000	Cash Received	3,000
Sales Journal	1,000	Cash Received	2,000
		Bad Debts	500
		Balance c/f	1,000
	8,000		8,000

Q account	Rs.		Rs.
Sales Journal	1,000	S.R.J.	1,000
Sales Journal	2,000	Cash Rec.	700
		Disc All.	50
		Balance c/f	1,250
			3,000

Answer - Practice 11.1

Subsidiary Ledger
Debtors' Ledger / Sales Ledger

P account	Rs.		Rs.
Sales Journal	2,000	Sales Return	500
Sales Journal	3,000	Cash Received	150
		Cash Received	1,000
		Disc. Allowed	100
		Balance c/f	3,250
	5,000		5,000

R account	Rs.		Rs.
Sales Journal	7,000	Cash Rec	5,000
		Balance c/f	2,000
	7,000		7,000

Answer - Practice 11.1

Subsidiary Ledger
Debtors' Ledger / Sales Ledger

LIST	Rs.
O	1,000
P	3,250
Q	1,250
R	2,000
Total	**7,500**

Answer - Practice 11.1

Subsidiary Ledger
Creditors' Ledger / Purchase Ledger

A account	Rs.		Rs.
Purchase return	1,500	Purchase Journal	2,000
Cash Paid	700	Purchase Journal	2,500
Cash Paid	500		
Disc Received	100		
Bal. c/f	1,700		
	4,500		4,500

C account	Rs.		Rs.
Purchase return	1,000	Purchase Journal	1,000
Cash Paid	2,500	Bal. c/f	2,500
	3,500		3,500

Answer - Practice 11.1

Subsidiary Ledger
Creditors' Ledger / Purchase Ledger

B account	Rs		Rs.
Cash Paid	2,000	Purchase Journal	3,000
Cash Paid	1,000	Purchase Journal	3,000
Balance c/f	3,000		
	6.000		6,000

D account	Rs.		Rs.
Purchase return	2,000	Purchase Journal	4,000
Cash Paid	1,500	Purchase Journal	1,000
Disc Received	200		
Balance c/f	1,300		
	5,000		5,000

Answer - Practice 11.1

Subsidiary Ledger
Creditors' Ledger / Purchase Ledger

LIST	Rs.
A	1,700
B	3,000
C	-2,500
D	1,300
Total	**3,500**

Important Tips To Remember - ITTR

1. Individual customers' or suppliers' accounts are maintained as memorandum
2. Subsidiary ledger balances are not taken to Trial Balance

Control Account

Posting from Journal to Control Accounts maintained in Main Ledger

Practice 11.1

Main Ledger

Debtors Control A/c

Particulars	Debit Rs.	Particulars	Credit Rs.
20X9		**20X9**	
Opening balance b/f	0	Cash received	11,850
Sales	23,000	Sales return	3,000
		Bed debts	500
		Discount allowed	150
		Closing balance c/f	7,500
	23,000		**23,000**

Practice 11.1

Main Ledger

Sales A/c.

Particulars	Debit Rs.	Particulars	Credit Rs.
20X9		**20X9**	
Income statement	23,000	Sales Journal	23,000
	23,000		**23,000**

Sales Return A/c

Particulars	Debit Rs.	Particulars	Credit Rs.
20X9		**20X9**	
Sales Journal	3,000	Income statement	3,000
	3,000		**3,000**

Practice 11.1

Main Ledger

Discount Allowed A/c.

Particulars	Debit Rs.	Particulars	Credit Rs.
20X9		**20X9**	
Debtors control A/c.	150	Income statement	150
	150		**150**

Bad Debts A/c.

Particulars	Debit Rs.	Particulars	Credit Rs.
20X9		**20X9**	
Debtors control A/c.	500	Income statement	500
	500		**500**

Practice 11.1

Main Ledger

Creditors Control A/c

Particulars	Debit Rs.	Particulars	Credit Rs.
20X9		**20X9**	
Cash paid	8,200	Opening balance b/f	0
Purchase return	4,500	Purchases	16,500
Discount received	300		
Closing Balance c/f	3,500		
	16,500		**16,500**

Practice 11.1

Main Ledger

Purchases A/c

Particulars	Debit Rs.	Particulars	Credit Rs.
20X9		**20X9**	
Purchases Journal	16,500	Income statement	16,500
	16,500		**16,500**

Purchases Return A/c

Particulars	Debit Rs.	Particulars	Credit Rs.
20X9		**20X9**	
Income statement	4,500	Purchase Journal	4,500
	4,500		**4,500**

Practice 11.1

Main Ledger

Discount Received A/c

Particulars	Debit Rs.	Particulars	Credit Rs.
20X9		**20X9**	
Income statement	300	Creditors control a/c	300
	300		**300**

Important Tips To Remember - ITTR

1. Sum of the BOE are posted in the relevant ledger accounts in main ledger
2. C/F balance of control account should be equal to the total of the list as per relevant subsidiary ledger

Control Account

Names of Accounting Records that cause confusion

Names of Accounting Records

Sales journal/daybook	Book of original entry for credit sales
Sales ledger	Subsidiary ledger - a book for debtors
Sales ledger control a/c	Debtors control a/c in main ledger
Sales account	Sales income a/c in main ledger
Purchase journal/daybook	Book of original entry for credit purchases
Purchase ledger	Subsidiary ledger - a book for creditors
Purchase ledger control a/c	Creditor control a/c in main ledger
Purchase account	Purchase expense a/c in main ledger

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Important Tips To Remember - ITTR

1. Don’t confuse with different names
2. Just concentrate on the concept for which the records are being kept

Control Account

Control Account Reconciliation

Control Account - Reconciliation

Any difference arising between the balance as per control account and total of the list must be investigated and correction made.

This may involve adjustments:

a) to the control account; and/or
b) to the list of balances as per subsidiary ledgers

Reasons and Amendments

	Reasons of difference	Amendments
I	**Books of Original Entries**	
	a. Recording error	Control a/c and List
	b. Casting error	Control a/c only
II	**Control Accounts – Main Ledger**	
	a. Posting error	Control a/c only
	b. Casting error	Control a/c only
III	**Individual Accounts – Sub Ledger**	
	a. Posting error	List only
	b. Casting error	List only
IV	**List of Balances**	
	a. Listing error	List only
	b. Casting error	List only

Important Tips To Remember - ITTR

	Reasons of difference	Amendments
I	Books of Original Entries	
	a. Recording error	Control a/c and List
	b. Casting error	Control a/c only
II	Control Accounts – Main Ledger	
	a. Posting error	Control a/c only
	b. Casting error	Control a/c only
III	Individual Accounts – Sub Ledger	
	a. Posting error	List only
	b. Casting error	List only
IV	List of Balances	
	a. Listing error	List only
	b. Casting error	List only

Control Account

Practice

Control Account Reconciliation

Practice 11.2

Waheed & Sons have an accounting year ended 30 June 20X9. At that date the balance on the receivables ledger control account was Rs.130,000, but the total of the individual accounts in the receivables ledger came to Rs.127,240.

Upon investigation the following facts were discovered:

1. The sales day book total for week 22 had been overcast by Rs.600.
2. A credit balance of Rs.420 on Oreem's account had been incorrectly treated as a debit entry when listing the receivables ledger.
3. A contra of Rs.3,000 has been entered in Bungish's account in the receivables ledger but no other entry had been made.

Practice 11.2

Particulars	Debit Rs.	Particulars	Credit Rs.
30 June 20X9		30 June 20X9	
Balance b/f (reopened)	130,000	Sales day book over cast by	**600**
		Contra entry in Bungish a/c	**3,000**
		Balance c/f	**126,400**
	130,000		**130,000**

The adjusted balance on the list of individual debtors is:

	Rs.
Balance as per list of individual balances 30 June 20X9 (Dr.)	127,240
Credit balance of Oreem account treated as debit balance (420 x 2) (Cr.)	-840
Adjusted Balance as per list of individual debtors on 30 June 20X9 (Dr.)	**126,400**

Important Tips To Remember - ITTR

	Reasons of difference	Amendments
I	Books of Original Entries	
	a. Recording error	Control a/c and List
	b. Casting error	Control a/c only
II	Control Accounts – Main Ledger	
	a. Posting error	Control a/c only
	b. Casting error	Control a/c only
III	Individual Accounts – Sub Ledger	
	a. Posting error	List only
	b. Casting error	List only
IV	List of Balances	
	a. Listing error	List only
	b. Casting error	List only

Control Account

Practice

Control Account Reconciliation

Practice 11.3

Babar Shafi prepared the following payables ledger reconciliation statement on 30th June 20X9:

		Rs.
Balance on purchase ledger control account	Cr.	46,865
Payment entered twice in purchase ledger control account	Cr.	573
	Cr.	47,438
Purchase daybook overcast	Dr.	900
Total of list of balances	Cr.	46,538

Which balance should be reported in the balance sheet as on 30th June 20X9?

Practice 11.3

Particulars	Debit Rs.	Particulars	Credit Rs.
30th June 20X9		30th June 20X9	
Purchase day book overcast	900	Balance b/f	46,865
		Payment posted twice in controla/c	573
Balance c/f (Liability)	46,538		
	47,438		47,438

Important Tips To Remember - ITTR

	Reasons of difference	Amendments
I	Books of Original Entries	
	a. Recording error	Control a/c and List
	b. Casting error	Control a/c only
II	Control Accounts – Main Ledger	
	a. Posting error	Control a/c only
	b. Casting error	Control a/c only
III	Individual Accounts – Sub Ledger	
	a. Posting error	List only
	b. Casting error	List only
IV	List of Balances	
	a. Listing error	List only
	b. Casting error	List only

Chapter - 12

Rectification of Errors

MGT 101
Financial Accounting

By
Mian Ahmad Farhan, FCA

Module Merged by AARISH ALI (Team VU Global) - +96569002641

Contents

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Rectification of Errors

Types of Errors

Types of Errors

1. Those errors that do not cause a difference in trial balance agreement
2. Those errors that do cause a difference in trial balance agreement

Important Tips To Remember - ITTR

1. Trial balance agreement doesn't mean that the records are free from error
2. Difference in both sides of trial balance is temporarily transferred to "Suspense a/c"

Rectification of Errors

Errors that do not cause any difference in Trial Balance

Errors & Rectification

a)	Error of Omission

When financial information is completely omitted from recording in the books of original entry.
For example: sales invoice of Rs.1,000 issued before closing date but not recorded in the books of original entry.

<u>Rectifying Entry</u>

Debtors a/c Dr. 1,000
Sales a/c Cr. 1,000

Errors & Rectification

b)	Error of Commission

When correct accounting effect (Dr/Cr) is given in the wrong accounting head but the main head remains correct

For example: Purchase of computer Rs.5,000 for office was wrongly debited to the furniture account. (both accounts belong to the same main head; Assets)

This error will have no effect (positive or negative) on financial position as well as financial performance.

<u>Rectifying Entry</u>

Computer a/c Dr 5,000
Furniture a/c Cr 5,000

Errors & Rectification

c) Error of Principle

When correct accounting effect (Dr/Cr) is given in the wrong accounting head as well as the wrong main head.
For example: Purchase of computer Rs.5,000 for office was wrongly debited to the stationery account.
This type of error will cause a difference in financial performance (net profit) and/or financial position (Asset = Owners' equity + Liability)
Error of principle occurs because of wrong decision about capital and revenue nature at the time of recognizing accounting heads.

<u>Rectifying Entry</u>

Computer a/c Dr.5,000
Stationery a/c Cr. 5,000

Errors & Rectification

d) Error of Original Entry

When correct accounting entry is recorded in the books of accounts but the amount in both accounting effect (Dr & Cr) is wrong although the amount is same.
For example: Debtors to be written off for Rs. 250 as bad debts were recorded in the correct accounts but the amount was posted in both accounts was Rs. 520, causing a difference of Rs. 270 in both sides.
It is also known as transposition error.

Rectifying Entry

Debtors a/c Dr. 270
Bad Debts a/c Cr. 270

Errors & Rectification

e) Compensating Error

When the sum of more than one errors cancels the accounting effect of each other.

For example: Sales were less credited with Rs. 260 and at the same time opening balance of capital account was brought forward with an amount that is Rs. 200 more than the correct amount and Rent expense owing of Rs. 60 was although credited to rent payable account but was not debited to the rent expense.

Rectifying Entry

Capital a/c Dr		**200**
Rent expense a/c Dr	**60**	
Sales a/c Cr		**260**

Important Tips To Remember - ITTR



Rectification of Errors

Errors that do cause a difference in Trial Balance

Suspense Account Error

Difference in both sides of trial balance is temporarily transferred to "Suspense a/c"

Difference in Trial Balance

Trial Balance

Particulars	Dr. (Rs)	Particulars	Cr. (Rs)
Assets	65,000	Capital	**40,000**
Expenses	13,000	Sales	**100,000**
Purchases	80,000	Liabilities	**25,000**
Drawings	2,500	Provisions	**3,000**
	160,500		**168,000**

Suspense Account

Trial Balance

Particulars	Dr. (Rs)	Particulars	Cr. (Rs)
Assets	65,000	Capital	40,000
Expenses	13,000	Sales	100,000
Purchases	80,000	Liabilities	25,000
Drawings	2,500	Provisions	3,000
Suspense	7,500		
	168,000		168,000

Reasons for Difference in Trial Balance

a)	Under or Over Casting of a Ledger Account
Sales account (income) was over-cast by Rs. 200	Sales a/c Dr 200 Suspense a/c Cr 200
Sales account (income) was under-cast by Rs. 500	Suspense a/c Dr 500 Sales a/c Cr 500

It will only affect the Trial Balance agreement

Reasons for Difference in Trial Balance

b)	Omission of a balance from Trial Balance
Balance of bad debts account Rs. 700 (already correctly accounted for) is not appearing in the trial balance.	Bad Debts a/c Dr700 Suspense a/c Cr 700

It will only affect the Trial Balance agreement

Reasons for Difference in Trial Balance

c)	Balance representing an account appearing in trial balance with less or excess (wrong) amount.
Building a/c balance c/f was Rs. 700,000 but erroneously appearing in the Trial Balance as Rs. 70,000	Building a/c Dr 630,000 Suspense a/c Cr 630,000

It will only affect the Trial Balance agreement

Reasons for Difference in Trial Balance

d)	An account was given debit effect instead of credit effect
Sales of Rs. 800 on credit was correctly debited in Debtors a/c but was also debited to sales a/c mistakenly.	Suspense a/c Dr 1,600 Sales a/c Cr 1,600

Causing difference with double amount

Reasons for Difference in Trial Balance

e)	A ledger account was given credit effect instead of debit effect
Sales of Rs. 800 on credit was correctly credited in Sales a/c but was also credited in debtors' a/c mistakenly.	Debtors a/c Dr 1,600 Suspense a/c Cr 1,600

Causing difference with double amount

Reasons for Difference in Trial Balance

f)	Single accounting effect, either Dr or Cr was recorded/posted in the books of account	
Sales of Rs. 800 on credit was posted in Sales a/c only	Debtors a/c Dr 800 Suspense a/c Cr 800	

Causing difference with single amount

Reasons for Difference in Trial Balance

g)	One of the accounting effects was recorded with wrong amount	
Sales of Rs. 800 on credit was correctly credited in Sales a/c but was wrongly debited to debtors' a/c with Rs. 80 only	Debtors a/c Dr 720 Suspense a/c Cr 720	

Causing difference with single amount

Important Tips To Remember - ITTR

1. Single entry rectifies the error the second effect is recorded in suspense account.
2. Ultimately the suspense account should be NIL

Rectification of Errors

Practice Correction in Trial Balance

Scenario – Practice 12.1

Anjum has extracted following balances from her books of accounts.

She has forgotten to extract the balance for Discounts Allowed account.

Help her to find the balance?

Omission in Trial Balance

Accounting Heads	Rs.
Plant and machinery	95,000
Property	135,000
Inventory	6,400
Payables	3,600
Receivables	2,850
Bank overdraft	970
Loan	45,000
Capital	100,000
Drawings	32,000
Sales	362,000
Purchases	156,000
Purchase returns	2,200
Discounts allowed	?
Discounts received	3,500
Sundry expenses	82,500

Difference in Trial Balance

Accounting Heads	Debit – Rs.	Credit – Rs.
Plant and machinery	95,000	
Property	135,000	
Inventory	6,400	
Payables		3,600
Receivables	2,850	
Bank overdraft		970
Loan		45,000
Capital		100,000
Drawings	32,000	
Sales		362,000
Purchases	156,000	
Purchase returns		2,200
Discounts allowed	?	
Discounts received		3,500
Sundry expenses	82,500	
Total	509,750	
Difference (Discount allowed)	7,520	
Total	517,270	517270

Correct Trial Balance

Accounting Heads	Debit – Rs.	Credit – Rs.
Plant and machinery	95,000	
Property	135,000	
Inventory	6,400	
Payables		3,600
Receivables	2,850	
Bank overdraft		970
Loan		45,000
Capital		100,000
Drawings	32,000	
Sales		362,000
Purchases	156,000	
Purchase returns		2,200
Discounts allowed	7,520	
Discounts received		3,500
Sundry expenses	82,500	
Total	517,270	517270

Important Tips To Remember - ITTR

1. Assets and Expenses Heads appear in the Dr. side of TB
2. Capital, Liabilities and Incomes Heads appear in Cr. side of TB.
3. Contra accounting heads are the exceptions

Rectification of Errors

Practice
Suspense Account

Scenario – Practice 12.2

A trial balance has been extracted and a suspense account opened.

One error relates to the mis-posting of an amount of Rs.200, being discounts received from suppliers.

This was recorded on the wrong side of the discounts account.

Rectifying Entry

Suspense account Dr.	**400**	
Discount allowed Cr.		**200**
Discount received Cr.		**200**

Scenario – Practice 12.3

Mithu recorded a payment from the bank of Rs.880 for repairs of company van.

Correct entry was recorded in the bank account but no other effect was recorded.

Rectifying Entry

Van Repair Dr.	**400**	
Suspense Account Cr.		**200**

Scenario – Practice 12.4

Dazy recorded an amount of Rs.3,175 for rent.

Both the rent account and the bank account were debited.

Rectifying Entry

Suspense Account Dr.	**6,000**	
Bank Account Cr.		**6,000**

Scenario – Practice 12.5

Rosy paid Rs. 500 for office cleaning in cash.

She made the following accounting entry in her books:

Trade payables Dr. 500

Cleaning expenses Cr. 500

Rectifying Entry

Cleaning expense Dr.	**1,000**	
Trade payable Cr.		**500**
Cash account Cr.		**500**

Important Tips To Remember - ITTR

1. Step 1 – Pass the correct original entry
2. Step 2 – Pass the wrong entry that was made erroneously
3. Step 3 – Pass the rectifying entry by comparing wrong with the correct original entry

Rectification of Errors

Practice
Posting in Suspense Account

Scenario – Practice 12.6

Tipu's trial balance at 31 October 20X9 is out of agreement, with the credit side totaling Rs.1,610 lesser than the debit side. (Difference is appearing in the Dr. side of Trial Balance`)

Upon investigation, the following errors were discovered:

1. Debit side of the purchases account for October had been overcast by Rs.1,050.
2. Rent expense of Rs.240 had been debited to the rent income account.
3. The provision for doubtful debts, which was increased by Rs.280, had been recorded in the provision for doubtful debts account as a decrease.

Suspense Account

Particulars	Debit Rs.	Particulars	Credit Rs.
20X9		20X9	
Purchase account over-cast	1,050	Difference b/f from TB	1,610
Provision for doubtful debts	560		
Balance	NIL		
	1,610		1,610

Important Tips To Remember - ITTR

1. Amount of difference appearing in the Dr. side of TB should be placed in Dr. side of Suspense account and vice versa
2. Trial Balance is not a ledger account

Rectification of Errors

Calculation of Adjusted Profit

Nominal Accounts in Rectifying Entries

Nominal accounts relate to Income Statement (Expense and Income)
Dr. effect to Nominal Accounts causes a decrease in the net profit
Cr. effect to Nominal Accounts causes an increase in net profit

Scenario – Practice 12.7

Income statement of PASHA shows a net profit figure of Rs. 100,000 in the presence of following errors

1. Debit side of the purchases account had been overcast by Rs.1,050.
2. Rent expense of Rs.240 had been debited to the rent income account.
3. The provision for doubtful debts, which was increased by Rs.240, had been recorded in the provision for doubtful debts account as a decrease.
4. Credit note issued against sales returns Rs. 800 was completely omitted to record in journal

Adjusted Profit

Particulars	Rs.
Profit prior to rectification – Cr.	100,000
Purchase account overcast – Cr.	1,050
Rent expense – Dr. Rent income – Cr.	0
Provision for doubtful debts – Cr.	0
Sales return – Dr. Debtors – Cr.	0
Adjusted Profit – post rectification of errors	**101,050**

Important Tips To Remember - ITTR

1. Only nominal accounts affect net profit
2. Profit – Cr nature
3. Loss – Dr. nature

Rectification of Errors

Calculation of Adjusted Working Capital

Working Capital in Rectifying Entries

Current Assets and Current Liabilities are known as Working Capital Items

Dr. effect to working capital items causes increase in the working capital

Cr. effect to working capital items causes decrease in working capital

Scenario – Practice 12.8

Balance Sheet of Almas shows a Working Capital figure of Rs.100,000 in the presence of following errors (Current Assets Rs.170,000 and Current Liabilities Rs.70,000)

1. **Debit side of the Debtors account had been overcast by Rs.1,000.**
2. **Accrued Rent (payable) of Rs.2,000 had been credited to the Rent Income.**
3. **Accumulated Depreciation had been overcast by Rs. 5,000.**
4. **Credit purchase of Rs. 8,000 was completely omitted to record in journal**

Adjusted Profit

Particulars	Rs.
Working capital – (170,000 – 70,000) Dr.	100,000
Debtors overcast – Cr.	- 1,000
Rent Income – Dr. Accrued Rent – Cr.	- 2,000
Accumulated Depreciation overcast – Dr.	0
Purchases – Dr. Creditors – Cr.	- 8,000
Adjusted Working Capital	**89,000**

Important Tips To Remember - ITTR

1. Working capital is Net Current Assets
2. Working Capital is Dr. in nature

Rectification of Errors

Concept of Capital and Revenue Expenditure / Receipts

Concept of Capital and Revenue

Capital and Revenue Expenditure / Receipts should be correctly recognized in the appropriate accounting heads.

Concept of Capital and Revenue

Capital expenditure – Asset
Revenue expenditure – Expense
Capital receipt – Liability or Owners' Equity
Revenue receipt – Income

Practice – Capital & Revenue

	Expenditure		Receipts	
	Capital	Revenue	Capital	Revenue
Purchase of car	★			
Repair of car		★		
Purchase of computer	★			
Installation of software	★			
Purchase of USB for data transfer		★		
Receipt of Loan from bank			★	
Receipt of service fee				★
Construction of store room	★			
Rent of store room		★		
Wages for machine operator		★		

Important Tips To Remember - ITTR

1. Capital nature belongs to Balance Sheet
2. Revenue nature belongs to Income Statement

Chapter - 13

Final Accounts with Adjustments

MGT 101
Financial Accounting

By
Mian Ahmad Farhan, FCA

Module Merged by AARISH ALI (Team VU Global) - +96569002641

Contents

Sr. No	Course Outline Topics
1	Preparation of Final Accounts
2	Practice - Adjustments for Fixed Assets – Rectification of Errors
3	How to Read Trial Balance Prior to Preparing Final Accounts
4	Adjusting Entries Prior to Preparing Final Accounts
5	Practice: BRS - Provision for Doubtful Debts - Claim against Loss
6	Important Tips to Remember

Final Accounts with Adjustments

Preparation of Final Accounts for Sole Proprietors

Final Accounts

1. Income statement (Statement of profit or loss and other comprehensive income)

Incomes – Expenses = Profit

2. Balance sheet (Statement of financial position)

Assets = Owners equity + Liabilities

Technique to Prepare Final Accounts

- Read trial balance very carefully
- Identify the nature of accounting head correctly and mark A-E-I-L-O
- Pass journal entries for adjustment.
- Place adjusted balances in the appropriate part of income statement and balance sheet

Important Tips To Remember - ITTR

1. Mark A-E-I-L-O
2. Dr. side of TB contains Assets and Expenses
3. Cr. side of TB contains Equity, Liability and Incomes
4. Take care of contra nature of accounting heads

Final Accounts with Adjustments

Practice
Adjustments for Fixed Assets
Rectification of Errors

Practice 13.1

Trial Balances as on **31.3.20X9** of Al-Fanar Stores

Particulars	Dr. (Rs)	Cr. (Rs)
Cash in hand	1,400	
Cash at bank	2,600	
Sundry debtors	86,000	
Stock on **1.4.20X8**	62,000	
Furniture & fixtures	25,000	
Depreciation (F&F)		3,600
Equipment (Depreciation 4,000)	16,000	
Buildings (cost)	60,000	
Motor car (Cost 30,000)	20,000	
Sundry creditors		43,000
12% Loan from Bhutta		30,000
Provision for bad debts		3,000
Purchases	140,000	
Purchase returns		2,600
Sales		230,000
Sales returns	4,200	
Salaries	11,000	
Rent for godown	5,500	

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Practice 13.1

Trial Balances as on 31.3.20X9 of Al-Fanar Stores

Particulars	Dr. (Rs)	Cr. (Rs)
Interest on loan from Bhutta	2,700	
Rates & taxes	2,100	
Discount allowed to Debtors	2,400	
Discount received from creditors		1,600
Freight on purchases	400	
Carriage inwards	800	
Carriage outwards	2,000	
Drawings	12,000	
Printing and stationery	1,800	
Electricity charges	2,200	
Insurance premium	5,500	
General office expenses	3,000	
Bad debts	2,000	
Bank charges	1,600	
Motor car expenses	3,600	
Capital A/c		162,000
TOTAL	**475,800**	**475,800**

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Practice 13.1 - Adjustments

1. Depreciate: (a) Building by 5% on reducing balance method; (b) Furniture and fixtures by 10% on reducing balance method; One steel table purchased during the year for Rs 1,400 was sold for same price but the sale proceeds were wrongly credited to Sales Account; (c) Office equipment by 15% on straight line method; Purchase of a typewriter during the year for Rs 4,000 has been wrongly debited to purchase; and (d) Motor car by 20% on reducing balance method; A fully depreciated motor car, original cost Rs. 5,000 was sold during the year. The proceeds of Rs. 1,000 were credited to sales account, no other accounting entries for disposal were recorded. During the year a motor car was purchased for Rs. 10,000 on credit, this remained unrecorded.

Practice 13.1 - Adjustments

2. Value of stock on reporting date was Rs 44,000.
3. One month's rent for godown is outstanding,
4. One month's salary is outstanding.
5. Interest on loan from Bhutta is payable at 12 percent per annum, this loan was taken on 1.5.20X8.
6. Provision for bad debts is to be increased by Rs. 1,500
7. Insurance premium includes Rs 4,000 paid towards proprietor's life insurance policy and the balance of the insurance charges cover the period from 1.4.20X8 to 30.6.20X9.
8. Building was bought during the reporting period, half of which is used for residential purpose by Sheikh.
9. Discount allowed to debtors Rs. 600 has been wrongly debited to discount allowed by the creditors.

Practice 13.1- Mark AEILO

Particulars	Dr. (Rs)	Cr. (Rs)
Cash in hand A	1,400	
Cash at bank A	2,600	
Sundry debtors A	86,000	
Stock on **1.4.20X8** E	62,000	
Furniture & fixtures A	25,000	
Depreciation (F&F) – A		3,600
Equipment (Depreciation 4,000) A, – A	16,000	
Buildings (cost) A	60,000	
Motor car (Cost 30,000) A, – A	20,000	
Sundry creditors. L		43,000
12% Loan from Bhutta L		30,000
Provision for bad debts – A		3,000
Purchases E	140,000	
Purchase returns – E		2,600
Sales I		230,000
Sales returns – I	4,200	
Salaries E	11,000	
Rent for godown E	5,500	

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Practice 13.1- Mark AEILO

Particulars	Dr. (Rs)	Cr. (Rs)
Interest on loan from Bhutta E	2,700	
Rates & taxes E	2,100	
Discount allowed to Debtors E	2,400	
Discount received from creditors I		1,600
Freight on purchases E	400	
Carriage inwards E	800	
Carriage outwards E	2,000	
Drawings – O	12,000	
Printing and stationery E	1,800	
Electricity charges E	2,200	
Insurance premium E	5,500	
General office expenses E	3,000	
Bad debts E	2,000	
Bank charges E	1,600	
Motor car expenses E	3,600	
Capital account O		162,000
TOTAL	**475,800**	**475,800**

Adjusting Entries

1. Depreciation expense for the year

Name of Assets	Furniture & Fixture 10 % R B M	Equipment 15% Straight line	Building 5 % R B M	Motor car 20 % R B M
Cost Opening	25,000	20,000	30,000	30,000
Addition	-	4,000	-	10,000
Deletion /Disposal	(1,400)	-	-	(5,000)
Closing Balance	23,600	24,000	30,000	35,000
Acc. Dep. Opening	3,600	4,000	-	10,000
Disposal	-	-	-	(5,000)
For the year	2,000	3,600	1,500	6,000
Closing balance	(5,600)	(7,600)	(1,500)	(11,000)
Net Book Value	18,000	16,400	28,500	24,000

Adjusting Entries

1. Depreciation expense for the year

Depreciation expense E		Dr.	13,100	
	Accumulated Depreciation – Furniture	Cr. – A		2,000
	Accumulated Depreciation – Equipment	Cr. – A		3,600
	Accumulated Depreciation – Building	Cr. – A		1,500
	Accumulated Depreciation – Motor Car	Cr. – A		6,000
Sales account – I		Dr.	1,400	
	Furniture & Fixture account	Cr. – A		1,400
Office equipment A		Dr.	4,000	
	Purchases account	Cr. – E		4,000

Adjusting Entries

1. Depreciation expense for the year

Motor car A	Dr.	10,000		
Creditors for motor car	Cr. L			10,000
Accumulated depreciation motor car A	Dr.	5,000		
Sales – I	Dr.	1,000		
Motor car	Cr. – A			5,000
Profit on disposal of motor car	Cr. I			1,000

2. Closing Stock

Closing Stock A	Dr.	44,000		
Cost of goods sold – E	Cr.			44,000

Adjusting Entries

3. Outstanding rent for godown – one month = 500 (5,500 = 11 months)

Rent for godown	E	Dr.	500	
Rent payable / owing	L	Cr.		500

4. Outstanding salaries – one month = 1,000 (11,000 = 11 month)

Salaries	E	Dr.	1,000	
Salaries payable / owing	L	Cr.		1,000

Adjusting Entries

5. Interest on loan @ 12% (30,000) = 3,600 x 11/12 = 3,300 – 2,700 = 600

Interest on loan	E	Dr.	600	
Interest payable	L	Cr.		600

6. Increase in provision for doubtful debts

Bad debts	E	Dr.	1,500	
Provision for doubtful debts – A		Cr.		1,500

Adjusting Entries

7. Insurance premium includes insurance for proprietor

Drawings	– O	Dr.	4,000	
Insurance premium	E	Cr.		4,000

Insurance prepaid for 3 months (1,500 x 3/15 = 300)

Prepaid Insurance	A	Dr.	300	
Insurance premium	E	Cr.		300

Adjusting Entries

8. Half of the building purchased during the year is being used by owner for personal use

Drawings account – O	Dr.	30,000		
Building account – A	Cr.		30,000	

9. Discount allowed wrongly debited to discount received

Discount allowed E	Dr.	600		
Discount received I	Cr.		600	

Income Statement

Al – Fanar Stores
Income Statement
For the Year Ended on 31 March 20X9

	Rs.	Rs.	Rs.
Sales (W-4)			223,400
Cost of Goods Sold			
Opening Stock		62,000	
Purchases (W-5)	133,400		
Freight	400		
Carriage inwards	800	134,600	
Closing Stock		(44,000)	(152,600)
Gross Profit			70,800

Income Statement

Gross Profit			70,800
Operating Expenses			
Salaries	(11,000 + 1,000)	12,000	
Rent for Godown	(5,500 + 500)	6,000	
Interest on Loan	(2,700 + 600)	3,300	
Rates and Taxes		2,100	
Discount to Debtors	(2,400 + 600)	3,000	
Carriage outwards		2,000	
Printing & Stationery		1,800	
Electricity charges		2,200	
Insurance premium (W-6)		1,200	
General office Expenses		3,000	
Bad debts (W-2)		1,500	
Bank charges		1,600	
Motorcar Expenses		3,600	
Depreciation		13,100	56,400
Operating Profit			14,400

Income Statement

Operating Profit			14,400
Other Income			
Discount Received	(1,600 + 600)	2,200	
Profit on Sale of Motor		1,000	3,200
Net Profit			17,600

Balance Sheet

Al – Fanar Stores
Statement of Financial Position
As At March 31, 20X9

		Rs.	Rs.
Assets			
Fixed Assets			
Furniture & Fixture	(W -1)	18,000	
Equipment	(W - 1)	16,400	
Building	(W - 1)	28,500	
Motor Car	(W - 1)	24,000	86,900
Current Assets			
Stock		44,000	
Trade Debtors	(W - 3)	83,500	
Prepaid Insurance	(W - 6)	300	
Cash in hand		1,400	
Cash at Bank		2,600	131,800
			218,700

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Balance Sheet

Owners' Equity			
Capital		162,000	
Net profit		17,600	
Drawing	(W – 7)	(46,000)	133,600
Liabilities:			
Long Term			
Loan from Bhutta		30,000	
Current Liabilities			
Creditor for motor car		10,000	
Trade Creditors		43,000	
Outstanding Expense		1,500	
Interest on loan payable		600	85,100
			218,700

Working Notes

W – 1

Fixed Asset and Depreciation

Name of Assets	Furniture & Fixture 10 % R B M	Equipment 15% Straight line	Building 5 % R B M	Motor car 20 % R B M
Cost Opening	25,000	20,000	30,000	30,000
Addition	-	4,000	-	10,000
Deletion /Disposal	(1,400)	-	-	(5,000)
Closing Balance	23,600	24,000	30,000	35,000
Acc. Dep. Opening	3,600	4,000	-	10,000
Disposal	-	-	-	(5,000)
For the year	2,000	3,600	1,500	6,000
Closing balance	(5,600)	(7,600)	(1,500)	(11,000)
Net Book Value	18,000	16,400	28,500	24,000

Working Notes

W – 2

Provision for Doubtful Debts

	Rs.		Rs.
Bad debts transferred	2,000	Balance b/f	3,000
		Bad debts	1,500
Balance c/f	2,500		
	4,500		4,500

Bad debts

	Rs.		Rs.
Debtors	2,000	Provision for D Debts	2,000
		Income Statement	1,500
Provision increased by	1,500		
	3,500		3,500

Working Notes

W – 3		**Rs.**
	Sundry Debtor	86,000
	Provision for bad debts	(2,500)
		83,500

W – 4 Sales

Sale – Sale Return – Furniture – Profit & Loss A/c.

= 230,000 – 4,200 –1,400 –1,000

= 223,400

Working Notes

W – 5

Net Purchase

Purchase – Purchase return – office equipment

= 140,000 – 2,600 – 4,000

W – 6

Insurance prepaid

= 5,500 – 4,000

= 1,500 x 3/15 = 300

Insurance Premium

1,500 – 300 = 1,200

W – 7

Drawings 12,000 + 4,000 + 30,000 = 46,000

Important Tips To Remember - ITTR

1. Items appearing in TB have single effects in Final Accounts
2. Except for the following heads all other heads appearing in TB reveal closing balance:
   a) Owner's Capital
   b) Provision for Depreciation
   c) Provision for Doubtful Debts
   d) Opening Stock

Final Accounts with Adjustments

Practice

Bank Reconciliation
Provision for Doubtful Debts
Claim against Losses

Practice 13.2

Trial balance extracted from the books of Decent Traders as on December 31, 20X9

	Dr. Rs	Cr. Rs.
Capital account		1,318,000
Drawing account	129,000	
Building	500,000	
Showroom racks	285,400	
Furniture & fixture	25,000	
Staff advance	17,400	
Provision for doubtful debts		39,400
Export sales		100,000
Local sales		2,189,400
Administrative expenses	659,600	
Bank overdraft (HBL)		2,400
Marketing expenses	20,000	
Cost of goods sold	1,027,400	
Sundry debtors	744,000	
Sundry creditors		243,400
Stock	200,000	
Cash at bank (MCB)	260,000	
Cash in hand	24,800	
TOTAL	**3,892,600**	**3, 892,600**

Practice 13.2 – Adjustments Required

1. Charge depreciation at 10% on building, showroom racks and furniture & fixture
2. Sundry debtors include:
   a. A customer who is in default for Rs. 44,000 and expected recovery from him is not more than 75%;
   b. A customer owing Rs. 25,000 who is also a creditor for Rs. 30,000 (however setoff is not required)
   c. General provision for doubtful debts is to be calculated @ 5% of sundry debtors.
3. Provision for income tax is to be accounted for @ 40% of the net profit.
4. Balance as per bank statement received from MCB on 31 December 20X9 was different because of following reasons:

Un presented cheques	Rs. 8,000
Un collected cheques	Rs. 3,000
Un recorded standing orders (paid for trade subscription)	Rs. 2,000
Un recorded credit transfers (building rent realized)	Rs. 6,000

5. Goods valuing Rs. 10,000 were destroyed by fire and insurance company has admitted the claim for Rs. 7,500, no accounting entry has been passed for loss and claim.

Income Statement

Decent Trader
Income Statement
For the Year Ended December 31, 20X9

	Rs.	Rs.	Rs.
Sales			
Local sales		2,189,400	
Export sales		100,000	2,289,400
Cost of Goods Sold – (W - 5)			(1,017,400)
Gross Profit			1,272,000
Administrative Expenses	659,600		
Marketing expense	20,000		
Operating Expenses		679,600	
Deprecation – (W - 1)		81,040	
Bad debts – (W- 2)		5,350	
Loss of goods – (W - 5)		2,500	
Trade subscription (Order)		2,000	(770,490)
Operating Profit			501,510
Other Incomes			
Rent realized (credit transfer)			6,000
Net Profit before Tax			507,510
Income Tax Provision (W - 4)			(203,004)
Net Profit after Tax			304,506

Balance Sheet

Decent Trader
Statement of Financial Position (Balance Sheet)
As at December 31, 20X9

		Rs.	Rs.
Assets			
Fixed Asset			
Building	(W - 1)	450,000	
Showroom Stock	(W - 1)	256,860	
Furniture & Fixture	(W - 1)	22,500	729,360
Current Assets			
Closing Stock		200,000	
Insurance Claim	(W - 5)	7,500	
Staff Advance		17,400	
Debtors	(W - 2)	699,250	
Cash at Bank	(W - 4)	264,000	
Cash in hand		24,800	1,212,950
			1,942,310

Balance Sheet

Decent Trader
Statement of Financial Position (Balance Sheet)
As at December 31, 20X9

Owners' Equity		
Capital	1,318,000	
Net profit	304,506	
Drawing	(129,000)	1,493,506
Liabilities:		
Provision for Income Tax	203,004	
Bank Overdraft	2,400	
Sundry Creditors	243,400	448,804
		1,942,310

Working Notes

W – 1

Depreciation	Rate	Cost Rs.	Depreciation Rs.	N.B.V. Rs.
Building	@ 10 %	500,000	50,000	450,000
Show room Racks	@ 10 %	285,400	28,540	256,860
Furniture & Fixture	@ 10 %	25,000	2,500	22,500
		810,400	810,40	729,360

W – 2

		Rs.
Total Debtor		744,000
Provision for doubtful debts		
Goods debtors 25,000 x 0%	=	0
Specific debtors 44,000 x 25%	=	11,000
General debtors 675,000 x 5%	=	33,750
		44,750
Net Debtors = 744,000 – 44,750	=	699,250

Working Notes

W – 3

Cash Book (MCB)

	Rs.		Rs.
B/f	260,000	Standing order	2,000
Direct credit	6,000	C /f	264,000
	266,000		266,000

W – 4

Income Tax 474,110 x 40 % = Rs. 189,644

W – 5

	Rs.	Rs.
Loss by fire	2,500	
Insurance Claim	7,500	
Purchases		10,000
Cost of Goods Sold		1,027,400
Less: Loss of Goods by fire		(10,000)
		1,017,000

Important Tips To Remember - ITTR

- Concept of direct and indirect expense does not exist in financial accounting language.
- For classification purposes all expenses are categorized into five functions:

1. Cost of goods sold
2. Administrative
3. Selling & distribution
4. Financial
5. Income tax

Chapter - 14

Manufacturing Accounts

MGT 101
Financial Accounting

By
Mian Ahmad Farhan, FCA

Module Merged by AARISH ALI (Team VU Global) - +96569002641

Contents

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2	Classification and Analysis of Cost of Production
3	Manufacturing Cycle
4	Types of Inventories
5	Format of Financial Statements of a Manufacturing Entity
6	Manufacturing Account Without Work in Process Inventory
7	Manufacturing Account with Work in Process Inventory

Manufacturing Accounts

Reporting Requirements of Manufacturing Entity

Reporting Requirements

1. Manufacturing account
2. Trading account
3. Profit & Loss account
4. Cost per unit of production

Important Tips To Remember - ITTR

1. Accountants of manufacturing entities are required to prepare “Manufacturing Account” apart from the “Trading Account”

Manufacturing Accounts

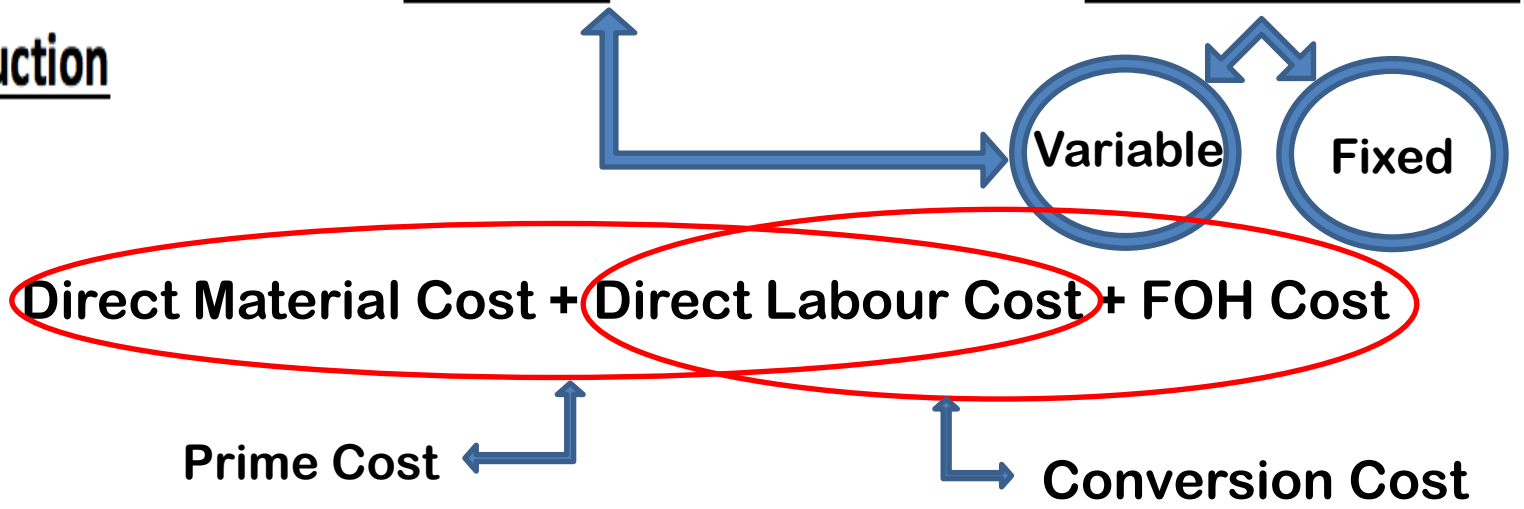
Classification and Analysis of the Cost of Production

Cost Elements

1. Material
2. Labour
3. Factory Overhead

Cost Classification

Material cost	=	Direct material cost	+	Indirect material cost
+		+		+
Labour cost	=	Direct labour cost	+	Indirect labour cost
+		+		+
Other costs	=	other Direct costs	+	other Indirect cost
Total cost of production	=	**Prime cost**	+	**Factory overhead cost**



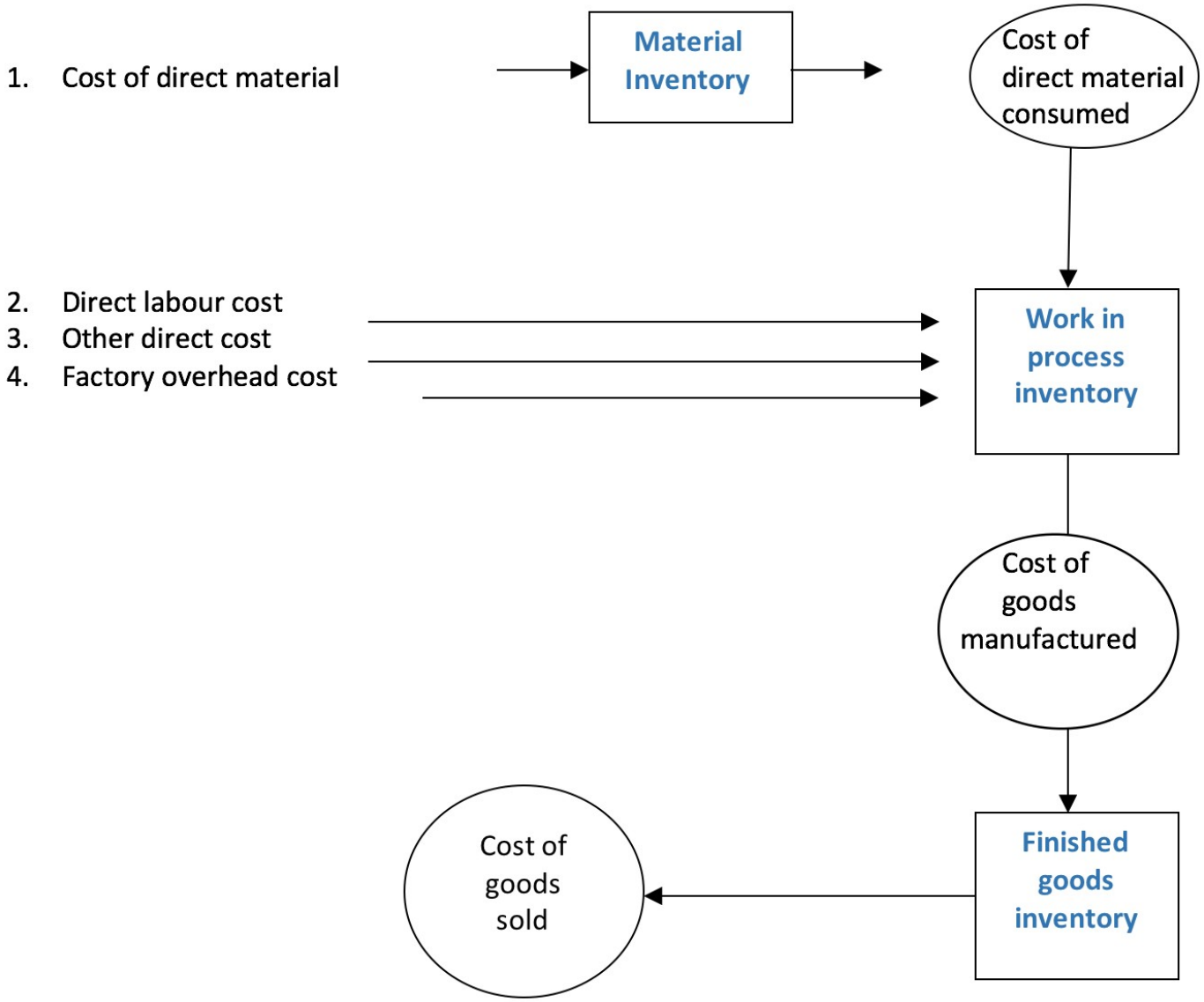
Important Tips To Remember - ITTR

1. Cost Vs Expense
2. Cost that expires is Expense
3. Cost of Goods Manufactured is Cost
4. Cost of Goods Sold is Expense

Manufacturing Accounts

Manufacturing Cycle

Manufacturing Cycle



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Important Tips To Remember - ITTR

Types of Inventories

1. Material Inventory
2. Work in Process Inventory
3. Finished Goods Inventory

Manufacturing Accounts

Types of Inventories

Types of Inventories

1. Material and Supplies
   a) Direct Supplies (Raw Material)
   b) Indirect Supplies
   c) Office Supplies
   d) Shipping Supplies
2. Work in Process
3. Finished Goods

Important Tips To Remember - ITTR

1. Stores and spares are indirect material supplies
2. Cost of consumed supplies is included in FOH by adjusting opening and closing inventories

Manufacturing Accounts

Format of Financial Statements of Manufacturing Entities

Format – Manufacturing Account

Sample Company
Manufacturing Account
For the year ended 31st. December 20X9

	Rs.	Rs.	Rs.
Direct material consumed			
Opening inventory		***	
Purchases of raw material	***		
Returns outwards	(**)		
Carriage inwards	***		
Other receiving and handling cost of material	***	***	
Closing inventory		(**)	***
Direct labour			***
Other Direct cost			***
Prime cost			***

Format – Manufacturing Account

Sample Company
Manufacturing Account
For the year ended 31st. December 20X9

Prime cost		***
Factory overhead cost		
Indirect material	***	
Indirect labour	***	
Power & fuel	***	
Factory depreciation	***	
Other factory expenses	***	***
Total factory cost / manufacturing cost/production cost		***
Opening work in process inventory		***
Closing work in process inventory		(**)
Cost of goods manufactured		***

Format – Trading Account

Sample Company
Trading account
For the year ended 31st. December 20X9

	Rs.	*Rs.*
Sales	***	
Returns inwards	(**)	***
Cost of goods sold		
Opening finished goods inventory	***	
Cost of goods manufactured	***	
Closing finished goods inventory	(**)	(**)
Gross profit		***

Important Tips To Remember - ITTR

1. Manufacturing account is integral part of income statement
2. Manufacturing account provides information for Trading account
3. Trading account provides information to P&L account

Manufacturing Accounts

Manufacturing Account without Work in Process Inventory

Practice 14.1

Prepare cost of goods manufactured of Sandhu Sports for the year ended 31st. March 20X9. Opening and closing work in process inventories do not exist in this reporting period.

	Rs.
Stock of raw material (opening)	1,500
Stock of raw material (closing)	2,100
Raw material purchases	24,000
Carriage inwards	1,000
Direct manufacturing wages	40,000
Royalty at production stage	5,000
Indirect manufacturing wages	12,000
Factory building rent	18,000
Depreciation of plant and machinery	2,000
Other indirect factory cost	10,500

Practice 14.1

Sandhu Sports
Manufacturing Account
For the year ended 31st. March 20X9

	Rs.	Rs.	Rs.
Direct material consumed cost			
Opening inventory		1,500	
Purchases of raw material	24,000		
Carriage inwards	1,000	25,000	
Closing inventory		(2,100)	24,400
Direct labour cost			40,000
Other direct cost (Royalty)			5,000
Prime cost			**69,400**

Practice 14.1

Sandhu Sports
Manufacturing Account
For the year ended 31st. March 20X9

Prime cost		**69,400**
Factory overhead cost		
Indirect labour	12,000	
Factory building rent	18,000	
Depreciation plant & machinery	2,000	
Other indirect factory cost	10,500	42,500
Total factory cost		**111,900**
Opening work in process inventory		0
Closing work in process inventory		(0)
Cost of goods manufactured		**111,900**

Important Tips To Remember - ITTR

1. Correctly identify the nature of the expense head based upon its function, like wages can be direct, indirect, administrative and selling.
2. Factory overhead should be worked out carefully e.g., Depreciation of production plant is FOH
3. Store rent is FOH, rent for finished goods warehouse is operating expense.

Manufacturing Accounts

Manufacturing Account ~~with~~ Work in Process Inventory

Practice 14.2

Prepare cost of goods manufactured of Sandhu Sports for the year ended 31st. March 20X9. Opening work in process inventory Rs.12,000 and closing work in process inventory is Rs.10,900.

	Rs.
Stock of raw material (opening)	1,500
Stock of raw material (closing)	2,100
Raw material purchases	24,000
Carriage inwards	1,000
Direct manufacturing wages	40,000
Royalty at production stage	5,000
Indirect manufacturing wages	12,000
Factory building rent	18,000
Depreciation of plant and machinery	2,000
Other indirect factory cost	10,500

Practice – 14.2

Sandhu Sports
Manufacturing Account
For the year ended 31st. March 20X9

	Rs.	Rs.	Rs.
Direct material consumed cost			
Opening inventory		1,500	
Purchases of raw material	24,000		
Carriage inwards	1,000	25,000	
Closing inventory		(2,100)	24,400
Direct labour cost			40,000
Other direct cost (Royalty)			5,000
Prime cost			**69,400**

Practice – 14.2

Sandhu Sports
Manufacturing Account
For the year ended 31st. March 20X9

Prime cost		**69,400**
Factory overhead cost		
Indirect labour	12,000	
Factory building rent	18,000	
Depreciation plant & machinery	2,000	
Other indirect factory cost	10,500	42,500
Total factory cost		**111,900**
Opening work in process inventory		12,000
Closing work in process inventory		(10.900)
Cost of goods manufactured		**113,000**

Important Tips To Remember - ITTR

1. Work in process inventory is also known as semi finished goods inventory
2. If closing inventories are appearing in the trial balance then don't subtract closing inventories for calculating cost of consumption or cost of goods manufactured

Chapter - 15

Accounting for Inventories

MGT 101
Financial Accounting

By
Mian Ahmad Farhan, FCA

Module Merged by AARISH ALI (Team VU Global) - +96569002641

Contents

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1	Important Definitions as per IAS 2
2	Classification and Valuation of Inventories
3	Net Realizable Value - Finished Goods, WIP, Raw Material
4	Components of Cost of Inventory
5	Inventory Costing Methods
6	Accounting Systems to Record Inventories
7	Practice - Periodic and Perpetual System using FIFO and WAverage
8	Problem of Stock Taking under Periodic System
9	Practice - Physical Stock Count After the End of Reporting Period
10	Circumstances in which Inventory (Asset) is Recognized as Expense

Accounting for Inventories

Important Definitions as per IAS 2

Definitions

Inventories are assets, held:

a) for sale in the ordinary course of business;

b) in the process of production for such sale; or

c) in the form of materials or supplies to be consumed in the production process or in the rendering of services.

Definitions

Net realizable value is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make such sale.

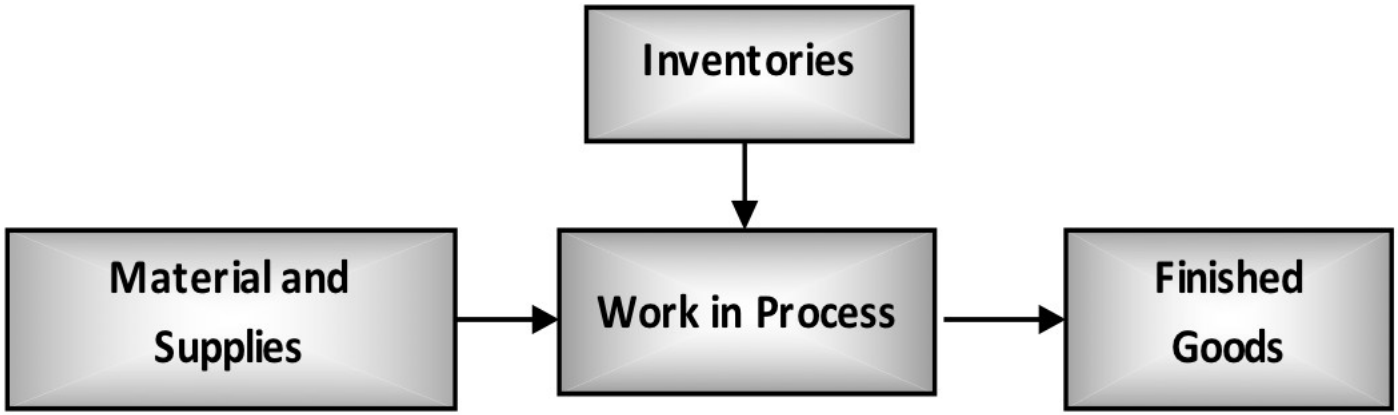
Important Tips To Remember - ITTR

1. Inventories are "Assets"
2. Material or Supplies include
    1. Production Supplies
    2. Office Supplies
    3. Shipping Supplies

Accounting for Inventories

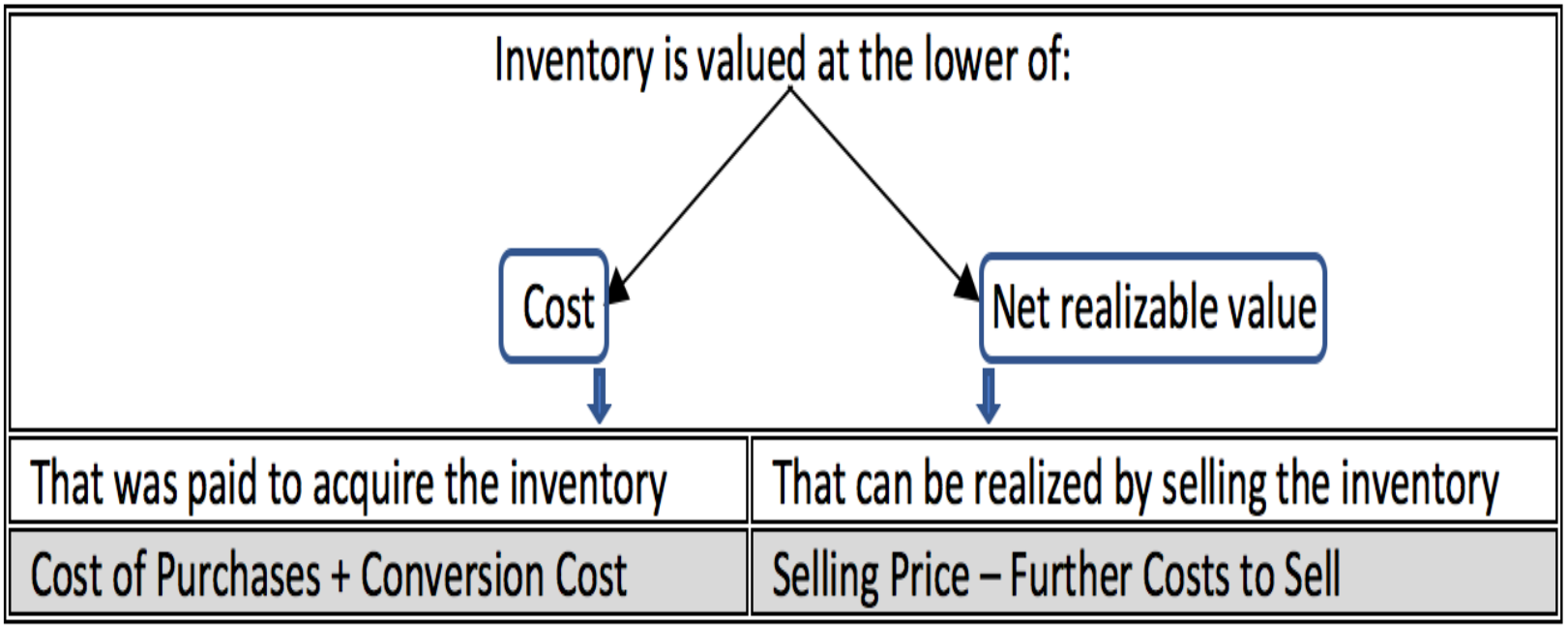
Classification and Valuation of Inventories

Classification of Inventories

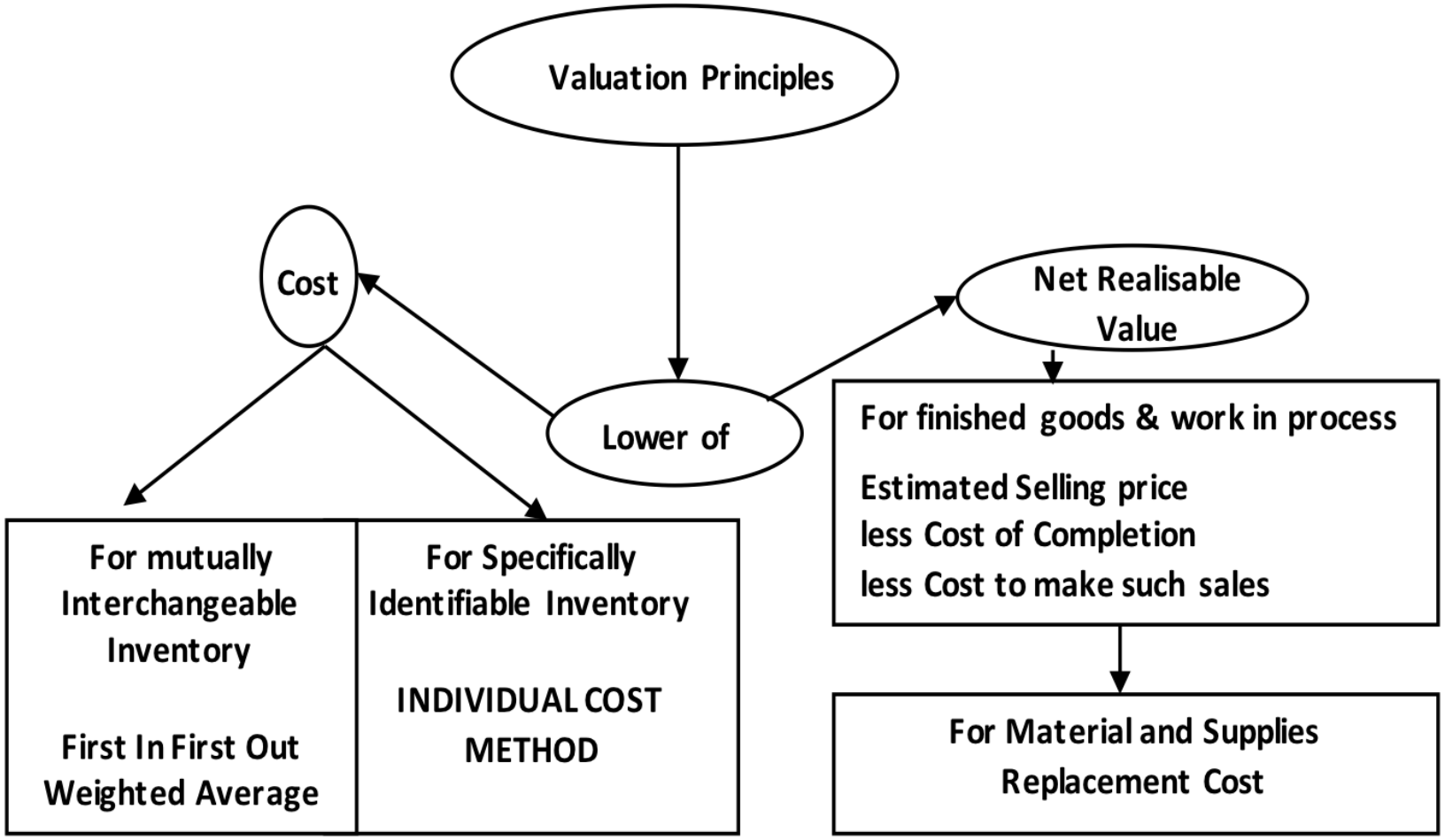


Valuation of Inventories

Inventories are valued at lower of cost and net realizable value, on item-by-item basis or group basis.



Valuation of Inventories



Important Tips To Remember - ITTR

1. For Assets to be reliable, a prudent view must be taken where there is certainty to ensure that assets and gains are not overstated.

Accounting for Inventories

Net Realizable Value
Finished Goods, WIP, Raw Material

Practice 15.1 – NRV FG & WIP

Bataka Company. has stock of finished shoes on December 31, 20X9 costing Rs15,000. The company also has a work in process inventory, the estimated cost to complete this work-in-process is Rs.5,000 on which cost of Rs.10,000 has already been spent till December 31, 20X9.

The company pays 2% commission on sales to its distributors. Estimated selling price of finished goods and work in process (when this will be converted to finished goods) is Rs. 35,000.

Answer – Practice 15.1

Its NRV shall be calculated as under:

		Rs.
Estimated Sales price		35,000
Less:	Estimated cost of completion	5,000
	Estimated cost necessary to make such sales (Rs. 35,000 x 2%)	700
		(5,700)
Net Realizable Value		29,300
Cost of inventory		
	Finished Goods	15,000
	Work in Process	10,000
Total cost of inventory		25,000

Cost of inventory is lesser than its net realizable value. Recognized in the balance sheet at cost Rs. 25.000

Practice 15.2 – NRV Raw Material

Cotton Expert Ltd. is engaged in manufacturing of cloth.

Price of cotton acquired by Cotton Expert Ltd. has fallen from Rs.200 per lb. to Rs.180 per lb.

At the end of the month company had 3,000 units which it had purchased @ Rs.200 per unit. The cloth made from this cotton is sold for Rs.500 per meter. The cost of producing one-meter cloth is Rs.400. One lb. of cotton is converted into one-meter cloth.

Calculate the value of inventory of Raw material.

Answer – Practice 15.2

As the finished goods are sold above their cost, so inventory of such raw material is not written down to NRV

Thus, the value of inventory is

Rs.200 x 3,000 = Rs.600,000

Practice 15.3 – NRV Raw Material

Prince Limited is engaged in a manufacturing business. One unit of raw material is converted into one unit of finished goods.

The cost of raw material acquired by the company is Rs.300 per unit. On January 31, due to excess supply price has fallen from Rs.300 to Rs.200.

The cost of producing one unit of finished goods is Rs.500 while NRV of the product is Rs.400 per unit.

Calculate the value of inventory of Raw Material. The company has 75 units of raw material at month end.

Answer – Practice 15.3

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The value of inventory of Raw material will be written down to NRV or replacement cost, as the finished goods would not be sold at or above the cost

Thus, the value of inventory of raw material is

Rs. 200 x 75 = Rs. 15,000

Important Tips To Remember - ITTR

1. If NRV of finished goods is lesser than its cost then its Raw material shall be measured at lower of its cost and Replacement Cost (NRV)
2. If NRV of finished goods is greater than its cost then its Raw material shall be measured at cost.

Accounting for Inventories

Components of the Cost of Inventory

Cost Components

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Cost of inventories comprises of:

1. Costs of purchase
2. Cost of conversion and
3. Other costs incurred in bringing the inventories to their present location and condition

Cost of Purchase

Cost of purchase comprise of

1. Purchase price, less trade discount if any;
2. Import duties and other non-refundable taxes;
3. Transport and handling; and
4. Other cost directly attributable to acquisition of finished goods, materials and services

Practice 15.4

Haroon Textile Ltd. imported raw material for use in production of goods with following details:

	Rs. (000)
Invoice value	1,000
Custom duty	150
Central Excise Duty (C.E.D)	50
Non-adjustable income tax	225
Refundable sales tax	180
Carriage	40
Commission paid to agent for clearance of raw materials	100

Calculate the cost of purchase of inventories

Answer – Practice 15.4

Cost of purchase	Rs. (000)
Invoice value	1,000
Custom duty	150
C.E.D.	50
Non-adjustable income tax	225
Carriage	40
Commission to agent	100
Cost of purchase	1,565

Not included in the cost of inventories

1. abnormal production costs
2. storage costs, unless those costs are necessary in the production process
3. administrative overheads and selling costs

Allocation of Fixed and Variable Overhead

- Allocation of fixed production overheads to the costs of inventories is based on normal capacity of the production facilities.;
- The actual level of production may be used if it approximates normal capacity;
- In periods of abnormally high production, allocate fixed production overheads on actual level
- Variable production overheads are allocated to each unit of production on the basis of the actual use of the production facilities.

Practice 15.5

Jamil Bashir Limited is engaged in manufacturing of Surgical Instruments.
Following data relates to the reporting period ending on December 31, 20X9:

Fixed production overheads	Rs. 2,000,000
Variable production overheads	Rs. 200 per unit
Material cost per unit	Rs. 800 per unit
Labour cost per unit	Rs. 300 per unit

Normal production capacity of the company is 20,000 units per annum.
During the year, company manufactured 5,000 units. There was nil balance of inventory on opening date and the company sold 4,000 units in the year.

Answer – Practice 15.5

Production Cost Per Unit	**Rs.**
Material	800
Labor	300
Variable overheads	200
Fixed production overheads [(on the basis of actual capacity) (2,000,000/5,000)]	400
Per unit cost	1,700

Inventory Cost Per Unit	
Material	800
Labor	300
Variable overheads	200
Fixed production overheads [(on the basis of normal capacity) (2,000,000/20,000)]	100
Per unit cost	1,400

Value of inventory = 1,000 units @ Rs. 1,400 = Rs.1,400,000

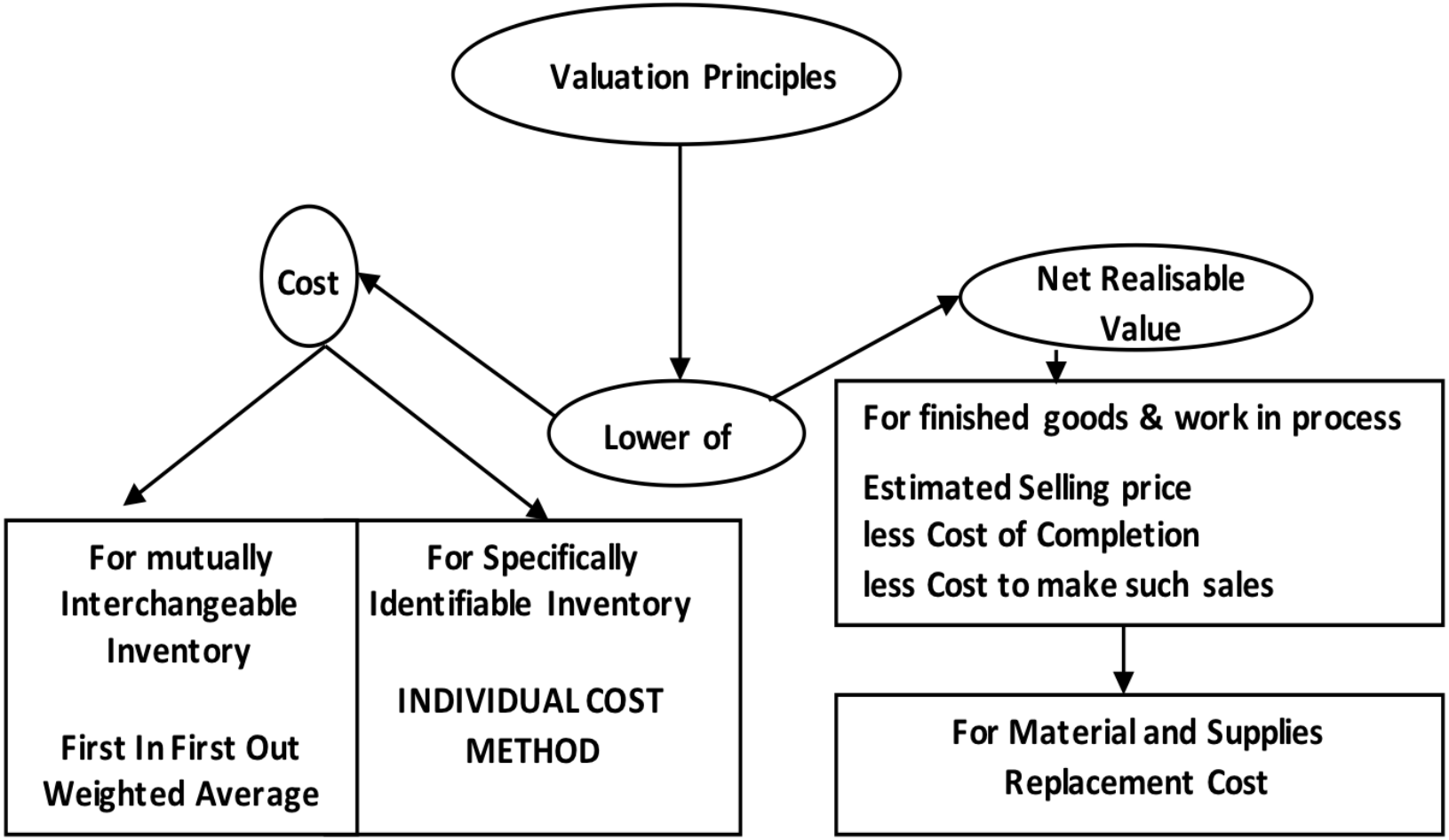
Important Tips To Remember - ITTR

Cost of inventory includes all the costs that are incurred to bring the inventory into its present location and condition

Accounting for Inventories

Inventory costing methods

Costing Methods



Practice 15.6

Purchases	**5 units at Rs.4/unit**
	5 units at Rs.5/unit
	5 units at Rs.5.50/unit
Closing inventory	**8 units**

First In, First Out (FIFO)

	Rs.	
	5 units @ Rs.5.50	**27.50**
	3 units @ Rs.5.00	**15.00**
Cost of closing inventory	**42.50**	

Weighted average (Average cost – WAVCO)

$$\frac{\text{Total cost of investory purchased}}{\text{No. of units purchased}} \text{ x no. of units in inventory}$$

$$\frac{(5 \times Rs.4) + (5 \times Rs.5) + (5 \times Rs.5.50)}{15} \times 8 = Rs.38.67$$

Important Tips To Remember - ITTR

1. IAS 2 allows only two methods to work out cost of inventory:
   a) FiFo
   b) Weighted Average

Accounting for Inventories

Accounting systems to record inventories

Accounting Systems

1. Perpetual System
2. Periodic System

Perpetual System - Entries

Purchase of inventory (Purchase is recognized as Asset)

Inventory Purchase A/c Dr
Bank a/c or Creditors A/c Cr

Issue/Use/Sale of inventory

Consumption Cost A/c Dr
Or
Cost of Goods Sold A/c Dr
Inventory Purchases A/c Cr

Periodic System - Entries

Purchase of inventory (Purchase is recognized as Expense)

Purchase A/c Dr
Bank a/c or Creditors A/c Cr

Issue/Use/Sale of inventory

No accounting entry is passed to record such issue in the books of account

Transfer entry for Purchases and Op Inventory

Cost of Goods Sold A/c Dr
Opening Inventory A/c Cr
Purchases A/c Cr

Adjusting entry for Closing Inventory

Closing Inventory A/c Dr
Cost of Goods Sold A/c Cr

Abnormal and normal loss of inventory

Loss	Perpetual System	Periodic System
Abnormal Loss	Abnormal Loss Inventory A/c.	Abnormal Loss Purchase A/c.
Normal Loss	Cost of goods sold Inventory A/c.	No accounting entry is required

Important Tips To Remember - ITTR

1. Perpetual system is followed in the entities where systematic accounting is adopted
2. Periodic system is easy and simple to follow.

Accounting for Inventories

Practice Perpetual and Periodic System

Practice 15.7

Jan. 20X9

01. Opening balance 400 units @ Rs. 4 each
02. Purchase 1000 units @ Rs. 5 each
03. Sales 700 units @ Rs. 12 each
04. Purchases 1200 units @ Rs. 6 each
05. Sales 1000 units @ Rs. 12 each
06. Purchase 800 units @ Rs. 7 each
07. Sale 500 units @ Rs. 12 each

a) Enter the above transactions in the books of accounts under periodic and perpetual system of accounting.
b) Calculate the cost of inventory under periodic and perpetual systems using FIFO, and weighted average methods.

Practice 15.7

	Units
Opening inventory	400
Purchases (1,000+1,200+800)	3,000
Unit available for sale	3,400
Units sold (700+1,000+500)	(2,200)
Closing inventory	1,200

	Amount of Sales Rs.
700 x 12 =	8,400
1000 x 12 =	12,000
500 X 12 =	6,000
	26,400

Accounting Entries

Jan.	Periodic System			Jan.	Perpetual Systems		
05	Purchases	5,000		05	Inventory purchase	5,000	
	Cash		5,000		Cash		5,000
10	Cash	8,400		10	Cash	8,400	
	Sales		8,400		Sales		8,400
					Cost of goods sold	3,100	
					Inventory Purchases		3,100
					(FIFO method)		
15	Purchases	7,200		15	Inventory purchase	7,200	
	Cash		7,200		Cash		7,200

Accounting Entries

Jan.	Periodic System			Jan.	Perpetual Systems		
20	Cash	12,000		20	Cash	12,000	
	Sales		12,000		Sales		12,000
					Cost of goods sold	5,300	
					Inventory purchases		5,300
					(FIFO method)		
25	Purchases	5,600		25	Inventory purchase	5,600	
	Cash		5,600		Cash		5,600
30	Cash	6,000		30	Cash	6,000	
	Sale		6,000		Sales		6,000
					Cost of goods sold	3,000	
					Inventory Purchases		3,000
					(FIFO method)		

Accounting Entries

Jan.	Periodic System		
31	Cost of goods sold	1,600	
	Opening stock		1,600
31	Cost of goods sold	17,800	
	Purchases		17,800
31	Closing stock		
	Cost of goods sold		8,000
31.	Income statement	11,400	
	Cost of goods sold		11,400
31	Sales	26,400	
	Income statement		26,400

Jan.	Perpetual Systems		
31	Income Statement	11,400	
	Cost of goods sold		11,400
31	Sales	26,400	
	Income statement		26,400

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Ledger Accounts – Periodic System

Purchases (Exp)

Jan				
05	Cash	5,000		
15	Cash	7,200		
25	Cash	5,600	Cost of goods sold	17,800
		17,800		**17,800**

Sales

		10	Cash	8,400
		20	Cash	12,000
COGS	26,400	30	Cash	6,000
	26,400			**26,400**

Ledger Accounts – Periodic System

Stock (Asset)

Bal b/f	1,600	Cost of goods sold	1,600
Cost of goods sold	8,000	Bal c/f	8,000
	9,600		**9,600**

Cost of Goods Sold

Opening stock	1,600	Closing stock	8,000
Purchases	17,800	Income Statement	11,400
	19,400		19,400

Opening Stock	**1,600**
Add: Purchases	**17,800**
Less: Closing stock	**(8,000)**
	11,400

Ledger Accounts – Perpetual System

Inventory Purchases (Assets)

Jan			Jan		
01	Bal b/f	1,600	10	COGS	3,100
05	Cash	5,000	20	COGS	5,300
15	Cash	7,200	30	COGS	3,000
25	Cash	5,600	31	Bal c/f	8,000
		19,400			**19,400**

Cost of Goods Sold

10	Inventory purchase	3,100		
20	Inventory purchase	5,300		
30	Inventory purchase	3,000	Income Statement	11,400
		11,400		**11,400**

Ledger Accounts – Perpetual System

Sales

		10	Cash	8,400
		20	Cash	1,200
Inc. Statement	26,400	30	Cash	6,000
	26,400			**26,400**

Cost of Inventory – Periodic System

FIFO method

Closing inventory = 1200 units remained unsold

800 x Rs.7	=	Rs.5,600
400 x Rs.6	=	Rs.2,400
Cost of Closing inventory		Rs.8,000

Weighted average cost method

$$\frac{\text{Total cost (Opening Inventory + Purchases)}}{\text{Total unit (Opening Inventory + Purchases)}} = \text{cost per unit}$$

$$\frac{\text{Rs.(1,600 + 17,800)}}{\text{(400 + 3,000) units}} = \text{Rs.5.7058 per unit}$$

Cost of closing inventory = 1200 x Rs. 5.7058 =Rs. 6,847

Important Tips To Remember - ITTR

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1. Perpetual system gives us balance of inventory after each information of movement in inventory
2. Periodic system tell us inventory balance after the end of reporting period only

Accounting for Inventories

Practice
FIFO and Weighted Average under Perpetual System

Practice 15.7

Jan. 20X9

01. Opening balance 400 units @ Rs. 4 each
02. Purchase 1000 units @ Rs. 5 each
03. Sales 700 units @ Rs. 12 each
04. Purchases 1200 units @ Rs. 6 each
05. Sales 1000 units @ Rs. 12 each
06. Purchase 800 units @ Rs. 7 each
07. Sale 500 units @ Rs. 12 each

a) Enter the above transactions in the books of accounts under periodic and perpetual system of accounting.
b) Calculate the cost of inventory under periodic and perpetual systems using FIFO, and weighted average methods.

Cost of Inventory – Periodic System

FIFO method

Closing inventory = 1200 units remained unsold

800 x Rs.7	=	Rs.5,600
400 x Rs.6	=	Rs.2,400
Cost of Closing inventory		Rs.8,000

Weighted average cost method

$$\frac{\text{Total cost (Opening Inventory + Purchases)}}{\text{Total unit (Opening Inventory + Purchases)}} = \text{cost per unit}$$

$$\frac{\text{Rs.(1,600 + 17,800)}}{\text{(400 + 3,000) units}} = \text{Rs.5.7058 per unit}$$

Cost of closing inventory = 1200 x Rs. 5.7058 =Rs. 6,847

Cost of Inventory – Perpetual System

FIFO Method

Date	Particulars	Received			Issues			Balance		
		Qty	Rate	Rs.	Qty	Rate	Rs.	Qty	Rate	Rs.
01	Op. Balance							400	4	1,600
05	Purchases	1000	5	5,000				400	4	1,600
10	Sales							1000	5	5,000
	(700 units)				400	4	1,600			
					300	5	1,500	700	5	3,500
15	Purchases	1200	6	7,200				700	5	3,500
								1200	6	7,200
20	Sales				700	5	3,500			
	(1000 units)				300	6	1,800	900	6	5,400
25	Purchases	800	7	5,600				900	6	5,400
								800	7	5,600
30	Sales				500	6	3,000	400	6	2,400
	(500 units)							800	7	5,600
								1200		8,000

Cost of Inventory – Perpetual System

Weighted Average Cost Method

Date	Particulars	Received			Issues			Balance		
		Qty	Rate	Rs.	Qty	Rate	Rs.	Qty	Rate	Rs.
01	Op. Balance							400	4	1,600
05	Purchases	1000	5	5,000				1400	(w-1) 4.7142	6,600
10	Sales				700	4.7142	3,300	700	4.7142	3,300
15	Purchases	1200	6	7,200				1900	(w-2) 5.526	10,500
20	Sales				1000	5.526	5,526	900	5.526	4,974
25	Purchases	800	7	5,600				1700	(w-3) 6.22	10,594
30	Sales				500	6.22	3,110	1200	6.22	7,464

(W-1)

Rs.6,600 /1400 = 4.7142

(W-2)

(3,300+7,200)/(700+1,200) = 5.526

(W-3)

(4,974+5,600)/(900+800) = 6.22

Important Tips To Remember - ITTR

1. FIFO – Balance column will contain inventory count in chronological order
2. W Avg. – Balance column will contain total number of inventory in hand on that date with its total cost

Accounting for Inventories

Problem of Stock Taking under Periodic System

Problem of Stock Taking

1. Stock count takes place on a later date
2. Stock count takes place on an earlier date

Stock Count on Later Date

Start with the value of inventory on that later date

Add: Sales (at cost) between the two dates
Add: Purchase returns between the two dates
Add: Inventory lost because of any reason between the two dates

Less: Purchases between the two dates
Less: Sales returns (at cost price) between the two dates

Do nothing:
Inventory bought before closing date but still in transit (not yet received)

Stock Count on Earlier Date

Start with the value of inventory on that earlier date

Less: Sales (at cost) between the two dates
Less: Purchase returns between the two dates
Less: Inventory lost because of any reason between the two dates

Add: Purchases between the two dates
Add: Sales returns (at cost price) between the two dates

Practice 15.10

"Stock Taking Team" could not count inventory on reporting date that was 31.12.20X9.
Cost of inventory as per the physical count on 05.01.20Y0 was Rs.150,000.
Following information was provided to you regarding the movement in inventory after the reporting date till the date of physical count:

a) Sales totaled Rs.120,000, which include profit margin of Rs.20,000
b) Sales returned were Rs.12,000, cost of these goods was Rs.10,000
c) Purchase of goods totaled Rs.50,000
d) Purchases retuned were Rs.5,000
e) Goods costing Rs.15,000 were lost by theft

Answer – Practice 15.10

	Rs.
Cost of inventory as per physical count	150,000
a) Cost of sold goods during the period	
	100,000
b) Cost of sales return during the period	
	(10,000)
c) Cost of purchases during the period	
	(50,000)
d) Cost of purchase return during the period	
	5,000
e) Cost of goods lost during the period	
	15,000

Important Tips To Remember - ITTR

1. Work out inventory movement at cost
2. NRV is calculated once the cost has been ascertained

Accounting for Inventories

Recognition of Inventory as Expense

Inventory as an Expense

1. The inventories have been sold to customers
2. The amount of any write-down of inventories to net realizable value
3. All losses of inventories due to theft or fire etc.

Practice 15.8

Sumaiya is engaged in production of surgical items. Following data is available for the month of March.

Opening stock	3,000 unit @ Rs. 100 per unit
Production	30,000 unit @ Rs. 100 per unit
Closing stock	2,000 unit @ Rs. 100 per unit

Expense charged to Income Statement is the cost that has been expired:

Unit sold = opening units + units produced - closing units
= 3,000 + 30,000 – 2,000
= 31,000 units

Cost of goods sold = 31,000 x Rs.100 = Rs.3,100,000

Practice 15.9

Hamza has following data for the month of March:

Opening stock	300 units @ Rs. 100
Purchases	1,000 units @ Rs. 100
Closing stock	200 units

At 31 March, NRV of the product comes down to Rs.95

	Closing Stock At NRV Rs.	Closing Stock At Cost Rs.
Opening stock	30,000	30,000
Purchases	100,000	100,000
130,000	130,000	
Closing stock	200 x Rs.95 (19,000)	200 x Rs.100 (20,000)
Cost of goods sold	111,000	110,000

Thus, reducing the value of closing stock to NRV would cause increase in cost of goods sold.

Important Tips To Remember - ITTR

1. Cost that expires is Expense

Chapter - 16

Partnership Accounting

Topic Videos 138-157 are mandatory part of this module

MGT 101
Financial Accounting

By
Mian Ahmad Farhan, FCA

Module Merged by AARISH ALI (Team VU Global) - +96569002641

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Accounting for Partnership Firms

Reporting Difference between Sole Proprietorship and Partnership Entities

The only Difference

Profit Distribution Statement

Or

Profit and Loss Appropriation Account

Profit Distribution Basis

Basis for distribution	Facts and Reasons
Interest on Capital	Difference in amount of contributed capital
Partner's Salary	Difference in services performed
Profit sharing ratio	Difference in experience and personal contacts

Interest on drawings

Before applying profit sharing ratio, adjustment for interest on drawings is made based on the reason that; had the drawings not been made by the partners the firm would have earned more profits.

Important Tips To Remember - ITTR

1. The only difference is that there are partners now who need profit to be distributed
2. Solution is Profit Distribution Statement

Accounting for Partnership Firms

Profit Distribution Statement

Practice 16.1

X, Y and Z set up a partnership firm on 1-1-20X9. They contributed Rs.150,000, Rs.120,000 and Rs.90,000 respectively as their Capitals and decided to share Profit & Loss in the ratio of 3: 2: 1.

The Net amount of profit as per Income Statement for the year 20X9 was Rs.106,980.

The partnership deed provides that X is to be paid a salary of Rs.3,000 per month and Y Rs.15,000 per annum. It also provides that interest on Capital be allowed at 6% per annum. The drawings and Interest on drawings for the year were as follows:

Partners	Drawings Rs.	Interest on drawings Rs.
X	40,000	810
Y	20,000	540
Z	10,000	270

Prepare profit distribution statement

Profit Distribution Statement

	X Rs.	Y Rs.	Z Rs.	Total Rs.
Net profit				106,980
Interest on drawings	(810)	(540)	(270)	1,620
Partners salaries	36,000	15,000	-	(51,000)
Interest on Capital				
X 150,000 x 6%	9,000			
Y 120,000 x 6%		7,200		
X 90,000 x 6%			5,400	(21,600)
Profit ratio				
X 36,000 x 3/6	18,000			
Y 36,000 x 2/6		12,000		
Z 36,000 x 1/6			6,000	(36,000)
	62,190	33,660	11,130	Nil

Partners' Current Account

	X Rs.	Y Rs.	Z Rs.		X Rs.	Y Rs.	Z Rs.
Drawings	40,000	20,000	10,000	Balance b/f	0	0	0
				Profit share	62,190	33,660	11,130
Balance c/f	22,190	13,660	1,130				
	22,190	13,660	11,130		62,190	33,660	11,130

Partners' Current Account

Abridged

	X Rs.	Y Rs.	Z Rs.		X Rs.	Y Rs.	Z Rs.
Drawings	40,000	20,000	10,000	Bal b/f	0	0	**0**
				Profit	62,190	33,660	**11,130**
Bal c/f	22,190	13,660	1,130	Share			
	62,190	33,660	11,130		62,190	33,660	11,130

Detailed

	X Rs.	Y Rs.	Z Rs.		X Rs.	Y Rs.	Z Rs.
Drawings	40,000	20,000	10,000	Bal b/f	0	0	**0**
Interest	810	540	270	Salary	36,000	15,000	
Drawings				Interest	9,000	7,200	**5,400**
Bal c/f	22,190	13,660	1,130	Profit	18,000	12,000	**6,000**
	22,190	13,660	11,130		63,000	34,200	11,400

Partners' Capital Account

	X Rs.000	Y Rs.000	Z Rs.000		X Rs.000	Y Rs.000	Z Rs.000
				Bal b/f	150	120	90
Bal c/f	150	120	90				
	150	120	90		150	120	90

Important Tips To Remember - ITTR

1. There are three reasons for difference of share in profit:
   a) Amount of capital invested
   b) Performance of service
   c) Experience

Accounting for Partnership Firms

Calculation of Interest on Capital

Interest on Capital

Interest on capital is calculated on the effective capital balances at an agreed rate of interest

Practice 16.2

January 1, 20X8 Capital Balances	Rs.
A	50,000
B	75,000
June 30, 20X8 Fresh Capital introduced by A	20,000
August 31, 20X8 Fresh Capital introduced by B	45,000

Calculate Interest on Capital at 10%, accounting year ends on December 31, 20X8.

Effective Capital Balances		Rs.	Rs.
A	Opening	50,000	
	Fresh 20,000 x 6/12	10,000	60,000
B	Opening	75,000	
	Fresh 45,000 x 4/12	15,000	90,000

Interest on Capital		
A	60,000 x 10%	6,000
B	90,000 x 10%	9,000

Important Tips To Remember - ITTR

1. Calculate effective capital balance
2. Apply interest rate on effective capital balance

Accounting for Partnership Firms

Calculation of Interest on Drawings

Interest on Capital

Interest on drawings is calculated on the effective drawings balances at an agreed rate of interest

Practice 16.2

Drawings made by partners during the year ending on December 31:

Interest on drawings @ 6% pa Dates of drawings	Partner A Rs.	Partner B Rs.
March 31, 2008	4,000	6,000
June 30, 2008	3,000	2,000
September 30, 2008	6,000	4,800
December 31, 2008	4,000	6,000

Practice 16.2

Effective Drawings Balances – Partner A

		Rs.
Mar 31	4,000 x 9/12 =	3,000
Jun 30	3,000 x 6/12 =	1,500
Sep 30	6,000 x 3/12 =	1,500
Dec 31	4,000 x 0/12 =	0
		6,000
Interest on drawings	6,000 x 6%	360

Effective Drawings Balances – Partner B

		Rs.
Mar 31	6,000 x 9/12 =	4,500
Jun 30	2,000 x 6/12 =	1,000
Sep 30	4,800 x 3/12 =	1,200
Dec 31	6,000 x 0/12 =	0
		6,700
Interest on drawings	6,700 x 6%	402

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Important Tips To Remember - ITTR

1. Calculate effective drawings balance
2. Apply interest rate on effective drawings balance

Accounting for Partnership Firms

Change in Constitution of Partnership Firm

Reasons of changes in Constitution

Partnership Constitution is also known as Partnership Deed

Following changes can happen:

1. Admission of a new partner
2. Retirement of an existing partner
3. Death of a partner

Important Tips To Remember - ITTR

1. A different accounting treatment is required whenever these changes occur

Accounting for Partnership Firms

Admission of a new Partner

Adjustments Required

1. Calculation of new profit sharing ratio
2. Calculation and accounting treatment of goodwill
3. Revaluation of net assets

Important Tips To Remember - ITTR

Admission of a new partner will bring changes in:

1. Profit distribution
2. Partners' Current Account
3. Partners' Capital Account

Accounting for Partnership Firms

Calculation of New Profit Sharing Ratio

New Profit Sharing Ratio

Basic Data:

Old Ratio A : B

3 : 2

C is admitted for 1/6th share in profits

Scenario I

A and B will continue sharing in old ratio

Scenario II

A and B will share equally after C's admission

Scenario III

C will buy his share half from A and half from B

Scenario I

A and B will continue sharing in old ratio
(mutual ratio would no change)

A and B's Share	=	$1 - \frac{1}{6}$	=	5/6
A	=	$\frac{5}{6} \times \frac{3}{5}$	=	$\frac{3}{6}$
B	=	$\frac{5}{6} \times \frac{2}{5}$	=	$\frac{2}{6}$
C	=	$\frac{1}{6}$	=	$\frac{1}{6}$
New Ratio of A, B and C	=	3 : 2 : 1		

Scenario II

A and B will share equally after C's admission

A	=	$\frac{5}{6} \times \frac{1}{2}$	=	$\frac{5}{12}$
B	=	$\frac{5}{6} \times \frac{1}{2}$	=	$\frac{5}{12}$
C	=	$\frac{1}{6} \times \frac{2}{2}$	=	$\frac{2}{12}$

New ratio of A, B and C = 5 : 5 : 2

Scenario III

C will buy his share half from A and half from B

Profit of C's Share = $\frac{1}{6} \times \frac{1}{2}$ = $\frac{1}{12}$

A = $\frac{3}{5} - \frac{1}{12}$ = $\frac{31}{60}$ (through LCM)

B = $\frac{2}{5} - \frac{1}{12}$ = $\frac{19}{60}$ (through LCM)

C = $\frac{1}{12} + \frac{1}{12}$ = $\frac{2}{12} \times \frac{5}{5} = \frac{10}{60}$

New ratio of A, B and C = 31 : 19 : 10

Important Tips To Remember - ITTR

1. Its simple mathematics
2. Total share will remain = 1

Accounting for Partnership Firms

Readjustment of Capital Balances of Partners in New Profit Sharing Ratio

Readjustment of Capital Balances

Partners' capital balances are readjusted in their new profit sharing ratio.

Bases:

1. Capital balances of the old partners
2. Capital introduced by the new partner
3. Total capital balance of the firm after admission of new partner

Practice 16.9

Old partners' capital balances

A Rs.1,212,500

B Rs.950,000

New partner introduces capital

C Rs. 400,000

A and B were sharing profits in 3:2, C was admitted for 1/5 share in profit. After C's admission, the profit sharing ratio is 12:8:5 for A, B and C respectively.

Readjust the capital balances of A, B & C in new profit sharing ratio on the following bases:

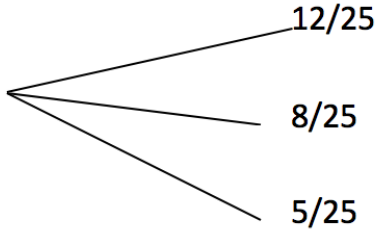
1. Capital balances of the old partners
2. Capital introduced by the new partner
3. Total capital balance of the firm after admission of new partner

Answer - Practice 16.9

Rs.

Base 1. A & B's Capital

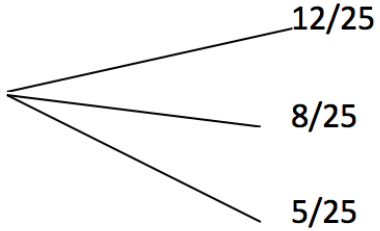
$2{,}162{,}500 \times \frac{5}{4} = 2{,}703{,}125$



	12/25	A = 1,297,500
	8/25	B = 865,000
	5/25	C = 540,625
		2,703,125

Base 2. C's Capital

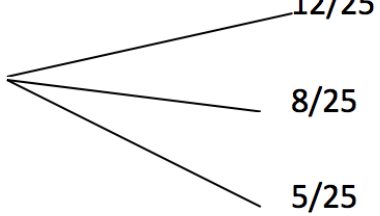
$400{,}000 \times \frac{5}{1} = 2{,}000{,}000$



	12/25	A = 960,000
	8/25	B = 640,000
	5/25	C = 400,000
		2,000,000

Base 3. Combined Capital (A, B & C)

$2{,}562{,}500 \times \frac{1}{1} = 2{,}562{,}500$



	12/25	A = 1,230,000
	8/25	B = 820,000
	5/25	C = 512,500
		2,562,500

Important Tips To Remember - ITTR

1. Grossing up total capital
2. Divide in new profit sharing ratio

Accounting for Partnership Firms

Calculation of Sacrificing and Gaining Ratio

Calculation - Sacrificing Ratio

Basic Data:

Old Ratio A : B

3 : 2

New RatioA : B : C

5 : 5 : 2

Sacrificing and Gaining Ration = (New – Old)

A = 5/12 – 3/5 = -11 A is sacrificing 11 times

B = 5/12 – 2/5 = +01 B is gaining 1 time

Sum of these = -10

Sacrificing and Gaining Ration A : B

-11/10 : 1/10

Important Tips To Remember - ITTR

1. Sacrificing Ratio is New - Old
2. -ve means sacrificing
3. +ve means gaining

Accounting for Partnership Firms

Valuation of Goodwill

Goodwill

1. Goodwill is aggregate of those intangible attributes of a business that contribute to the superior earning capacity of the business.
2. Goodwill is the outcome of an impression created in the mind of each customer and related persons.

Goodwill – Calculation Methods

1. Average profit
2. Super profit
3. Market capitalization

Practice 16.3 – Average Profit

Years	Profit Rs.
1st year	20,000
2nd year	40,000
3rd year	50,000
4th year	70,000
Total	180,000

Goodwill of the firm is equal to three years purchase of the last four years average profits:

Average profit = 180,000 / 4 = Rs. 45,000

Goodwill = 45,000 x 3 = 135,000

Practice 16.4 – Supper Profit

Steps to calculate Goodwill

1. Calculate normal profit by multiplying firm's capital with normal rate of return
2. Calculate average profit of the firm
3. Calculate super profit by subtracting normal profit from the average profit
4. Multiply the super profit by the number of years' purchase

Considering the information given in Practice 16.3

Owners' Equity = Rs.200,000

Normal profit = Rs.200,000 x 18% = Rs.36,000

Super profit = Average profit – Normal profit

= 45,000 – 36,000 = 9,000

Goodwill = 9,000 x 3 = 27,000

Practice 16.5 - Market Capitalization

Steps to calculate Goodwill

1. Calculate firm's market capitalization based on average profit divided by market rate of return
2. Subtract book value of net assets from the market capitalization

Considering the information given in Practice 16.3 and 16.4

Market Capitalization = 250,000
Firm's Net Assets = 200,000
Goodwill = 50,000

Important Tips To Remember - ITTR

1. No of years' purchase means; this much times (a multiplying number)
2. It is mutually agreed among the partners to decide the formula and basis of calculating goodwill

Accounting for Partnership Firms

Accounting Treatment for Goodwill

Goodwill Premium

Goodwill Premium is the amount contributed by new coming partner in addition to the amount invested as capital

Goodwill Premium is treated in the books of accounts in different ways

Goodwill – Scenarios

1. Goodwill Raised and Retained as Asset
2. Goodwill Raised and Written-off
3. Cash Brought-in for Goodwill Premium
4. Cash Brought-in for Goodwill Premium and then Withdrawn

Important Tips To Remember - ITTR

1. The amount that incoming partner pays for goodwill is known as premium for goodwill
2. It is incoming partner's share in Firm's Goodwill

Accounting for Partnership Firms

Scenario I
Goodwill raised and retained as Asset

Goodwill Raised as Asset

- The new partner does not bring cash for goodwill premium
- Goodwill is raised in the books of accounts at its full value
- **Goodwill calculated = Rs.135,000**
- **Profit sharing ratio of partners A & B = 3 : 2**

Journal Entry

	Rs.	Rs.
Goodwill A/c	135,000	
A's capital A/c		81,000
B's capital A/c		54,000

Working

A's share = 135,000 x 3/5 = 81,000

B's share = 135,000 x 2/5 = 54,000

Important Tips To Remember - ITTR

1. Raise the Goodwill with incremental amount, if the amount of Goodwill is already appearing in the Balance Sheet is lesser than the value of goodwill.

   Goodwill A/c Dr

   Old Partners' Capital A/c Cr

2. Write down the excess amount of Goodwill if the amount of Goodwill already appearing in the Balance Sheet is greater than the value of goodwill.

   Old partners' capital accounts Dr

   Goodwill accounts Cr

Important Tips To Remember - ITTR

Revaluation of Goodwill shall be adjusted in old profit sharing ratio

Accounting for Partnership Firms

Scenario II
Goodwill raised and Written Off

Goodwill Raised as Asset

- The new partner does not bring cash for goodwill premium
- Partners decide that Goodwill should not appear as Asset
- Goodwill calculated = Rs.135,000
- Profit sharing ratio A & B = 3 : 2 (New ratio A:B:C = 3:2:1)

Journal Entry

	Rs.	Rs.
Goodwill A/c	135,000	
A's capital A/c		81,000
B's capital A/c		54,000

Working

A's share = 135,000 x 3/5 = 81,000

B's share = 135,000 x 2/5 = 54,000

Goodwill Written Off

Journal Entry	Rs.	Rs.
A's capital A/c	67,500	
B's capital A/c	45,000	
C's capital A/c		22,500
Goodwill A/c		135,000

(New profit sharing ratio A:B:C = 3:2:1)

A's benefit		Rs.	B's benefit		Rs.
Old ratio	(Cr)	81,000	Old ratio	(Cr)	54,000
New ratio	(Dr)	67,500	New ratio	(Dr)	45,000
	(Cr)	13,500		(Cr)	9,000

A's benefit + B's benefit

13,500 + 9,000 = 22,500

C's share = 22,500

C's share = 135,000 x 1/6 = 22,500

Important Tips To Remember - ITTR

Use new profit sharing ration whenever all the partner (old + new) are being Dr. or Cr.

Accounting for Partnership Firms

Scenario III
Cash brought in for Goodwill Premium

Distribution of Goodwill Premium

1. All the old partners sacrifice their profit sharing
2. Few partners do sacrifice but few partners gain profit sharing

All partners are sacrificing

- The new partner brings cash for goodwill premium
- Goodwill calculated = Rs.135,000
- Old profit sharing ratio A:B = 3:2
- New profit sharing ratio A:B:C = 3:2:1
- Goodwill Premium = 135,000 x 1/6 = 22,500
- Sacrificing and Gaining Ration = (New – Old)

A = 3/6 – 3/5 = -3 A is sacrificing 3 times

B = 2/6 – 2/5 = -2 B is sacrificing 2 times

Sum of these = -5

Sacrificing and Gaining Ration A : B

-3/5 : -2/5

Accounting Treatment

Journal Entries	Rs.	Rs.
Bank A/c.	22,500	
Goodwill premium A/c.		22,500

Goodwill premium A/c.	22,500	
A's Capital A/c.		13,500
B's Capital A/c.		9,500

Goodwill premium of Rs. 22,500 will be distributed as:

A = 22,500 x -3/5	13,500
B = 22,500 x -2/5	9,500
	22,500

One Partner Sacrifices Other Gains

- The new partner brings cash for goodwill premium
- Goodwill calculated = Rs.135,000
- Old profit sharing ratio A:B = 3:2
- New profit sharing ratio A:B:C = 5:5:2
- Goodwill Premium = 135,000 x 1/6 = 22,500
- Sacrificing and Gaining Ration = (New – Old)

A = 5/12 – 3/5 = -11 A is sacrificing 11 times

B = 5/12 – 2/5 = +01 B is gaining 1 time

Sum of these = -10

Sacrificing and Gaining Ration A : B

-11/10 : 1/10

Accounting Treatment

Journal Entries Rs. Rs.

Bank A/c. 22,500
Goodwill premium A/c. 22,500

Goodwill premium A/c. 22,500
B's Capital A/c. 2,250
A's Capital A/c. 24,750

Goodwill premium of Rs. 22,500 will be distributed as:

A = 22,500 x -11/10 24,750

B = 22,500 x 1/10 -2,250

22,500

Important Tips To Remember - ITTR

1. Sacrificing partner should be Cr.
2. Gaining partner should be Dr.

Accounting for Partnership Firms

Scenario IV
Cash brought in for Goodwill Premium and Withdrawn

Drawing of Goodwill Premium

1. New Partner brings in cash for Goodwill Premium
2. Old Partners withdraw cash equal to their share in Goodwill Premium

Accounting Treatment

Journal Entries Rs. Rs.

Cash brought in the business for Goodwill Premium

Bank A/c.	22,500	
Goodwill premium A/c.		22,500

Distribution of Goodwill Premium in Sacrificing Ratio

Goodwill premium A/c.	22,500	
A's Capital A/c.		13,500
B's Capital A/c.		9,500

Drawing of Goodwill Premium by the old partners

A's capital A/c	13,500	
B's capital A/c	9,000	
Bank A/c		22,500

Important Tips To Remember - ITTR

1. Amount of Drawings may vary from the distributed amount
2. Drawings are not necessarily to be made in proportion to any profit sharing ratio

Accounting for Partnership Firms

Revaluation of Assets and Liabilities

When to Revalue Net Assets?

At the time of admission of a new partner or retirement of existing partner, net assets of the firm are revalued to their fair value.

Accounting Treatment - Revaluation

1. For increase in assets value

    Specific asset a/c Dr

        Revaluation a/c Cr

2. For decrease in assets value

    Revaluation a/c Dr

        Specific asset a/c Cr

3. For increase in Liabilities value

    Revaluation a/c Dr

        Specific liabilities a/c Cr

4. For decrease in Liabilities value

    Specific liabilities a/c Dr

        Revaluation a/c Cr

Gain / Loss on Revaluation

5. For gain on revaluation

Revaluation a/c Dr

Old partners Capital A/c Cr (Old ratio)

OR

6. For loss on revaluation

Old Partners Capital A/c. Dr (Old ratio)

Revaluation A/c. Cr

Important Tips To Remember - ITTR

Any gain or loss because of change in fair value of net assets should be adjusted immediately so that such gain or loss does not positively or negatively affect the new coming partner or old partners as the case may be.

Accounting for Partnership Firms

Retirement of a Partner

Retiring Partner's Capital Balance

Make adjustments in Capital Balance or Retiring Partner for:

1. Share in goodwill of the firm
2. Gain or loss on revaluation of net assets

Transfer capital balance of retiring partner to Loan (Liability) A/c.

Important Tips To Remember - ITTR

Retiring Partners Capital Dr.
Personal Loan Cr

Accounting for Partnership Firms

Death of a Partner

Deceased Partner's Capital Balance

Deceased partner's capital balance is transferred to Executor's Account along with the following balances:

1. Share in profit/loss till the date of death
2. Share in goodwill of the firm
3. Interest on capital
4. Drawings
5. Interest on drawings
6. Any other time to be specified; like "loan to or from the firm"

Important Tips To Remember - ITTR

1. Any balance appearing as un-appropriated profits, or Reserves Account will be transferred to those partners' capital accounts who were partners prior to such change, in their respective profit sharing ratio (old ratio).
2. Cr. Balance of Deceased Partner's Executor A/c is Liability
3. Dr. Balance of Deceased Partner's Executor A/c is Asset

Accounting for Partnership Firms

Final Accounts of Partnership Firm

Final Accounts – Partnership Firm

1. Income Statement
2. Profit Distribution Statement
3. Balance Sheet

Practice 16.9

Shezra and Sumaiya are partners in a trading business, sharing profit and losses in the ratio 3:2. Trial Balance on 31st March, 20Y0:

Debit Balances	(Rs.)	Credit Balances	(Rs.)
Opening stock	2,000	Capital account – Shezra	10,000
Purchases	148,000	Capital account – Sumaiya	10,000
Trade Debtors	12,000	Sales	220,000
Wages sales staff	5,000	Trade Creditors	21,000
Salaries administrative staff	10,000	Bills payable	20,000
Building	30,000	Discount	6,500
Machinery	25,000		
Furniture	16,000		
Advertisement (for 2 years)	6,000		
Bills Receivable	8,000		
Insurance premium	2,000		
Drawings – Shezra	2,000		
Drawings – Sumaiya	3,000		
Cash in hand	5,500		
Repair and maintenance	10,000		
Utility bills	3,000		
	287,500		287,500

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Practice 16.9

Adjustments:

1. Stock on hand on 31st March, 20Y0 was at Rs.5,000.
2. Write off Rs.2,000 for further Bad debts and maintain provision for doubtful debts at 5% on debtors.
3. Depreciate Building at 5%, Machinery at 10% and furniture at 10%
4. Outstanding expenses were; wages Rs.2,000 and salary Rs.1,000.
5. Prepaid repair Rs.1,600
6. Credit purchases amounted to Rs.4,000 were not recorded in the books of account.
7. It was decided that there will be no interest on capital and drawings.
8. Both partners are entitled to annual salary; Shezra Rs.15,000, Sumaiya Rs.10,000.

From the above Trial Balance and adjustments prepare Income Statement for the year ended 31st March, 20Y2 and Balance Sheet as on that date.

Answer – Practice 16.9

Shezra and Sumaiya
Income Statement
for the year ended 31st March, 20Y2

	Rs.	Rs.	Rs.
Sales			220,000
Cost of goods sold			
Opening stock		2,000	
Purchases	148,000		
Un recorded credit purchases	4,000	152,000	
Closing stock		-5,000	149,000
Gross profit			**71,000**

Answer – Practice 16.9

Gross profit			**71,000**
Other income – Discount received			6,500
Operating expenses			
Wages – sales staff	5,000		
Outstanding wages	2,000	7,000	
Salaries – administrative staff	10,000		
Outstanding salaries	1,000	11,000	
Advertisement	6,000		
Prepaid advertisement	-3,000	3,000	
Insurance		2,000	
Repair and maintenance	10,000		
Prepaid repair	-1,600	8,400	
Utility bills		3,000	
Depreciation			
Building	1,500		
Machinery	2,500		
Furniture	1,600	5,600	
Bad debts	2,000		
Increase in provision for doubtful debts	500	2,500	42,500
Net profit before distribution to partners			35,000

Answer – Practice 16.9

Profit Distribution Statement
For the year ended 31st March 20Y2

		Shezra Rs.	Sumaiya Rs.	Total Rs.
Net profit				35,000
Partners salaries		15,000	10,000	-25,000
				10,000
Profit ratio				
Shezra	10,000 x 3/5	6,000		
Sumaiya	10,000 x 2/5		4,000	-10,000
		21,000	**14,000**	**Nil**

Answer – Practice 16.9

Shezra and Sumaiya
Balance Sheet
As at 31st March 20Y2

	Rs.	Rs.	Rs.
Non-Current Assets			
Building	30,000		
Depreciation	1,500	28,500	
Machinery	25,000		
Depreciation	2,500	22,500	
Furniture	16,000		
Depreciation	1,600	14,400	65,400
Current Assets			
Closing stock		5,000	
Trade Debtors	12,000		
Further bad debts	-2,000		
Provision for doubtful debts	-500	9,500	
Prepaid advertisement		3,000	
Prepaid repair		1,600	
Bills receivable		8,000	
Cash in hand		5,500	32,600
			98,000

Answer – Practice 16.9

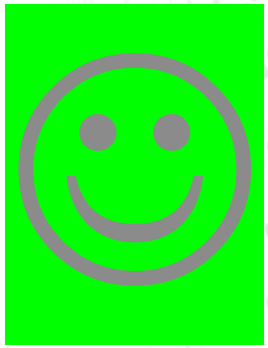
Shezra and Sumaiya
Balance Sheet
As at 31st March 20Y2

	Rs.	Rs.	Rs.
Owners' Equity			
Shezra's Capital	10,000		
Shezra's Profit share	21,000		
Shezra's Drawings	-2,000	29,000	
Sumaiya's Capital	10,000		
Sumaiya's Profit share	14,000		
Sumaiya's Drawings	-3,000	21,000	50,000
Liabilities			
Trade creditors	21,000		
Un-recorded purchases	4,000	25,000	
Bills payable		20,000	
Outstanding wages		2,000	
Outstanding salaries		1,000	48,000
			98,000

Important Tips To Remember - ITTR

1. **Practice few more questions**

THANK YOU & REMEMBER IN PRAYERS – AARISH ALI



Chapter - 17

Company Financial Statements
(Final Accounts)

Topic Videos 158-163 are mandatory part of this module

MGT 101
Financial Accounting

By
Mian Ahmad Farhan, FCA

Module Merged by AARISH ALI (Team VU Global) - +96569002641

Contents

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Company Financial Statements

Components of Financial Statements

Components of Financial Statements

Companies are governed by a law prevailing in the country.

Most of the countries have adopted IFRS, which requires companies to prepare following set of reports as final account:

1. Statement of Financial Position (Balance Sheet)
2. Statement of Profit or Loss and Other Comprehensive Income (Income Statement)
3. Statement of Changes in Equity
4. Statement of Cash Flows
5. Notes (Accounting Policies and Disclosures of Explanatory Working)

Important Tips To Remember - ITTR

1. Final account is the last step involved in accounting cycle.
2. Operational results are presented in SOPL&OCI
3. Financial position is presented in SOFP
4. Cash flows are presented in SOCF

Company Financial Statements

Statement of Financial Position

Components of SOFP

Assets
- Non Current Assets
- Current Assets

Liabilities
- Non Current Liabilities
- Current Liabilities

Owners' Equity

Current and Non Current Assets

Current Asset

- Held for trading
- Consumable in normal operating Cycle
- Recoverable in 12 months
- Cash & Cash Equivalents

Non-Current Asset

- Which are not current

Current and Non Current Liabilities

Current Liability

- Held for trading
- Expected to be settled in normal operating cycle
- Payable in 12 months

Non-Current Liability

- Which are not current

Owners' Equity

Residual interest in assets of the entity after deducting its liabilities

It includes share capital and reserves

Format - SOFP

Company's Name
Statement of Financial Position (Balance Sheet)
As at December 31, 20X9

	Rs.	*Rs.*
RESOURCES		
Non-Current Assets		
Fixed Assets		
Tangible Assets – (IAS 16)	***	
Intangible Assets – (IAS 38)	***	***
Investment Properties – (IAS 40)		***
Long Term Financial Assets – (IFRS 9)		***
(Investments in Equity/Debt, Deposits, Prepayments, Loans & Receivables)		
Total Non-Current Assets		***
Current Assets		
Inventories – (IAS 2)	***	
Accounts Receivables & Accruals – (IFRS 9)	***	
Short Term Investments & Prepayments – (IFRS 9)	***	
Cash and Bank Balances – (IFRS 9)	***	***
Current Liabilities		
Accounts Payable & Accruals – (IAS 39)	***	
Short Term Loans – (IAS 39)	***	
Current portion of lease liability – (IAS 17)	***	
Current portion of long term loans – (IFRS 9)	***	
Provisions against expected losses – (IAS 37)	***	
Provisions for current tax – (IAS 12)	***	
Bank Overdraft – (IFRS 9)	***	(***)
Working Capital		***
Capital Employed (Non-Current Assets + Working Capital)		***

Format - SOFP

Company's Name
Statement of Financial Position (Balance Sheet)
As at December 31, 20X9

	Rs.	*Rs.*
FINANCED BY – SOURCES/CLAIMS		
Owners' Equity (Owned source)		
Ordinary Share Capital/Common Stocks – (IAS 32)	***	
Other Components of Equity – (IAS 32)	***	
Share Premium – (IAS 32)	***	
Revaluation Reserve – (IAS 16)	***	
Plant Replacement Reserve – (IAS 32)	***	
Dividend Equalization Reserve – (IAS 32)	***	
Any other named Reserve – (IAS 32)	***	
General Reserves – (IAS 32)	***	
Retained Earnings – (IAS 32)	***	***
Non-Current Liabilities		
Loan Stocks/Bonds/Preferred Shares – (IAS 39)	***	
Loan from financial institutions – (IAS 39)	***	
Lease liability – (IFRS 16)	***	
Defined Benefit Plan Obligation *Less* Plan Asset – (IAS 19)	***	
Deferred Tax Liability – (IAS 12)	***	***
Capital Employed (Owners' Equity + Non-Current Liabilities)		***

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Important Tips To Remember - ITTR

1. Classification should be followed consistently over the years

Company Financial Statements

Statement of Profit or Loss and Other Comprehensive Income

Components of SOPL

Incomes

1. Sales revenue (operating income)
2. Other incomes (non-operating incomes)

Expenses

3. Cost of sales
4. Administrative
5. Selling and marketing
6. Financial
7. Income Tax

Statement of OCI

OCI presents unrealized gains and losses during the year. These are further categorized into two:

1. Items that will not be reclassified to SOPL
2. Items that may be reclassified subsequently to SOPL

Format - SOPL

Company's Name

Statement of Profit or Loss and Other Comprehensive Income (Income Statement)

For the Year ended December 31, 20X9

	Rs.	*Rs.*
Sales revenue – (IFRS 15)		***
Cost of goods sold – (IAS 2)		(***)
Gross profit		***
Operating expenses – (IAS 1, 16, 36, 38, 37, 40, IFRS 2)		
Administrative expense	***	
Selling & Marketing expenses	***	(***)
Profit from operations		***
Other income – (IAS 11, 16, 20, 40, IFRS 9, 15)		***
Financial expenses – (IAS 23, IFRS 9, 16)		(***)
Profit before tax		***
Income tax expense – (IAS 12)		(***)
Profit after tax		***

Format - OCI

Statement of Other Comprehensive Income
For the Year ended December 31, 20X9

Profit after tax		***
Items that will not be reclassified to Income Statement (Profit or Loss)		
Gain on Revaluation of Property Plant & Equipment – (IAS 16)	***	
Re-measurement of Investments in Equity – (IFRS 9)	***	
Actuarial gain/loss on defined benefit plan – (IAS 19)	***	***
Items that may be reclassified subsequently to Income Statement (Profit or Loss)		
Foreign exchange gain/loss on translating foreign operations – (IAS 21)	***	
Cash flow Hedges – effective part – (IFRS 9)	***	***
Total Comprehensive Income		***

Important Tips To Remember - ITTR

1. Realized gains or losses are presented in SOPL
2. Unrealized gains or losses are presented in OCI

Company Financial Statements

Statement of Changes in Equity

Components of SOCE

It presents reconciliation between the carrying amount at the beginning and end of the period.
It separately discloses changes in:

1. Profit or loss
2. Items of OCI
3. Transactions with owners

Format - SOCE

Company's Name
Statement of changes in equity
For the year ended December 31, 20X9

	Share Capital	Share Premium	Revaluation Reserve	Accumulated OCI*	Retained Profits	Total
Opening Balance	***	***	***	***	***	***
Fresh issue of shares	***	***				***
Revaluation of assets			***			***
Transferred upon disposal			(***)		***	
For the year (after tax)				***	***	***
Dividend paid during the year					(***)	(***)
Bonus Share	***	(***)			(***)	-
Totals	***	***	***	***	***	***

***It is used to accumulate unrealized losses and unrealized gains with the exception of revaluation reserve under IAS 16**

Important Tips To Remember - ITTR

1. SOCE gives full year movement and final balances of Owners' Equity items

Company Financial Statements

Practice Company Financial Statements

Statement of Profit or Loss and Other Comprehensive Income

Practice 17.1

Trial Balance of Pestle Cement Company on 31 Dec 20X9

Accounting Heads	Rupees	Rupees
Share capital		550
Share premium		100
Revaluation reserve		125
Retained earnings		563
Land and buildings (carrying value)	678	
Plant and machinery (carrying value)	585	
Inventory 1 Jan 20X9	120	
Sales revenue		925
Purchases	512	
Administration expenses	102	
Marketing expenses	165	
Financial expenses	42	
Trade receivables	300	
Cash balance	45	
Trade payables		286
Total	2,549	2,549

Practice 17.1

Further information:

1. **Inventory at 31 December 20X9 amounted to Rs.235,000**
2. **Create provision for tax expense for the year Rs.62,000**
3. **The revaluation reserve relates to land that was revalued during the year.**

Prepare for the year ended 31 December 20X9:

4. **Statement of Profit or Loss**
5. **Other Comprehensive Income**

Answer – Practice 17.1

Pestle Cement Company
Statement of Profit or Loss and Other Comprehensive Income (Income Statement)
For the Year ended December 31, 20X9

	Rs.	*Rs.*
Sales revenue		925
Cost of goods sold		
Opening inventory	120	
Purchase	512	
Closing inventory	(235)	(397)
Gross profit		528
Operating expenses		
Administrative expense	102	
Selling & Marketing expenses	165	(267)
Profit from operations		261
Other income		0
Financial expenses		(42)
Profit before tax		219
Income tax expense		(62)
Profit after tax		**157**

Answer – Practice 17.1

Statement of Other Comprehensive Income
For the Year ended December 31, 20X9

Profit after tax		157
Items that will not be reclassified to Income Statement (Profit or Loss)		
Gain on Revaluation of Property Plant & Equipment	125	
Re-measurement of Investments in Equity	0	125
Items that may be reclassified subsequently to Income Statement (Profit or Loss)		
Foreign exchange gain/loss on translating foreign operations	0	
Cash flow Hedges – effective part	0	0
Total Comprehensive Income		**283**

Important Tips To Remember - ITTR

1. Presentation and classification should be properly taken care

Company Financial Statements

Practice Company Financial Statements

Statement of Changes in Equity and Statement of Financial Position

Practice 17.2

Trial Balance of Pestle Cement Company on 31 Dec 20X9

Accounting Heads	Rupees	Rupees
Share capital		550
Share premium		100
Revaluation reserve		125
Retained earnings		563
Land and buildings (carrying value)	678	
Plant and machinery (carrying value)	585	
Inventory 1 Jan 20X9	120	
Sales revenue		925
Purchases	512	
Administration expenses	102	
Marketing expenses	165	
Financial expenses	42	
Trade receivables	300	
Cash balance	45	
Trade payables		286
Total	2,549	2,549

Practice 17.2

Further information:

1. **Inventory at 31 December 20X9 amounted to Rs.235,000**
2. **Create provision for tax expense for the year Rs.62,000**
3. **The revaluation reserve relates to land that was revalued during the year.**

Prepare for the year ended 31 December 20X9:

4. **Statement of Changes in Equity**
5. **Statement of Financial Position as on that date**

Answer – Practice 17.2

Pestle Cement Company
Statement of changes in equity
For the year ended December 31, 20X9

	Share Capital	Share Premium	Revaluation Reserve	Accumulated OCI	Retained Profits	Total
Opening Balance	550	100	0	0	563	1,231
Fresh issue of shares	0	0				0
Revaluation of assets			125			125
For the year (after tax)				0	157	157
Dividend paid during the year					(0)	(0)
Total	**550**	**100**	**125**	**0**	**720**	**1,495**

Answer – Practice 17.2

Pestle Cement Company
Statement of Financial Position (Balance Sheet)
As at December 31, 20X9

	Rs.	*Rs.*
RESOURCES		
Non-Current Assets		
Fixed Assets		
Land & Building	678	
Plant & Machinery	585	1,263
Total Non-Current Assets		1,263
Current Assets		
Inventories	235	
Trade Receivables	300	
Cash and Bank Balances	45	580
Current Liabilities		
Accounts Payable	286	
Provisions for current tax	62	(348)
Working Capital		232
Capital Employed (Non-Current Assets + Working Capital)		**1,495**

Answer – Practice 17.2

Pestle Cement Company
Statement of Financial Position (Balance Sheet)
As at December 31, 20X9

	Rs.	*Rs.*
FINANCED BY – SOURCES/CLAIMS		
Owners' Equity		
Ordinary Share Capital/Common Stocks	550	
Share Premium	100	
Revaluation Reserve	125	
Retained Earnings	720	1,495
Non-Current Liabilities		
Loan Stocks/Bonds/Preferred Shares	0	
Deferred Tax Liability	0	0
Capital Employed (Owners' Equity + Non-Current Liabilities)		**1,495**

Important Tips To Remember - ITTR

1. Movement in Revaluation Reserves should be presented separately in the SOCE

THANK YOU & REMEMBER IN PRAYERS

AARISH ALI



Chapter - 18

Statement of Cash Flows

Topic Videos 164-169 are mandatory part of this module

MGT 101
Financial Accounting

By
Mian Ahmad Farhan, FCA

Module Merged by AARISH ALI (Team VU Global) - +96569002641

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Statement of Cash Flows

Purpose of Preparing Statement of Cash Flows

Analytical Statement

Cash Receipts

→ Cash Inflows

Cash Payments

→ Cash Inflows

Cash Book Vs SOCF

Cash Book
is maintained chronologically for all receipts and payments

Receipt & Payment
is a report that is prepared at the end of a reporting period

Statement of Cash Flows
is an analysis of all receipts and payments into; Operating Activity, Investing Activity, Financing Activity

Important Tips To Remember - ITTR

1. Although the SOCF is one of the five components of financial statements, it is also plays vital role in analyzing cash flows of an entity

Statement of Cash Flows

Format Statement of Cash Flows

Format - SOFP

Company Name
Statement of Cash Flows
For the year ended, 30th June 20X9

Operating Activity:	**Rs.**	**Rs.**
Cash generated from operations **(W-1)**	***	
Cash received from Interest/Dividends **(W-2)**	***	
Cash paid for interest/financial charges **(W-3)**	(**)	
Cash paid for Income Tax **(W-4)**	(**)	***
Investing Activity:		
Cash paid for purchasing non-current assets **(W-5)**	(**)	
Cash from disposal of non-current assets **(W-5)**	***	***
Financing Activity:		
Cash received from owners as capital	***	
Cash paid to owners as distribution of profits	(**)	
Cash received as loan (short/long term)	***	
Cash paid for repayment of loan (short/long term)	(**)	
Cash paid for redemption of debt certificates	(**)	***
Net cash In-flow / Out-flow during the year		***
+ Opening Cash and Cash Equivalents **(W-6)**		***
Closing Cash and Cash Equivalents **(W-6)**		***

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Important Tips To Remember - ITTR

1. Operating
2. Investing
3. Financing
4. Cash & Cash Equivalent

Statement of Cash Flows

Working Notes

Cash Generated from Operations

Format - SOFP

Company Name
Statement of Cash Flows
For the year ended, 30th June 20X9

	Rs.	Rs.
Operating Activity:		
Cash generated from operations (W-1)	***	
Cash received from Interest/Dividends (W-2)	***	
Cash paid for interest/financial charges (W-3)	(**)	
Cash paid for Income Tax (W-4)	(**)	***
Investing Activity:		
Cash paid for purchasing non-current assets (W-5)	(**)	
Cash from disposal of non-current assets (W-5)	***	***
Financing Activity:		
Cash received from owners as capital	***	
Cash paid to owners as distribution of profits	(**)	
Cash received as loan (short/long term)	***	
Cash paid for repayment of loan (short/long term)	(**)	
Cash paid for redemption of debt certificates	(**)	***
Net cash In-flow / Out-flow during the year		***
+ Opening Cash and Cash Equivalents (W-6)		***
Closing Cash and Cash Equivalents (W-6)		***

Cash Generated from Operations

W-1 (Direct Method)

Cash generated from operations:

Cash collected from Customers (W-1a)	***
Cash paid to suppliers (W-1b)	(**)
Cash paid to and on behalf of employees	(**)
Cash paid for other operating Expenses (W-1c)	(**)
	***

W-1a

Customers' (Debtors) A/c.

	Rs.		Rs.
Opening Debtors	**	**Cash from customers**	**?**
Total Sales (Cash+ Credit)	**	Bad Debts	**
		Discount Allowed	**
		Closing Debtors	**
	**		**

Cash Generated from Operations

W-1b **Suppliers' (Creditors) A/c.**

	Rs.		Rs.
Cash Paid to suppliers	**?**	Opening Creditors	**
Discount Received	**	Total Purchases w-1(b-i)	**
Closing Creditors	**		
	**		**

W-1(b-i)

Total Purchases	**Rs.**
Cost of Goods Sold	***
+ Closing Stock	***
- Opening Stock	***
Total Purchases	***

Cash Generated from Operations

W-1(c)	Rs.	Rs.
All operating Expenses	***	
Less:		
Salaries & Wages	***	
Depreciation	***	
Amortization	***	
Loss on Disposal of Asset	***	
Bad Debts	***	
Discount Allowed	***	(**)
Cash paid for Operating Expenses		***
+Opening Due		***
-Closing Due		(**)
-Opening Advance		(**)
+Closing Advance		***
Cash paid for Operating Expenses		***

Cash Generated from Operations

W-1 (Indirect Method)	Rs.	Rs.
Profit after tax		***
+ Income Tax Expense		***
Profit before Tax		***
+ Financial Changes (Interest Expense)		***
Other incomes:		
- Profit on disposal and Interest Income etc.		(**)
Profit from Operations		***
+ Non-Cash Operating Expenses (Non-Current Assets)		
Depreciation/Amortization	***	
Impairment	***	
Loss on disposal	***	***
± Adjustment for non-cash Working capital items		
Stock	***	
Debtors	***	
Prepaid Operating Expenses	***	
Creditors	***	
Accrued operating Expenses	***	***
Cash Generated from operations		***

Important Tips To Remember - ITTR

1. Direct method focuses on receipt and payment items only
2. Indirect method works back to shunt out non-cash items that were considered while calculating profit for the year

Statement of Cash Flows

Working Notes

Statement of Cash Flows

Format - SOFP

Company Name
Statement of Cash Flows
For the year ended, 30th June 20X9

	Rs.	Rs.
Operating Activity:		
Cash generated from operations (W-1)	***	
Cash received from Interest/Dividends (W-2)	***	
Cash paid for interest/financial charges (W-3)	(**)	
Cash paid for Income Tax (W-4)	(**)	***
Investing Activity:		
Cash paid for purchasing non-current assets (W-5)	(**)	
Cash from disposal of non-current assets (W-5)	***	***
Financing Activity:		
Cash received from owners as capital	***	
Cash paid to owners as distribution of profits	(**)	
Cash received as loan (short/long term)	***	
Cash paid for repayment of loan (short/long term)	(**)	
Cash paid for redemption of debt certificates	(**)	***
Net cash In-flow / Out-flow during the year		***
+ Opening Cash and Cash Equivalents (W-6)		***
Closing Cash and Cash Equivalents (W-6)		***

Interest Income & Interest Expense

W-2	Rs.
Interest Income (from I/S)	***
+ Opening Interest Due (Assets in previous B/S)	***
- Closing Interest Due (Assets in current B/S)	(**)
Cash Received for Interest	***

W-3	Rs.
Interest Expense (from I/S)	***
+ opening interest Due (Liabilities in Previous B/S)	***
- Closing interest Due (Liabilities in Current B/S)	(**)
Cash Paid for Interest	***

Income Tax Expense

W-4	Rs.
Income Tax Expense (from I/S)	***
+ Opening Tax Provision (Liabilities in Previous B/S)	***
- Closing Tax Provision (Liabilities in Current B/S)	(**)
Cash Paid for Income Tax	***

Fixed Asset

W-5

Fixed Asset (cost) A/c.

Opening Balance	**	Disposal	**
New Purchases	**	Closing Balance	**
	**		**

Provision for Depreciation A/c.

Disposal	**	Opening Balance	**
Closing Balance	**	Depreciation F.T.Y.	**
	**		**

Asset Disposal A/c.

Fixed Asset Cost	**	Provision for Dep.	**
Profit/Gain	**	**Cash (Sales proceed)**	**
	**	**Loss**	**

Cash and Cash Equivalent

W-6

	Opening Balance	Closing Balance
Cash in hand	**	**
Cash at Bank	**	**
Very short-term Investments	**	**
Bank Overdraft	(**)	(**)
Cash and Cash Equivalents	**	**

Important Tips To Remember - ITTR

1. Do reverse calculation to ascertain cashed based information from the accrual based information
2. Demand deposit bank accounts and very short term investments and deposits are Cash Equivalents

Statement of Cash Flows

Practice

Statement of Cash Flows from Receipt and Payment Account

Practice 18.1

Cash Receipt and Payment Account
For the year ended December 31, 20X9

Receipt	Rs.	Payments	Rs.
Opening Balance	5,650	Purchase of Machinery	146,750
Interest on Investment	800	Drawing	8,000
Loan from Babar	100,000	Interest on loan	500
Fresh Capital	74,000	Income tax paid	3,000
Cash from Debtors	60,000	Salaries	5,000
Sales	5,000	Wages	3,000
Bad Debts Recovered	1,350	Electricity Bill	1,000
Sale of Machine	9,200	Rent	500
		Creditors paid	25,000
		Purchases	8,000
		Loan repaid	50,000
		Closing Balance	5,250
Total	**256,000**	**Total**	**256,000**

Prepare Statement of Cash Flows for the year ended December 31, 20X9

Answer – Practice 18.1

Business Name
Statement of Cash Flows
For the year ended 31.12.2008

Operating Activity	**Rs.**	**Rs.**
Cash received from customers		
Debtors	60,000	
Sales	5,000	
Bad debts received	1,350	66,350
Cash paid to suppliers		
Creditors	25,000	
Purchases	8,000	(33,000)
Cash paid to employees		
Salaries	5,000	
Wages	3,000	(8,000)
Cash payment for other operating expenses		
Electricity	1,000	
Rent	500	(1,500)
Cash generated from operations		**23,850**

Answer – Practice 18.1

Business Name
Statement of Cash Flows
For the year ended 31.12.2008

	Rs.	Rs.
Cash generated from operations		**23,850**
Interest and dividend received	800	
Interest on loan paid	(500)	
Income tax paid	(3,000)	**21,150**
Investing Activity		
Sales of machine	9,200	
Purchase of machine	(146,750)	**(137,550)**
Financing Activity		
Fresh capital	74,000	
Drawings	(8,000)	
Loan taken from B	100,000	
Loan repaid	(50,000)	**116,000**
Net cash out flow during the year		(400)
Opening cash and cash equivalent		5,650
Closing cash and cash equivalent		5,250

Important Tips To Remember - ITTR

1. Mark carefully O-I-F

Statement of Cash Flows

Practice

Statement of Cash Flows from Balance Sheet of Current & Previous Years

Practice 18.2

Balance Sheet	20X9 Rs.	20X8 Rs.
Fixed Assets		
Cost	25,000	15,000
Provision for depreciation	(5,000)	(2,000)
Net Book Value – Fixed Assets	20,000	13,000
5% Investments	10,000	0
Current Assets		
Stocks	3,000	3,500
Debtors	1,200	1,000
Prepaid expenses	200	300
Bank and Cash balances	4,000	2,000
	38,400	**19,800**
Owners' Equity	30,000	18,000
Liabilities		
8% Bank loan	7,000	0
Creditors	1,000	1,500
Accrued Expenses	400	300
	38,400	**19,800**

Practice 18.2

Other Information	Rs.
Drawings During the year	8,000
Fresh Capital Introduced	15,000

Machine cost Rs.6,000 NBV Rs.4,800 sold for a loss of Rs.1,200

Prepare statement of cash flows for the year ending 31-12-20X9

Answer – Practice 18.2

Statement of Cash Flows
For the year ended 31. 12. 2009

	Rs.	Rs.	Rs.
Operating activity			
Net profit (W-4)		5,000	
Financial charges (Interest on loan)		560	
Other income (Interest on investment)		(500)	
Profit from operations		5,060	
Add back			
Non-cash operating expense (non-current asset)			
Depreciation (W-2)	4,200		
Loss on disposal	1,200	5,400	
Adjustments for working capital items			
Debtors increased by	(200)		
Stock decreased by	500		
Prepaid expenses decreased by	100		
Creditors decreased by	(500)		
Accrued expense increased by	100	0	
Cash generated from operations		10,460	

Answer – Practice 18.2

Statement of Cash Flows
For the year ended 31. 12. 2009

	Rs.	Rs.	Rs.
Cash generated from operations		10,460	
Interest received		500	
Interest paid		(560)	10,400
Investing Activity			
Sale proceeds of machine (W-3)		3,600	
Fixed asset purchased (W-1)		(16,000)	
Investments purchased		(10,000)	(22,400)
Financing Activity			
Fresh capital		15,000	
Drawings		(8,000)	
Loan taken		7,000	14,000
Net cash inflow during the year			2,000
Opening cash and cash equivalent			2,000
Closing cash and cash equivalent			4,000

Working – Practice 18.2

W-1

Fixed Asset A/c.

	Rs.		Rs.
Opening balance b/f	15,000	Disposal	6,000
Additions (Bal. figure)	16,000	Closing balance c/f	25,000
	31,000		31,000

W-2

Accumulated Depreciation A/c.

	Rs.		Rs.
Disposal	1,200	Opening balance b/f	2,000
Closing balance c/f	5,000	Depreciation expense	4,200
	6,200		6,200

W-3

Asset Disposal A/c.

	Rs.		Rs.
Fixed asset	6,000	Acc. depreciation	1,200
		Loss on disposal	1,200
		Cash received (Bal figure)	3,600
	6,000		6,000

Working – Practice 18.2

W-4 Net profit

	Rs.
Closing capital	30,000
Drawings	8,000
Fresh capital	(15,000)
Opening capital	(18,000)
Net profit	5,000

Important Tips To Remember - ITTR

1. Take Care of non-cash movement in accounting heads
   - Issue of bonus shares
   - Revaluation of fixed assets
2. Interest and Dividend received can be Operating as well as Investing Activity
3. Interest and Dividend paid can be Operating as well as Financing Activity

Important Tips To Remember - ITTR

4. Operating activity belongs to Income Statement
5. Investing activity belongs to Non-Current Assets
6. Financial activity belongs to Non-Current Liabilities and Owners' Equity

Important Tips To Remember - ITTR

THANK YOU & REMEMBER IN PRAYERS



BY

AARISH ALI

7. **Change in all Current Assets and Current Liabilities should not be taken to Operating Activity**
   - **Cash & Cash Equivalent**
   - **Loan receivable**
   - **Loan payable**
   - **Creditor against purchase of non-current assets**
   - **Current portion of lease liability**

MGT101 – Financial Accounting

Complete Merged Modules (1-18) - Topic # 1-169

Prepared By:

VU GLOBAL (Team)

AARISH ALI(+96569002641)

Contact us to join our esteemed network @ +96569002641

(WhatsApp Group MGT101: https://chat.whatsapp.com/FqJp607cVM065hiyVBXTci)

REMEMBER IN PRAYERS

KEEP SMILING

SAY NO TO CURRUPTION

HELP TO OTHERS

Regards,

AARISH ALI & TEAM

“VU GLOBAL”

+9656900264l